State Transformation for *Plan México*

A Mission-Oriented Approach to Delivering Shared Prosperity

MARIANA MAZZUCATO AND LARA MERLING

IIPP Policy Report – August 2026

UCL Institute for Innovation and Public Purpose

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Written by

Mariana Mazzucato, *Professor in the Economics of Innovation and Public Value, University College London, and Founding Director of the UCL Institute for Innovation and Public Purpose*

Lara Merling, *Research Fellow, UCL Institute for Innovation and Public Purpose*

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Acronyms

Afores: Administradoras de Fondos para el Retiro
Banco de México (Banxico): Mexico's central bank
Bancomext: Banco Nacional de Comercio Exterior
Banobras: Banco Nacional de Obras y Servicios Públicos
Birmex: Laboratorios de Biológicos y Reactivos de México S.A. de C.V.
BNDES: Banco Nacional de Desenvolvimento Econômico e Social. Brazil
CAF: Development Bank of Latin America and the Caribbean
CECIs: Centros de Educación y Cuidado Infantil
CERPIs: Certificados de Proyectos de Inversión
CFE: Comisión Federal de Electricidad
CHIPS: Creating Helpful Incentives to Produce Semiconductors for America Act
CIAT: Centro Interamericano de Administraciones Tributarias
CIEP: Centro de Investigación Económica y Presupuestaria
CNBV: Comisión Nacional Bancaria y de Valores
CNDI: Conselho Nacional de Desenvolvimento Industrial. Brazil
Codelco: Corporación Nacional del Cobre de Chile
Conagua: Comisión Nacional del Agua. National water commission
CONASAMI: Comisión Nacional de los Salarios Mínimos
CONSAR: Comisión Nacional del Sistema de Ahorro para el Retiro
Corfo: Corporación de Fomento de la Producción (Chile)
DARPA: Defense Advanced Research Projects Agency
DPI: Digital public infrastructure
ENAP: Escola Nacional de Administração Pública (Brasil)
FDI: Foreign direct investment
FIRA: Fideicomisos Instituidos en Relación con la Agricultura
FONADIN: Fondo Nacional de Infraestructura
GDP: Gross Domestic Product
GDS: Government Digital Service
IDB: Inter-American Development Bank
IECM: Instituto Electoral de la Ciudad de México
IFT: Instituto Federal de Telecomunicaciones
IMCO: Instituto Mexicano para la Competitividad
IMF: International Monetary Fund
IMSS: Instituto Mexicano del Seguro Social
INAP: Instituto Nacional de Administración Pública

INEGI: Instituto Nacional de Estadística y Geografía
IPN: Instituto Politécnico Nacional
ISR: Impuesto Sobre la Renta
ISSSTE: Instituto de Seguridad y Servicios Sociales de los Trabajadores del Estado
MDBs: Multilateral Development Banks
MGI: Ministry of Management and Innovation in Public Services (Brazil)
MIR: Matriz de Indicadores para Resultados
MSMEs / MSME: Micro, Small and Medium Enterprises
NAFIN: Nacional Financiera
NIB: Nova Indústria Brasil
NIST: US National Institute of Standards and Technology
OBR: Office for Budget Responsibility (UK)
OECD: Organisation for Economic Co-operation and Development
Pemex: Petróleos Mexicanos
PNAE: Programa Nacional de Alimentação Escolar, Brazil
PND: Plan Nacional de Desarrollo 2025–2030
PNH: Plan Nacional Hídrico 2024–2030 t
PSND: Public Sector Net Debt
PSNFL: Public Sector Net Financial Liabilities
PSNW: Public Sector Net Worth
Public value: the value created collectively when the state shapes markets and directs investment towards shared societal goals
R&D: Research and Development
Safcol: South African Forestry Company
SAR: Sistema de Ahorro para el Retiro
SDGs: Sustainable Development Goals
Secihti: Secretaría de Ciencia, Humanidades, Tecnología e Innovación
SED: Sistema de Evaluación del Desempeño
SEMARNAT: Secretaría de Medio Ambiente y Recursos Naturales
Sener: Secretaría de Energía
SHCP: Secretaría de Hacienda y Crédito Público
SICAVISP: Sistema de Capacitación Virtual para los Servidores Públicos
SME: Small and medium-sized enterprise
SOE: State-owned enterprise
UAM: Universidad Autónoma Metropolitana
UNAM: Universidad Nacional Autónoma de México
UNDP: United Nations Development Programme
UPER: Unidad de Política y Estrategia para Resultados
USMCA: United States-Mexico-Canada Agreement (T-MEC)

Abstract

Plan México, published by the Mexican government in January 2025, marks an important shift in Mexico's development strategy. It places *prosperidad compartida* at the centre of an agenda to raise investment, expand domestic productive capacity and distribute the gains from growth across people, sectors and territories. The plan rests on a broader economic proposition: that shared prosperity can be built through productive investment and innovation, and better jobs, rather than delivered after the fact through redistribution alone.

Plan México has set the direction. Delivering *Plan México* fundamentally depends on building the public-sector capabilities, institutional coordination and policy instruments that can translate direction into implementation. The report examines the state transformation this requires: a macroeconomic framework aligned with productive transformation, policy tools and a different model of public–private partnership capable of shaping markets and channelling investment towards the plan's goals, and a state architecture able to coordinate across institutions and sectors.

Mexico needs stronger growth, and stronger growth needs more investment. But growth has both a rate and a direction. The task is not only to mobilise more investment but to direct it towards the outcomes Mexico has already set for itself: achieving water security for people, ecosystems and production, delivering health for all, increasing clean energy provision, advancing food sovereignty, and reducing territorial inequalities. Directing growth towards these goals requires a market-shaping approach. Markets are not fixed arenas that governments correct at the margin. They are shaped by the institutions, rules and incentives that govern economic activity. The question is therefore not how much the state should intervene, but what it should build, with whom, and on what terms.

Because the plan's priorities cut across ministries, sectors, development banks, state-owned enterprises (SOEs), procurement systems, regulators and levels of government, they cannot be delivered through sectoral plans or isolated projects. A mission-oriented approach offers a way to organise these existing priorities for delivery, bringing the relevant institutions and instruments together around concrete, cross-cutting goals.

This report begins by examining the structural constraints that have prevented Mexico's export strength from translating into stronger productivity growth, domestic value creation and regional convergence. Drawing on Mexican scholarship, international evidence and lessons from mission-oriented policy practice, it then sets out the state architecture needed to organise delivery for *Plan México* to turn these challenges into opportunities. It sets out the macroeconomic framework needed to support innovation-led transformation, before turning to the policy instruments and public-sector capabilities needed to deliver it. The report then applies this approach to the restoration of the Tula basin as a practical test of mission-oriented implementation.

Among the report's key findings and its policy recommendations are:

- **Turn Mexico's structural challenges into opportunities for productive transformation:** Mexico's structural challenges — a large informal sector, market concentration, an underfinanced innovation system and territorial divides — should be read as the specific points where productive transformation is needed most; growth has slowed sharply since 2023, and public investment has become the default adjustment variable of fiscal consolidation, even as private investment has failed to compensate.
- **Deliver *Plan México* by building the state architecture its cross-cutting goals require:** *Plan México*'s targets are interdependent and no single ministry controls all the relevant levers, so delivery requires a state architecture built around cross-cutting mission areas — upgrading domestic productive capacity, water security, health for all, energy sovereignty and food sovereignty — coordinated through a mission board with real decision-making power.
- **Align the macroeconomic framework with innovation-led, inclusive and sustainable growth:** the macroeconomic framework itself needs to support rather than constrain this transformation. Fiscal rules should recognise the productive assets investment creates, complementing debt and deficit indicators with balance-sheet measures, while a broader and more progressive revenue base can make expanded public investment durable.
- **Govern the relationship between the state and enterprise to deliver public value:** the relationship between the state and enterprise — both public and private — needs to be governed for public value. This means embedding *Plan México*'s goals into the mandates of SOEs like CFE, Pemex and CONAGUA, and attaching enforceable, transparent conditions to public support for private firms, so that public resources build capability rather than subsidise rents.
- **Direct finance towards productive transformation:** Mexico's development banks — NAFIN, Banobras, Bancomext, FONADIN and FIRA — hold significant assets but operate through fragmented mandates and rely heavily on second-tier lending through intermediaries. Coordinating them as a system under the stewardship of the Secretaría de Hacienda y Crédito Público (SHCP), shifting towards more direct lending, and evaluating them by the productive transformation they enable rather than volume alone, would let their instruments reinforce one another.
- **Harness public purchasing power (procurement) to shape markets:** public procurement is an underused demand-side tool. The 2025 procurement law and *Plan México*'s target that half of purchasing come from national production create the opportunity to buy strategically, attach public-value conditions to contracts, and build domestic supplier capability, as the pharmaceutical-sector reform is beginning to demonstrate.
- **Invest in dynamic capabilities within the public sector to deliver, learn and adapt:** delivery depends on the public sector's own dynamic capabilities, such as the ability to coordinate across ministries, evaluate portfolios rather than isolated programmes and experiment where existing approaches fall short. This calls for a government-housed training capability, a permanent public innovation lab and digital infrastructure that reaches the whole territory.
- **Build participation in from design through to evaluation:** shared prosperity is also about who participates in shaping it. Communities, workers, local producers and subnational governments should be involved from design through to evaluation — not consulted after key decisions are made — building on Mexico's existing experience with participatory budgeting, the Utopías and community-led infrastructure.
- **Test and scale the delivery model through a mission sandbox:** the delivery model this report proposes should be tested before being scaled. The restoration of the Tula basin offers a concrete sandbox: a presidential commitment that cuts across water, health, energy and industrial goals, where finance, procurement, conditionality and participation can be trialled together, generating lessons for how the broader mission-oriented approach should be extended across *Plan México*.

1. Introduction: *Plan México* as an opportunity for innovation-led, inclusive and sustainable growth

Plan México, published by the Government of Mexico in January 2025, marks an important shift in the country's economic strategy. It places *prosperidad compartida* (shared prosperity) at the centre of an agenda to raise investment, expand domestic productive capacity and distribute the gains of growth more widely across people, firms and territories (Gobierno de México, 2025a). Anchored in the National Development Plan (PND), it brings industrial sovereignty, strategic infrastructure, water and energy security, health, clean energy and territorial development within a common direction for public action (Gobierno de México, 2025b).

To deliver on this vision, the plan sets out explicit targets across macroeconomic performance — aiming to elevate investment above 25 per cent of GDP — alongside specific goals for domestic production, wage growth, poverty reduction and regional balance through the *Polos de Desarrollo Económico para el Bienestar*. Crucially, these targets extend to the state's key policy levers, including public procurement, regulatory permitting and strategic financing (Gobierno de México, 2025b). Rather than functioning as isolated sectoral objectives, these targets represent interconnected dimensions of a national development challenge that requires coordinating multiple public instruments and institutions around a unified purpose.

The significance of these multidimensional targets lies not only in their ambition to increase growth, but in their attention to the kind of economy that growth should build. Growth has both a rate and a direction. What gets produced, which firms acquire new capabilities, which regions participate in higher-value activity and whether rising demand is met through domestic production or imports are shaped by policy choices. Markets are not fixed arenas that governments merely correct at the margin; they are shaped through institutions, infrastructure, finance, public demand, regulation and technological choices (Polanyi, 1944; Evans, 1995). Economic development is not merely resource allocation, but a dynamic process driven by sectoral linkages, complementarities and cumulative causation (Prebisch, 1962; Kaldor, 1966; Hirschman, 1975). Development therefore depends on building the capacity to do new things, move into higher-value activities, strengthen linkages across sectors and generate wider spillovers across the economy (Chang, 2002; Amsden, 2004; Reinert, 2008).

Plan México builds on substantial social and labour gains. Between 2018 and 2024, the minimum wage more than doubled in real terms, rising by 116.4 per cent (CONASAMI, 2026), and multidimensional poverty fell from 41.9 per cent of the population to 29.6 per cent, lifting around 13.7 million people out of poverty (INEGI, 2025b). Gains accelerated between 2022 and 2024, when poverty fell from 36.3 to 29.6 per cent and household incomes rose by 10.6 per cent in real terms, with the largest gains among the poorest deciles (INEGI, 2025b). Formal employment reached a record 22.8 million in 2025 (IMSS, 2026). The social agenda continues to widen: reforms towards a universal public health system aim to extend access to all public health institutions to 120 million people by 2030 (Presidencia de la República, 2026e), and the Vivienda del Bienestar programme targets 1.8 million new homes this decade, with more than 600,000 contracted and 274,000 under construction by mid-2026 (Presidencia de la República, 2026f).

These gains have strengthened household purchasing power and improved distribution, providing an important social foundation for *Plan México*. They remain, however, incomplete. The labour share of income remains low, at around 32 per cent; more than half of employment is informal; and productive and technological capabilities remain concentrated in a narrow group of firms and regions (Ibarra and Ros, 2019; INEGI, 2025b). Sustaining and extending social progress therefore requires an economy capable of generating more value, creating decent work and diffusing productive opportunities more widely.

Mexico is already deeply integrated into international markets and has developed major manufacturing and export capabilities. Yet the expansion of production and exports has not translated into comparable gains in economy-wide productivity, domestic technological capacity or regional convergence.

Globally competitive manufacturing plants and sophisticated exporters coexist with a vast base of small, informal and low-productivity firms, and too few firms possess the finance, skills, technology and market access needed to scale and enter higher-value activities.

The challenge is therefore not simply to increase investment or deepen integration into global production. It is to shape the direction and composition of investment so that it builds domestic capabilities and creates wider economic linkages. Investment in imported machinery can expand production without developing the engineering, design and technological capacities needed to absorb and improve that technology; foreign investment can sustain existing activity without creating new domestic suppliers, research networks or productive capacity. The relevant

question is not only how much investment takes place, but what it builds, what learning it generates and how widely its benefits spread.

Productive transformation cannot be reduced to the investment decisions of individual firms. It depends on the wider system that enables firms to innovate and scale: research and development, education and skills, physical and digital infrastructure, capable suppliers, standards, technical services and institutions that connect public research with production. Innovation-led growth is cumulative and collective because firms must have both the incentives and the means to invest, while public institutions must be able to connect finance, demand, research, infrastructure and production. In Mexico, weak supplier linkages, limited research and technological effort, a thin base of firms able to scale and large territorial differences in productive capacity prevent leading activities from producing broader gains.

This also requires moving beyond a simple distinction between manufacturing and services (Rodrik, 2016). Modern manufacturing depends on knowledge-intensive services such as engineering, design, software, research, testing and technical consultancy. These are the capabilities that allow firms to adopt technologies, redesign production processes and enter higher-value segments. When they are supplied domestically, more value and learning remain within the economy. When they are imported alongside machinery and other inputs, output can expand without the surrounding productive system acquiring new capabilities.

Firm-level evidence from Mexico reinforces this point. Manufacturing and services are closely interconnected, public support is an important determinant of innovation across sectors, and foreign ownership is associated with a lower propensity to innovate locally (De Fuentes *et al*., 2020). Because sourcing decisions, standards and technological choices are often set within global production networks, attracting investment is not sufficient. Supplier development, skills, research partnerships, standards and public demand are practical tools through which domestic firms can improve their position within value chains they do not control (Rangel-Padilla, 2026). Governments can also build supplier capabilities through captive-demand mechanisms: by tying investment-promotion schemes to local-content commitments and using public procurement alongside preferential purchasing rules and contract-triggered development-bank credit (Rodríguez León *et al*., 2026).

Public institutions have a central role in shaping this process. The entrepreneurial state does not replace private enterprise. It acts where uncertainty is high, time horizons are long and the markets required for transformation do not yet fully exist (Mazzucato, 2013). Many technologies and markets now associated with private-sector success emerged through sustained public investment, public research, procurement, standards, infrastructure and coordinated demand. Public policy is therefore not limited to correcting failures after they arise. It can shape markets, direct investment and create the conditions in which firms are willing and able to innovate.

Realising this ambition requires a parallel agenda of state transformation — building the public-sector capabilities needed to direct growth and shape markets in the public interest (Mazzucato, 2023b; 2024). *Plan México* creates the opportunity to advance that agenda: its priorities can become focal points for government to work in an interministerial way. Each of *Plan México*'s four cross-cutting goals — water security, health sovereignty, clean energy and food sovereignty — depends on a distinct combination of sectors and delivery instruments (infrastructure, finance, procurement, regulation) rather than a single ministry or tool. Water security is anchored in CONAGUA, but requires capabilities in infrastructure, treatment, reuse, monitoring, agriculture and digital technologies. Health sovereignty runs through the Secretaría de Salud and Cofepris, connecting public health demand with domestic production, science, regulation, procurement and finance. Clean energy is anchored in CFE and SENER, requiring innovation across generation, grids, manufacturing, engineering, software and technical services. Food sovereignty is led by SADER, linking agriculture with water, health, logistics, public purchasing and rural development. These are not isolated sectoral objectives; they are economy-wide challenges capable of mobilising multiple sectors and generating new productive opportunities.

A mission-oriented approach provides the organising layer between *Plan México*'s direction and its delivery. It translates a concrete challenge into a measurable, time-bound goal, then aligns the sectors, projects and policy instruments needed to achieve it as a portfolio (Mazzucato, 2021). This does not replace the PND, *Plan México* or sectoral programmes, nor does it select individual firms as winners. It sets a common direction and creates opportunities for firms willing to invest and innovate towards it, including by drawing domestic suppliers into higher-value activity (Mazzucato, Doyle and Kuehn Von Burgsdorff, 2024).

A portfolio of projects and interventions is what makes this direction operational. Finance, procurement, infrastructure, skills, research, regulation and public investment must be coordinated because no single instrument can deliver structural transformation on its own. Organised around a clear goal, these tools can reinforce one another. Evaluated as a portfolio, they can also reveal

where bottlenecks are emerging and where the policy mix must be adjusted as implementation proceeds.

Plan México offers an opportunity to build an economy in which investment generates domestic learning, innovation raises value per worker, and more firms, workers and territories participate in productive transformation. Realising that opportunity requires a macroeconomic framework capable of sustaining investment, an institutional architecture that can coordinate across government, and policy tools designed to build capabilities, shape markets and create public value.

The remainder of the report develops this framework. Section 2 diagnoses the economic structures the strategy must transform, moving from the macroeconomy to firms, territories and households. Section 3 translates *Plan México*'s priorities into mission portfolios and examines the coordination structures needed to govern them. Section 4 considers how the macroeconomic framework can be aligned with the plan's direction. Section 5 examines how the state's own enterprises and public support for private firms can be governed to create public value. Sections 6 to 8 address development finance, public procurement and dynamic public-sector capabilities. Section 9 examines participation and co-creation as the mechanism that turns national direction into locally owned delivery, distinguishing consultation from genuine ownership and drawing on Mexican examples. Section 10 brings the framework together through a proposed mission sandbox for the restoration of the Tula basin, translating the challenge of water sovereignty for shared prosperity into a concrete illustration.

2. Mexico's economic challenges

Plan México's success depends on whether the economy can respond to the direction the government has set: whether firms invest when demand is created, finance reaches productive activity, and regions possess the capabilities needed to absorb and shape new investment. None of this can be taken for granted. Mexico needs to strengthen institutional arrangements and incentives that convert financial resources into investment in productive capacity, domestic technological capabilities and rising value per worker.

Mexico enters the implementation of Plan México at an important moment. The reorganisation of global production, growing geopolitical fragmentation and efforts by firms to diversify supply chains have created new opportunities for investment in North America. Mexico is well placed to benefit from these shifts given its industrial base, geographic position and deep integration with the United States through the United States–Mexico–Canada Agreement (USMCA). At the same time, this external environment has become more uncertain. Tariff measures, repeated trade tensions and the forthcoming review of the USMCA increase uncertainty over future market access and investment decisions. Together, these developments make strengthening domestic productive capacity not only an economic objective but a question of resilience.

This changing international context has revived interest in nearshoring as a potential engine of growth. Yet, while Mexico has attracted manufacturing investment for decades, it has not consistently translated into stronger domestic productive capabilities, technological upgrading or broad-based productivity growth. Whether the current wave of investment leads to a more resilient and innovative economy will depend on the country's ability to increase domestic value added, strengthen local supply chains, deepen innovation capabilities and broaden participation across firms and regions.

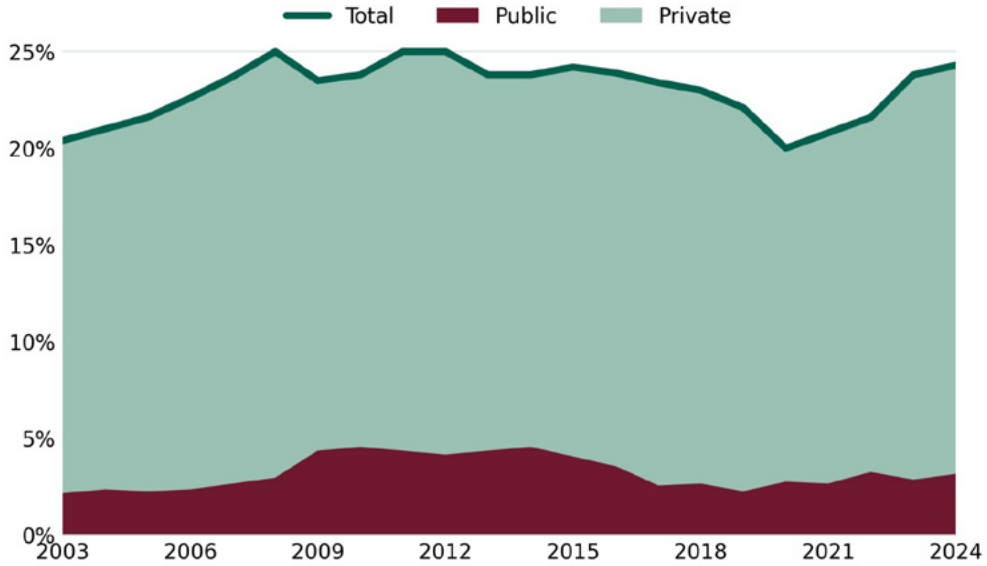
This section examines some of the key structural constraints that Plan México must overcome: a polarised productive structure, low public investment, the concentration of economic rents, a financial system that directs insufficient credit towards productive activity, weak technological capabilities and deep territorial inequalities. Together, these shape the economy's capacity to translate investment into productivity, resilience and shared prosperity.

2.1 The fiscal squeeze undercutting productive investment

Plan México depends on raising investment and directing it towards the productive capabilities, infrastructure and technological development needed to transform the economy. This challenge has become more pressing as growth has slowed. Real GDP growth fell from 3.7 per cent in 2022 to 1.5 per cent in 2024 and an estimated 0.5 per cent in 2025. The composition of growth has also shifted: services have accounted for most of the remaining expansion, while the contribution of industry weakened through 2023 and 2024 and turned negative in 2025 (Economist Intelligence Unit, 2026).

This matters for *Plan México* because many of its objectives depend on expanding industrial capacity, infrastructure and domestic production. Yet investment has not moved at the scale or in the direction required. Total fixed investment remains below the government's target of 25 per cent of GDP, while public physical investment has fallen sharply (Clavellina Miller, 2025; INEGI, 2025d).

Figure 1: Gross Fixed Capital Formation, as per cent of GDP, public and private sectors



Source: SHCP (2026)

Figure 1 shows the level and composition of fixed investment over the past two decades. Total investment has fluctuated between 20 and 25 per cent of GDP, reaching 24.3 per cent in 2024, just below *Plan México*'s 25 per cent target. Private investment accounts for the large majority of the total and has remained relatively stable as a share of GDP over the period, recovering after the sharp fall in 2020. The more pronounced change has been in public investment: after reaching 4.5 per cent of GDP in 2010 and again in 2014, it fell to 3.1 per cent in 2024 and to 2.2 per cent in 2025 (SHCP, 2026b). Of the 24.3 per cent of GDP invested in 2024, around 21 per cent was private investment and 3.1 per cent public investment (INEGI, 2025a; SHCP, 2026b).

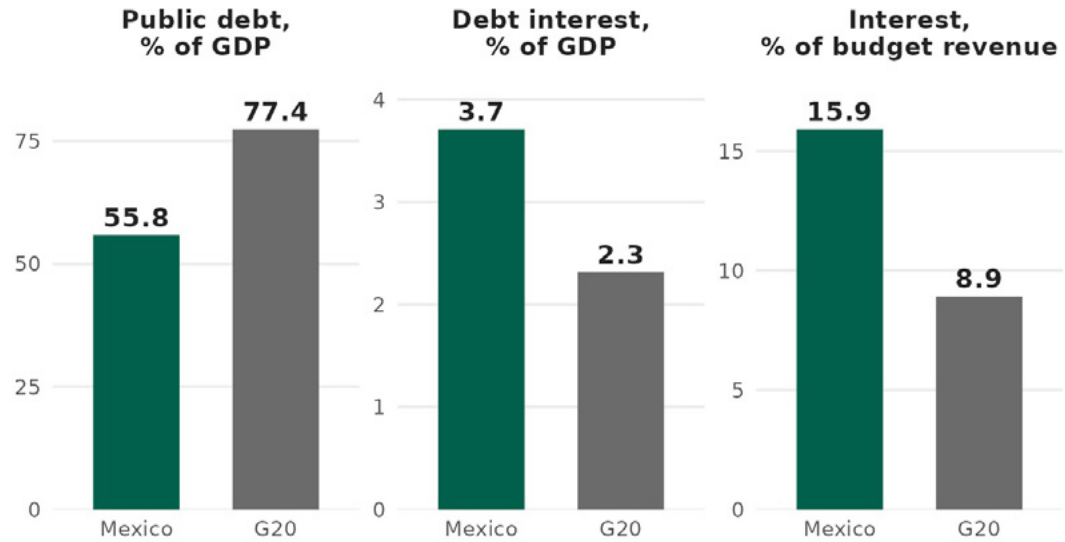
Public investment is needed to finance much of the infrastructure and foundations on which productive transformation depends, including transport, water systems, energy infrastructure, health capacity, and the knowledge base. Its composition is therefore as important as its level. Energy absorbs the largest share and, within energy, hydrocarbons. Pemex accounted for 2.0 percentage points of GDP out of the 4.5 per cent invested publicly at the 2014 peak, and 1.0 percentage point out of the 3.1 per cent recorded in 2024. Much of the decline since 2014 therefore reflects lower oil investment, while investment elsewhere has remained consistently low. Communications and transport stood at 0.2 per cent of GDP in 2024 and have not exceeded 0.5 per cent over the period; water supply and sanitation have remained between 0.1 and 0.2 per cent; health at around 0.1 per cent; and budgetary investment in education has rounded to zero since 2017 (SHCP, 2026b).

The recent fall in public investment reflects the composition of the ongoing fiscal consolidation. As the government makes efforts to reduce the deficit, from around 5.7 per cent of GDP in 2024 towards a target of 4.3 per cent in 2025, while protecting major social commitments, capital expenditure has become the principal margin of adjustment: physical investment fell by 28.4 per cent in real terms in 2025 (SHCP, 2026c). The result is a contradiction at the centre of the strategy. Public investment is being cut at the very moment *Plan México* seeks to raise economy-wide investment and expand domestic productive capacity, and, as Section 4 shows, the private investment the plan counts on tends to follow public investment rather than substitute for it.

Due to the slowdown in growth, the consolidation has also not removed pressure from the public debt ratio. Mexico's primary balance was close to balance for much of 2018–2025, yet general-government measure gross public debt rose from 45.6 per cent of GDP in 2018 to an estimated 55.8 per cent in 2025 (Economist Intelligence Unit, 2026).

As shown, Mexico's debt stock is not especially high by G20 standards, while its carrying cost is. Gross public debt stood at an estimated 55.8 per cent of GDP in 2025, compared with around 77.4 per cent across the G20, yet Mexico devotes a larger share of both GDP and government revenue to interest payments

Figure 2: Mexico's debt burden relative to G20 countries



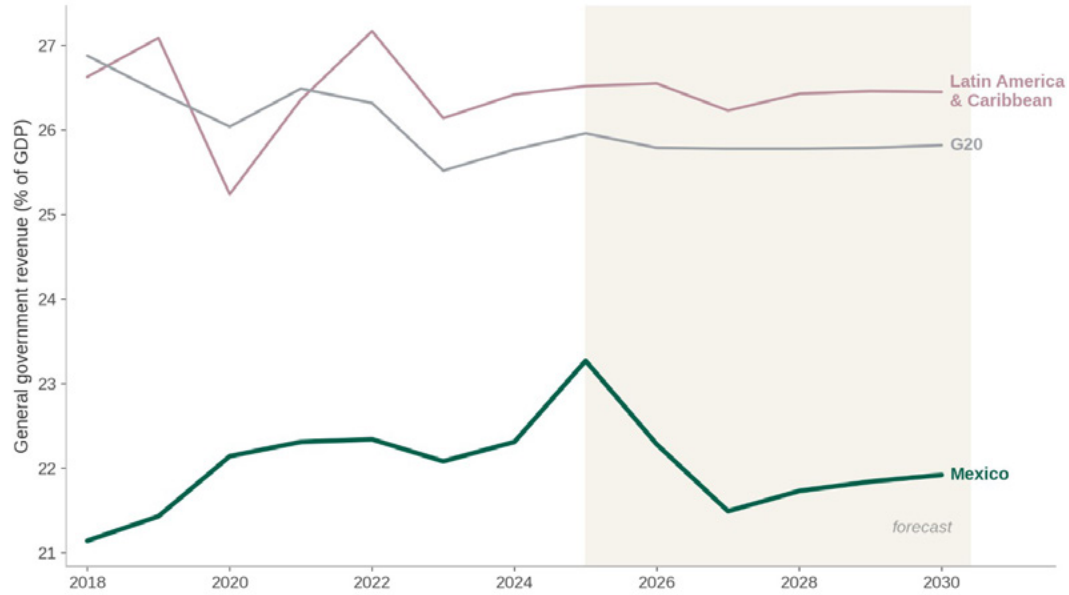
Source: Economist Intelligence Unit (2026).

Around three-quarters of public debt is domestic and predominantly peso-denominated, which limits direct exchange-rate exposure but does not insulate the budget from global financial conditions. Interest payments rose from around 2.5 per cent of GDP in 2018 to an estimated 3.7 per cent in 2025 (Economist Intelligence Unit, 2026). As debt has refinanced at higher domestic rates, its effective interest cost has risen while nominal GDP growth has weakened. This increasingly unfavourable interest-growth differential adds upward pressure to the debt ratio and absorbs fiscal resources that could otherwise support investment.

Higher US interest rates reduce portfolio flows to Mexico and that US monetary-policy shocks affect emerging economies partly through higher external borrowing costs, forcing Mexico's central bank to raise interest rates and put pressure on the cost of servicing its debt. This is part of the wider asymmetry of the international monetary system: developing and emerging economies face capital-flow and exchange-rate pressures generated by monetary conditions in major financial centres, constraining the room for fully independent countercyclical policy.

Mexico's narrow revenue base compounds the problem. As shown in Figure 3, general government revenue has remained between 21 and 23.3 per cent of GDP since 2018, compared with roughly 26 per cent for the G20 and 26.5 per cent for Latin America and the Caribbean. Revenue rose from 21.1 per cent of GDP in 2018 to 23.3 per cent in 2025, largely through stronger collection and enforcement rather than a broader tax base. These figures include revenue from state-owned enterprises; tax revenue on the OECD definition stood at 17.7 per cent of GDP in 2023, the lowest in the OECD.

Figure 3: Gross government revenue, per cent of GDP, Mexico, LAC, G20



Source: Economist Intelligence Unit (2026).

Mexico combines comparatively moderate debt with high financing costs, slow growth and a narrow revenue base. Cutting productive investment may reduce expenditure in the short term, but to the extent that it also weakens growth and future productive capacity, it can make the debt dynamics it is intended to improve harder to stabilise.

The aggregate investment rate therefore tells only part of the story. The public component has been squeezed precisely where *Plan México* requires greater investment in productive and social foundations. The private component, by contrast, remains much larger and relatively stable. Section 2.2 investigates whether private investment is translated into new productive capacity,

technological upgrading and stronger domestic linkages, or remains concentrated in activities where returns can be generated without them.

2.2 A polarised productive structure

It is sometimes assumed that a smaller public presence makes room for private capital: that what the state does not invest, firms will. Mexico's experience does not support this. Public investment has been falling for a decade, and while private investment has been relatively stable as a headline figure, that offers little information on where the investment is directed and what it builds. Where returns can be secured through market power, privileged positions or other forms of rent extraction, firms face weaker incentives to undertake the longer-term and more uncertain investments needed to build new capabilities.

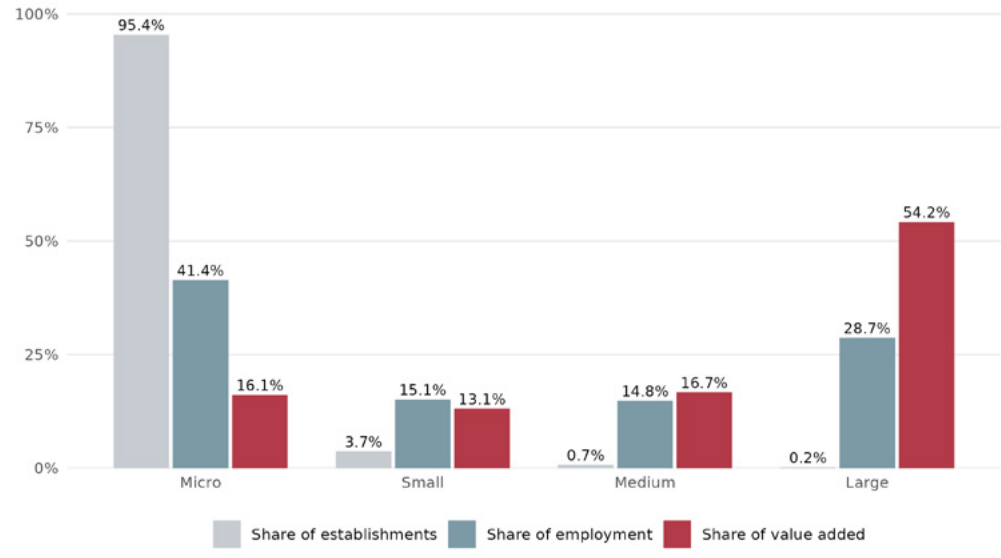
Mexico's productive structure is deeply heterogeneous, with a 'modern', export-integrated economy coexisting with an internal-market-oriented economy and a subsistence base (Moreno-Brid and Ros, 2009; Dutrénit *et al.*, 2010). Policy therefore cannot be designed around an average firm; it must address the structural gaps that prevent firms from scaling, upgrading and forming stronger linkages across the economy.

The distribution of firms makes this fragmentation visible. According to the 2024 Economic Censuses, micro-enterprises account for 95.4 per cent of establishments and 41.4 per cent of employment, but only 16.0 per cent of value added. Large firms represent just 0.2 per cent of establishments, yet account for 28.7 per cent of employment and 54.3 per cent of value added (INEGI, 2025a). Small and medium-sized firms occupy a comparatively thin middle, as illustrated in Figure 4.

This leaves Mexico with a productive structure in which activity and employment are widely dispersed, but value added and productive capabilities are much more concentrated.

This polarisation reflects highly unequal access to technology, finance, skills and markets. It also cuts across sectors. Even in automotive and electronics, many domestic firms remain concentrated in assembly and other low-complexity segments, showing that upgrading requires firm-level capability building as well as diversification into higher-value activities (De Fuentes *et al.*, 2020; OECD, 2026).

Figure 4: Share of value added and employment, by firm size (2023)



Source: Authors' calculation.

Large firms have access to finance, international supply chains and specialised labour, while many micro-enterprises operate with little capital, unstable demand and limited technical support. Between them, too few firms are able to invest, scale and become specialised suppliers to larger enterprises or the public sector. This weakens the diffusion of technology and productivity and helps reproduce informality. Many firms remain informal not simply because of tax or regulatory incentives, but because productivity and incomes are too low to absorb the costs of formalisation (Levy Algazi, 2018). Enforcement alone cannot resolve this. Stable demand, access to finance, supplier-development programmes, technical assistance and social protection are needed to make formalisation economically viable.

2.3 Market power and rent-seeking behaviour

Market power allows high returns to coexist with weak pressure to reinvest in productive upgrading. Where returns can be secured through market power or privileged positions, firms face weaker incentives to undertake the harder investments in capacity, technology and suppliers on which transformation depends.

The costs of this pattern are measurable and regressive. The Comisión Federal de Competencia Económica (COFECE) estimates that market power raises

household prices by around 98 per cent in concentrated markets, producing an average welfare loss equivalent to 15.7 per cent of household income; the poorest decile loses an estimated 30.9 per cent of income, compared with 5.7 per cent for the richest (COFECE, 2018). Concentrated sectors set the prices of what everyone must buy, so the burden of market power falls hardest on those least able to bear it.

Rents of this kind are not incidental to Mexico's inequality; they are its architecture. Esquivel (2015) documents that the country's largest fortunes were built disproportionately in privatised, concessioned or regulated sectors — telecommunications, mining, banking — where returns depend on state-granted position rather than on innovation, and that concentrated economic power translates into political influence over the rules that protect those positions. The functional distribution of income tells the same story over time: Ibarra and Ros (2019) document a sustained fall in the labour share of income between 1990 and 2015, and the rising profit share that is its counterpart did not translate into higher investment — which is what distinguishes an economy where profits reward production from one where they reward position.

The result is a productive structure polarised from both ends. At the top, firms can secure returns through market position without undertaking the investment required to raise productivity; at the base, firms remain trapped by weak demand, limited credit and low productive capability (Pérez, 2019). This is the trap Ros (2015) described: low investment and high inequality reinforcing each other, with neither markets nor austerity offering a way out.

These dynamics reinforce a polarised productive structure. At the top, firms can secure returns through market position without necessarily undertaking the investment required to raise productivity; at the base, firms remain trapped by weak demand, limited credit and low productive capability (Pérez, 2019). The result is a thin layer of firms able to scale, innovate and connect the most productive parts of the economy to a broader domestic supplier base.

2.4 Finance that does not serve production

The productive structure described above is reinforced by the way finance is allocated. A financial system can help firms invest, scale and move into higher-value activities, but this requires capital to reach productive investment on appropriate terms. In Mexico, substantial financial resources coexist with limited finance for precisely these purposes.

Commercial banking is large, concentrated and highly profitable. Bank assets reached MXN 14.7 trillion in late 2024, with the four largest banks holding around 55 per cent of the total; foreign-owned banks account for around 55 per cent of banking assets, with BBVA and Santander alone holding 35.4 per cent (CNBV, 2026). The system reported record profits of MXN 288 billion in 2024, exceeded reaching MXN 304 billion in 2025 (CNBV, 2026).

Little of this lending reaches production. Credit to non-financial firms accounts for around 47 per cent of the total loan portfolio, with around 42 per cent going to households through consumer and mortgage lending and the remainder to government and financial entities (CNBV, 2026). Within firm credit the skew continues: manufacturing receives under a fifth of business lending, so an industry that produces around 22 per cent of GDP is financed by roughly one peso in eleven of bank credit (Banco de México, 2026).

Even the credit that does reach firms rarely finances expansion. Analysis based on the 2024 Economic Censuses finds that 86.4 per cent of the financing firms obtain goes to current spending and debt service rather than fixed investment, and that the smallest firms, the overwhelming majority of Mexico's economic units, remain largely outside the financial system altogether (Rodríguez León and Ortiz Velásquez, forthcoming). Nor is this only a supply-side failure: in the manufacturing cycle, credit behaves as a response variable rather than an impulse variable, with firms borrowing to operate and borrowing to expand only when demand justifies expansion (Rodríguez León and Ortiz Velásquez, forthcoming). The slowdown in firm credit — real growth of the commercial portfolio fell from 7.9 per cent in 2024 to 1.0 per cent in 2025, and Banco de México's measure of the gap between firms' financing needs and available credit was negative for eight consecutive quarters (Banco de México, 2026; CNBV, 2026). High profitability has therefore coexisted with weak growth in the credit needed to broaden Mexico's productive base.

Mexico's largest pool of long-term domestic savings is also only weakly connected to productive investment. The AFOREs administer MXN 8.95 trillion, around 25 per cent of GDP and more than total bank credit. Of this, 51.5 per cent is invested in government securities, while structured instruments account for around MXN 644 billion, or roughly 7 per cent of assets (CONSAR, 2026). This is potentially an important source of patient domestic capital for infrastructure, energy, water, and other long-term investments under *Plan México*, but mobilising it requires investable vehicles at sufficient scale and with the fiduciary safeguards pension savings require.

Public development finance should be able to correct some of this. Mexico already has substantial institutions: development-banking assets exceed MXN 3.2 trillion, around 9.3 per cent of GDP, a scale comparable, relative to the economy, to Brazil's BNDES, and their mandates span industrial development, SMEs, infrastructure, trade, rural credit and risk sharing. The constraint is not the absence of public financial institutions but how their capacity is organised and deployed. A significant share of development finance still reaches firms indirectly: as of mid-2024, NAFIN placed 67.0 per cent of its credit through commercial banks and other intermediaries, while FIRA operates almost entirely through intermediaries; Banobras and Bancomext, by contrast, lend more extensively at first tier (HR Ratings, 2024; FIRA, 2026).

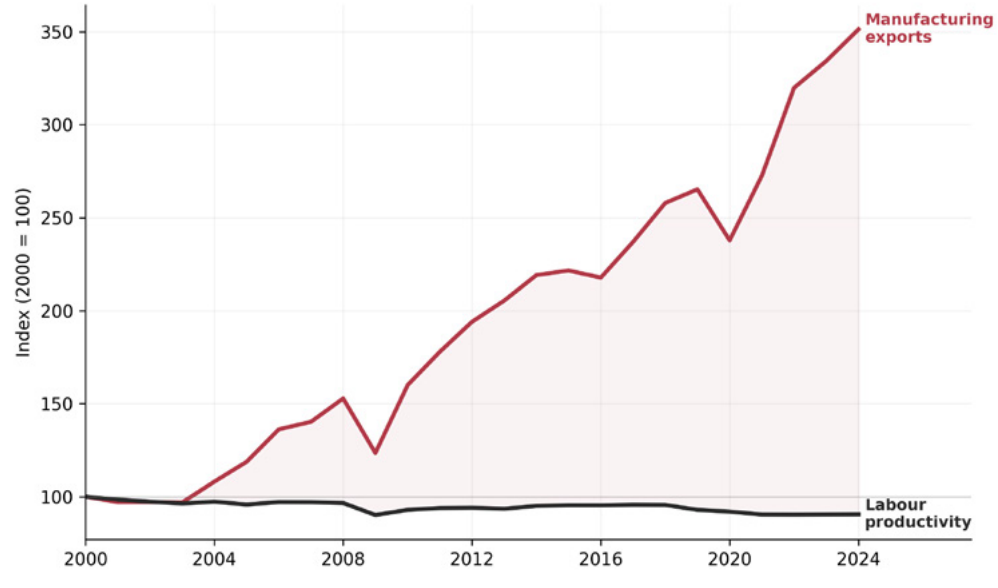
Finance follows the existing productive structure more readily than it transforms it. The result reinforces the productive divide described in Section 2.2: firms already able to access finance and established markets remain at the top. The next sections looks at ahow this translates into challenges for productivity growth and technological upgrading throughout the economy.

2.5 Scale without upgrading

The allocation problems described above are visible in Mexico's export structure. Integration into global value chains — anchored since 1994 by the North American Free Trade Agreement (NAFTA) and, since 2020, its successor the United States–Mexico–Canada Agreement (USMCA) — has generated a major expansion of manufacturing and exports, but much less upgrading of the domestic productive base.

Mexico has become highly successful at producing and exporting at scale, and much less successful at using that activity to build the domestic knowledge, technologies, firms, and institutional capabilities that raise value per worker over time (OECD, 2026; Sandoval and Juárez, 2026). Manufacturing exports more than tripled between 2000 and 2024, while labour productivity remained broadly stagnant and ended the period below its initial level (Figure 5).

Figure 5: Change in volume of manufacturing exports and labour productivity (Index 2000=100)



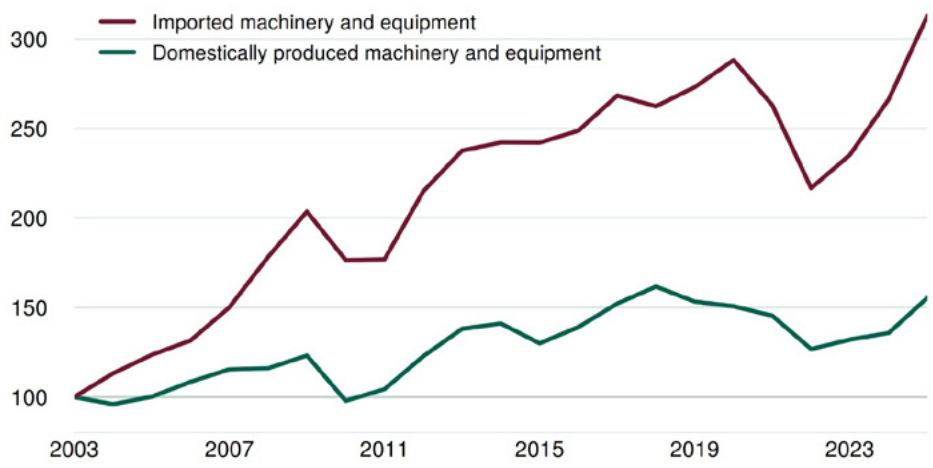
Source: Authors' calculation.

This divergence reflects how export production is organised. A significant share of manufacturing depends on imported components, machinery, and technology, with domestic firms concentrated in assembly and other lower-complexity segments of global value chains. Export growth has therefore expanded production without generating equivalent domestic linkages and technological capabilities.

Greater investment and deeper integration do not by themselves produce upgrading. Mexico's experience since NAFTA shows that integration can expand output and exports while leaving domestic supplier networks and technological capabilities comparatively weak (Moreno-Brid and Ros, 2009; Ros, 2015). What matters is not only how much is invested, but what that investment builds and how far its benefits diffuse through the domestic economy.

The composition of machinery investment illustrates the point. Imported capital goods can raise productive capacity and facilitate access to frontier technologies. However, their developmental effect depends on whether they are accompanied by domestic engineering, research, maintenance, design, and supplier capabilities. Figure 6 traces the change in the two series since 2003.

Figure 6: Gross fixed investment in machinery by origin (2003=100)



Source: Authors' calculation based on INEGI (2026b)

As illustrated in Figure 6, investment in imported machinery and equipment has grown much faster than investment in domestically produced machinery. Capacity has expanded without equivalent growth in the domestic capital-goods base or in the capabilities needed to absorb and adapt imported technologies.

Foreign direct investment (FDI) presents a similar issue. Mexico received US$36.9 billion in FDI in 2024, of which 77.8 per cent consisted of reinvested earnings and only 8.6 per cent of new equity investment (Gobierno de México, 2026b). Reinvested earnings can sustain existing production and employment, but high headline FDI does not necessarily imply the creation of new productive capacity, research networks or domestic supplier relationships (El Kadi, Schatan and Valenciano, 2026). Recent analysis from the Faculty of Economics of the Universidad Nacional Autónoma de México (UNAM) documents this disconnect as an investment paradox: the FDI rebound driven by nearshoring — the relocation of production and supply chains closer to the US market — has coexisted with a contraction in domestic private investment over the same period, so strong headline inflows have not translated into a broader recovery of capital formation (Rodríguez León *et al*, 2026). The relevant test is additionality: whether foreign investment generates capabilities, investment and spillovers that would not otherwise occur.

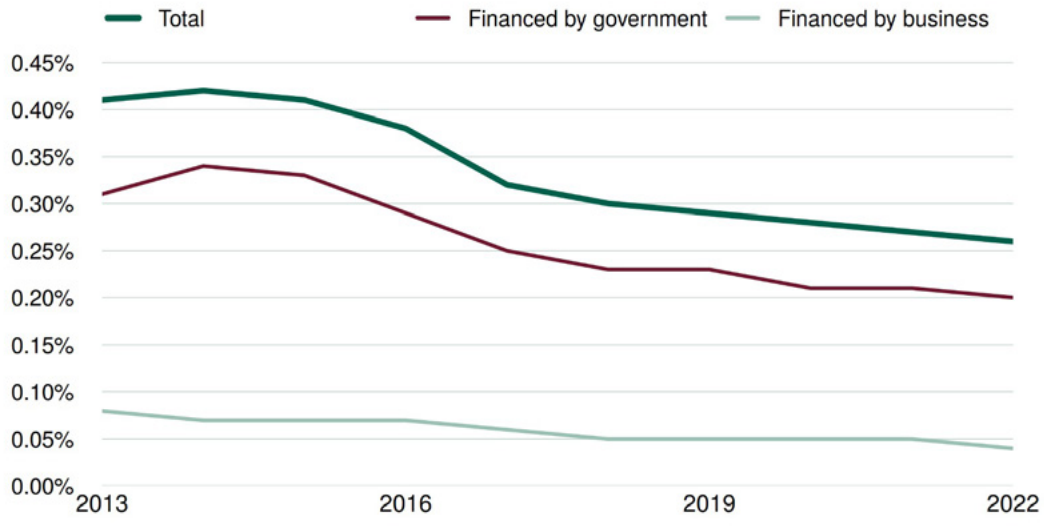
The concentration of exports in a single market further reinforces this structure. In 2024, 84.1 per cent of Mexico's non-petroleum exports went to the United States (INEGI, 2025c; Thrasher, 2026). Tariff measures, repeated tariff threats and the 2026 USMCA review therefore affect not only market access but investment expectations and the room for longer-term productive planning (Thrasher, 2026). The reorganisation of North American supply chains also creates opportunities for nearshoring, but without deliberate capability building these are likely to accrue disproportionately to the firms and regions already integrated into export production.

2.6 A weak innovation system

The weak upgrading described in Section 2.5 is compounded by a chronically underfunded innovation system. Mexico has long invested little in research and development by international standards. R&D spending fell from 0.41 per cent of GDP in 2015, to 0.26 per cent in 2022, the lowest level in the OECD (Dutrénit and Puchet, 2017; OECD, 2026; World Bank, 2026).

The decline occurred across both public and private investment in innovation, as shown in Figure 7. Government-financed R&D fell from 0.34 to 0.20 per cent of GDP, while business-financed R&D, already very low, declined from 0.08 to 0.04 per cent (CONAHCYT, 2024).

Figure 7: Spending on R&D, as a per cent of GDP, public and private sectors



Source: CONAHCYT (2024)

Between 2019 and 2024, this weakness was reinforced by real-terms cuts to science and innovation budgets and by the 2020 abolition of public trust funds used to finance research, including around 65 science and technology fideicomisos (Presidencia de la República, 2020). These changes reduced the institutional and financial infrastructure available to support research, technological development and links between public research and production.

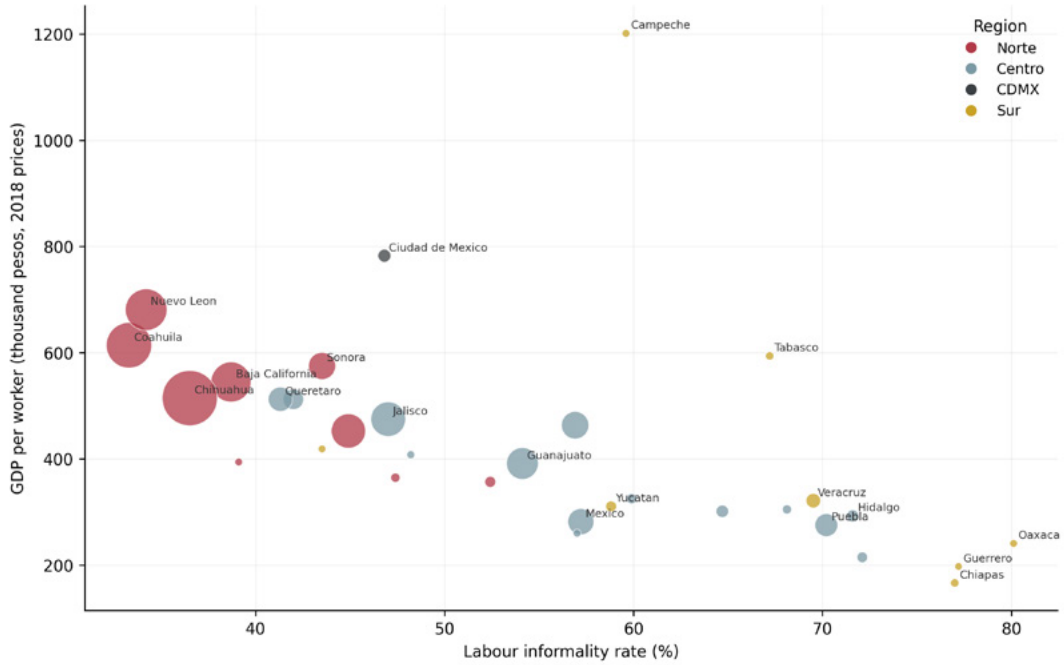
Rebuilding has begun with the creation of the Secretariat of Science, Humanities, Technology and Innovation (SECIHTI) in November 2024, but its budget has yet to recover in real terms. For the delivery of *Plan México*, the challenge is to rebuild an innovation system able to connect research, firms and productive investment so that knowledge is absorbed, adapted and diffused across the economy.

2.7 Territorial and social divides

The structural weaknesses described above are distributed unevenly across Mexico. Investment tends to reinforce existing concentrations of productive capacity because regions with infrastructure, skilled labour, research institutions, and established suppliers are better placed to attract new activity. Nearshoring has followed this pattern, concentrating investment where logistics, energy, suppliers and skills are already present rather than automatically spreading productive capacity towards regions with the greatest development needs (El Kadi, Schatan and Valenciano, 2026). The mismatch between the geography of natural resources and that of production adds to the challenge, with important water resources concentrated in the south while major industrial activity is concentrated further north.

Output, formal employment, infrastructure and industrial capabilities are concentrated in Mexico City, the northern border states, Nuevo León, Jalisco and parts of the Bajío. Much of the south and south-east combines lower productivity, higher informality and weaker integration into manufacturing networks. Labour informality ranges from around 35 per cent in some northern states to between 75 and 80 per cent in parts of the south, against a national average close to 55 per cent.

Figure 8: Labour informality, GDP per worker, and exports across Mexican states (2023)



Source: Authors' calculation. **Note:** Bubble size is proportional to each state's exports.

Figure 8 shows the relationship between labour informality and GDP per worker across states, with bubble size proportional to each state's exports. Northern states generally combine lower informality, higher productivity and larger manufacturing-export bases. Southern states are concentrated at the opposite end of the distribution. Mexico City stands apart because of its concentration of high-value services, while Campeche and Tabasco are productivity outliers because GDP per worker is boosted by hydrocarbon extraction.

Unequal productive capacity is accompanied by unequal access to the infrastructure through which firms and households increasingly reach markets, finance and public services. Mexico had 100.2 million internet users in 2024, equivalent to 83.1 per cent of the population aged six and over, but household connectivity was 55.5 per cent in Oaxaca, 50.7 per cent in Chiapas and 58.9 per cent in Guerrero, compared with 84.4 per cent in Mexico City and Sonora (INEGI, 2025c). The digital divide therefore compounds the productive divide: places with weaker economic and institutional capacity also have more limited access to systems that increasingly underpin economic participation and public delivery.

These inequalities also run through the labour market. More than half of workers remain in informal employment, outside social security and many of the institutions through which productivity gains are shared (INEGI, 2026a). Care responsibilities further constrain who can participate in paid work. In Mexico, 58.3 million people require care, and three out of four caregivers are women. Women's labour-force participation stands at 45.2 per cent, compared with 74.0 per cent for men, while around 16 million women could enter the labour market if care responsibilities were more equally shared (INEGI, 2022, 2026a). Care infrastructure is therefore not separate from productive policy: it affects the supply of labour, household incomes and who is able to participate in new economic opportunities.

Regional investment is also shaped by differences in security and institutional conditions. Business surveys consistently identify insecurity, weaknesses in the rule of law, corruption and impunity among the principal constraints on private investment (Banco de México, 2026). In territories where criminal organisations exert greater control, these conditions can disrupt economic activity and distort markets, adding another constraint that national investment and regional-development strategies must take into account (Garriga and Phillips, 2023).

Territorial and social inequalities therefore do more than determine who benefits from growth after it occurs. They shape where investment goes, which firms and workers can participate in higher-value activity, and where new productive capabilities can emerge. They also affect whose knowledge, and priorities enter the design of policy, making participation part of the capability required to deliver territorially balanced transformation.

Together, these six constraints reinforce one another rather than operating in isolation. Fiscal consolidation squeezes the public investment that could crowd in private capital; a polarised productive structure and rent-extracting market power weaken firms' incentives to invest in upgrading even where finance exists; a financial system misallocated away from productive activity leaves capable firms undercapitalised; and territorial and social divides determine which places and which people can participate in whatever investment does occur. None of these constraints sits within a single ministry's mandate, and none can be resolved by a single instrument acting alone. This is where a mission-oriented approach, developed in the next section, can support *Plan México*'s implementation: organising its targets not as a list of sectoral commitments to be pursued separately, but as cross-sectoral portfolios with the coordination, decision rights and delivery architecture needed to convert direction into results.

3. A mission-oriented approach to implementation

Policy recommendations

- Translate *Plan México*'s targets into mission areas with time-bound outcomes. For example, five areas could be upgrading domestic productive capacity, water security, health for all, energy sovereignty, food sovereignty, with cross-cutting foundations of decent work, care, and social protection and environmental sustainability designed into each rather than treated as a separate social agenda.
- Establish a cross-government mission board to coordinate delivery across *Plan México*'s mission portfolios, building on the Strategic Infrastructure Planning Council and the Presidential Office for Investment Promotion. The board should bring together the Secretaría de Hacienda y Crédito Público (SHCP), the relevant sectoral ministries, Nacional Financiera (NAFIN), Banobras, Bancomext and the Fideicomisos Instituidos en Relación con la Agricultura (FIRA), procurement authorities, regulators, state-owned enterprises, subnational governments, public research centres and social partners, so that investment, budgets, regulation and delivery decisions can be coordinated across portfolios rather than handled institution by institution.
- Equip the mission board with decision-making power, including on defining priorities, aligning budget proposals and development-bank windows behind them, resolving or escalating bottlenecks within set timeframes, and publishing the portfolio evaluations on which continued support depends.
- Define clear, measurable outcomes where *Plan México*'s targets remain underspecified. For example, health sovereignty could include a target for the share of medicines, vaccines, medical devices and other priority health products to be produced domestically, giving procurement, finance and industrial policy a concrete goal to work towards.
- Assess success at the portfolio level, on whether interventions collectively build capabilities, generate spillovers, and advance the outcome, rather than only on whether individual projects met their own targets.

Plan México brings together goals that are inherently cross-sectoral: raising investment, expanding domestic productive capacity, strengthening water security, building health sovereignty, accelerating clean energy, and advancing food sovereignty (Gobierno de México, 2025b). None can be delivered through a single ministry, instrument or project pipeline. They require an institutional architecture that organises action around goals and aligns mandates, resources and policy tools across government.

This section sets out how *Plan México*'s targets can be organised and governed as cross-sectoral mission portfolios. Section 2.1 shows how a mission-oriented lens reorganises *Plan México*'s targets around five potential mission areas. Section 2.2 then turns to the whole-of-government arrangements needed to govern these portfolios. It examines where they should sit within Mexico's existing planning architecture, which institutions need to be brought together, and what authority is required to align budgets, finance and implementation around delivery. Drawing on the Strategic Infrastructure Planning Council and the Presidential Office for Investment Promotion, it illustrates how mission boards could give each portfolio a clear institutional home, defined decision rights and a mechanism for resolving bottlenecks, coordinating instruments and adapting the policy mix as implementation proceeds.

3.1 From sectors to challenges and mission portfolios

In Mexico's planning architecture, the PND establishes the overarching direction of government action and provides the constitutional basis for federal planning. It is organised around four general axes: governance with justice; wellbeing and humanism; a moral economy and work; and sustainable development. These are broad statements of direction, and the objectives grouped under them are delivered vertically, through the sectoral programmes of individual ministries, each with its own mandate and budget. In addition to these, the plan includes three cross-cutting axes (substantive equality and the rights of women; public innovation for technological development; and the rights of Indigenous and Afro-Mexican communities), which are horizontal commitments meant to run through every programme. Together, these axes frame *prosperidad compartida* as a development agenda linking economic transformation to social rights, territorial balance, public innovation and environmental sustainability.

Figure 9: Mexico's current planning architecture: the National Development Plan 2025–2030 and its axes, the sectoral plans, and *Plan México* as a cross-cutting strategy



Source: PND 2025-2030 and the named sectoral plans; *Plan México* (Gobierno de México, 2025), planmexico.gob.mx.

Plan México adds a second horizontal layer. Rather than replacing the PND or the sectoral programmes, the plan cuts across the verticals from the other plans, as an industrial strategy that brings together goals of different kinds. *Plan México* includes macroeconomic targets, led by raising investment above 25 per cent of GDP; lays out productive priorities, from higher domestic content to strengthening strategic sectors; specifies social outcomes, in employment, wages and poverty; and sets goals for more balanced territorial development, through the *Polos de Desarrollo Económico para el Bienestar*. It further specifies targets for some of the instruments to support delivery, from outcome-oriented procurement and permitting to financing (Gobierno de México, 2025b). Its targets are therefore not simply sectoral; they are different dimensions of broader challenges that draw on several sectoral programmes, institutions and tools at once. An overview of Mexico's planning architecture is illustrated in Figure 9.

Plan México's targets sit at three levels: 13 economy-wide goals; and 18 additional targets and actions (Gobierno de México, 2025b). Among the 13 goals, some describe outcomes the strategy should add up to, such as becoming a top-ten economy and reducing poverty and inequality; some are targets for a single sector, such as tourism; and some attach to delivery instruments,

such as permitting times and access to financing for SMEs. The plan's social commitments, like the PND's cross-cutting axes, are horizontal foundations. Figure 10 illustrates a potential way of organising the plan's vision into five potential mission areas, along with cross-cutting goals and foundations, and delivery instruments.

Figure 10: *Plan México* targets reorganised as potential cross-governmental and cross-sectoral mission areas



Source: Authors' elaboration based on Gobierno de México (2025b).
Note: The figure illustrates a potential arrangement of the goals and targets already in *Plan México*.

The first mission area is securing water for social, industrial and territorial development. Targets such as recovering 2,800 million cubic metres of water, modernising irrigation for 200,000 hectares by 2030, advancing strategic hydraulic projects and restoring priority basins, including Tula, should not be treated only as water-sector commitments (Gobierno de México, 2024, 2025b).

The second mission area is achieving health for all and strengthening domestic health supply. Producing vaccines and pharmaceuticals in Mexico, strengthening consolidated health procurement and linking public health demand to domestic production cannot be delivered by the health sector alone (Gobierno de México, 2025b). They connect health provision, industrial capacity, science, procurement, regulation and finance, making health a clear example of why *Plan México* needs horizontal coordination across sectoral mandates.

The third mission area is expanding clean energy for production. Targets to increase clean generation, add renewable capacity and maintain the strategic role of the state in electricity generation are energy targets, but they also matter for industrial competitiveness, supplier development and territorial investment (Gobierno de México, 2025b).

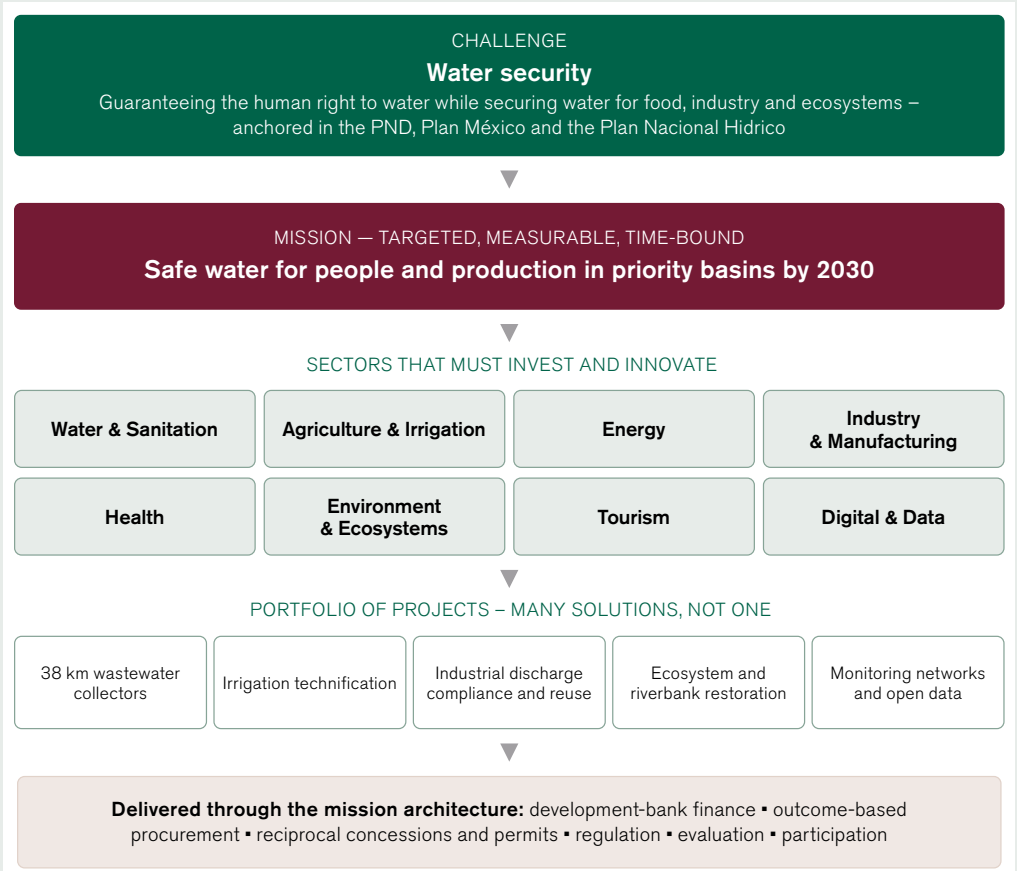
The fourth mission area is advancing food sovereignty and rural production. Targets for agricultural production, maize and bean self-sufficiency, and rural production and irrigation depend on more than agricultural policy (Gobierno de México, 2025b). They connect agriculture, water, rural producers, local governments, health, infrastructure and development banks. They also create space to use demand-side tools, including public food purchasing and school meals, to link nutrition and local production and to boost rural incomes.

All mission areas rest on a shared foundation: upgrading domestic productive capacity, decent work, care and social protection. The portfolio architecture is what makes these commitments cross-sectoral in practice: labour and care standards travel through procurement criteria, conditionalities on public support and the siting of care infrastructure in the Polos, cutting across the economy, health, labour, finance and women's ministries rather than sitting in a parallel social agenda.

Reading *Plan México* this way, sorted into outcomes, mission areas, foundations and delivery instruments, shows where priorities otherwise risk falling between institutional mandates. Domestic vaccine and pharmaceutical production, for example, appears as a *Plan México* priority but spans health, industry, science, procurement, regulation and finance; anchored in neither the health nor the economic planning system, it risks becoming everyone's concern but no institution's responsibility.

Box 3.1 Components of mission-oriented policy

Mission maps can help visualise the cross-sectoral engagement that is needed to achieve missions.



- **Grand challenges** are difficult but important, systemic and society-wide problems that do not have obvious solutions. For example, guaranteeing the human right to water while securing water for food, industry and ecosystems.
- **Missions** are concrete goals that, if achieved, will help to tackle a grand challenge. They set a clear direction for the different actors and sectors whose investment, innovation and effort are required to develop solutions. To mobilise as much cross-sectoral collaboration as possible, missions should focus less on economic outcomes and more on societal and environmental outcomes. Missions can help transform complex challenges, such as Safe water for people and production in priority basins by 2030.
- **Sectors** are the economic sectors that need to be involved in developing solutions to specific missions, generally in collaboration with one another.
- **Projects** are activities or programmes that solve particular problems and, in so doing, help to achieve the broader mission, such as ecosystem and river restoration or treatment and reuse capacity.

Source: Adapted from Mazzucato (2021) and Mazzucato, Doyle and Kuehn Von Burgsdorff (2024)

3.2 A whole-of-government approach

Effective delivery depends on the state's capacity to act as a strategic, value-creating actor. This means aligning finance, procurement, regulation, public investment, state-owned enterprises and sectoral programmes around shared, time-bound outcomes. Missions are the coordinating layer this requires, but a layer without authority is a meeting. What follows sets out the coordination problem as Mexico experiences it, the bodies the administration has already created to address it, the international comparison, and then what those bodies would need to decide rather than convene.

The fact that *Plan México* is nested directly within the Office of the Presidency is key. The implementation of *Plan México* requires greater cross-ministerial coordination and a governance architecture that can move beyond vertical planning silos. This responds to a broader complexity problem: the most ambitious societal goals are often met with the most compartmentalised policy responses (Mazzucato and Kattel, 2020). Fragmentation is especially costly when delivery conditions are tightening, because slowing investment, fiscal consolidation and external uncertainty reduce room for error.

The issue is not whether institutions share objectives: the PND and *Plan México* already give them a common direction. It is that mandates, budget lines and accountability systems are organised vertically while these priorities are horizontal — the mismatch the innovation-policy literature identifies as the reason ambitious societal goals so often meet compartmentalised responses, and one long debated in the organisation of Mexican economic policy itself (Capraro, Panico and Torres Gonzalez, 2023). Where no standing device aligns institutions before decisions escalate, coordination tends to default upward to the centre of government for case-by-case resolution, a burden that mission-oriented governance is designed precisely to relieve (Dweck and Mazzucato, 2025). The question the delivery

architecture must answer is therefore concrete: what is the standing coordination device of the Mexican state, who convenes it, and what can it decide?

Mexico is already taking steps in this direction. In 2026, the presidency established two new bodies designed to strengthen coordination within *Plan México* and the PND: the Strategic Infrastructure Planning Council and the Presidential Office for Investment Promotion.

The Strategic Infrastructure Planning Council (Consejo de Planeación Estratégica para la Inversión en Infraestructura), chaired by the Federal Executive with SHCP as alternate chair, is intended to establish technical criteria, issue coordination guidelines and formulate non-binding recommendations for strategic investment under *Plan México* and the Infrastructure Investment Plan for Development with Wellbeing 2026–2030 (Presidencia de la República, 2026b; UNCTAD, 2026). Its importance is not only technical; it creates a forum for cross-sectoral dialogue among institutions that often operate through separate mandates.

The Presidential Office for Investment Promotion complements this planning function by accelerating the evaluation of strategic investment proposals, including projects in sectors such as semiconductors, automotive, pharmaceuticals and aerospace (Presidencia de la República, 2026a). The establishment of such bodies addresses a long-standing delivery gap in the Mexican state. Historical diagnostics have consistently identified the lack of an effective, high-level coordination body as the primary reason why strategic state institutions, particularly development banks, have failed to reach their objectives (MORENA, 2017). To overcome this, the delivery architecture must move beyond vertical planning silos towards a model of 'transversality', where policies are designed as integral solutions that account for the deep interrelations between thematic areas.

Together, these two bodies represent a significant step towards a more coordinated state, although outcome-oriented governance requires coordination to go beyond information-sharing and investment facilitation. As *Plan México* matures, these arrangements need to evolve into a delivery architecture centred on achieving goals, where cross-government teams jointly steer implementation and adapt policy in response to evidence.

One way to do this would be to establish mission-specific boards under the strategic direction of the Council. Rather than replacing existing ministries, these boards would provide a standing mechanism for coordinating the policy mix required by each outcome. Each board could be chaired by the lead minister, agency head or head of a relevant state-owned enterprise most closely connected to the outcome. Its members would include the institutions whose tools matter for delivery: SHCP, relevant sectoral ministries, development banks, procurement authorities, regulators, public enterprises, subnational authorities, academia, public research centres, and social partners.

The purpose of these boards would be to give cross-sectoral priorities an institutional home. They would clarify who convenes, which instruments are being aligned, what bottlenecks need to be resolved and how learning feeds back into implementation. They would also help prevent each institution from pursuing its own narrow output while assuming that another body is responsible for the overall outcome. In practice, they would move *Plan México* from coordination as consultation to coordination as joint problem-solving. Box 3.2 provides examples of coordination structures from Brazil and Barbados.

Box 3.2 State architecture in practice: Brazil's whole-of-government mission governance

Brazil shows what whole-of-government mission delivery looks like at a scale comparable to Mexico's. Missions are owned by the Presidency; the finance ministry anchors the Ecological Transformation Plan and redirects credit from Banco Nacional de Desenvolvimento Econômico e Social (BNDES), Brazil's national development bank, with conditionalities so that supported firms innovate towards the missions, the Ministry of Management and Innovation in Public Services treats procurement, state-owned enterprises, digital public infrastructure and civil-service capability (through the Escola Nacional de Administração Pública-ENAP) as parts of a single state-transformation agenda; and the Nova Indústria Brasil governance, through the Conselho Nacional de Desenvolvimento Industrial (CNDI), brings together 20 ministries, BNDES and business and labour representatives around six missions (Dweck and Mazzucato, 2025).

Barbados applies the same principle at a much smaller scale, with mission boards chaired by senior ministers under the Prime Minister's Office and a coordination committee linking delivery to civil-service reform (Mazzucato, 2023a).

Both come with caveats. Brazil's follow-through has been uneven: the architecture exists and the ecological transformation agenda is nested in the Presidency and the finance ministry, but the outcomes it was built to deliver are still largely ahead of it, and the CNDI's six missions have moved faster on governance than on measurable results. Barbados operates at a fraction

of Mexico's scale, where a single coordination committee can reach every delivery institution in the country. Neither is a template. What both show is the principle: missions need a home at the centre of government with the authority to convene, coordinate and learn across ministries, banks and enterprises, and neither architecture substitutes for the decision rights discussed below.

For that to happen, boards need decision rights, not just convening power. Each board should hold a defined mandate over its portfolio: to agree the priority pipeline, to align budget proposals and development-bank windows behind it, to resolve or escalate bottlenecks within set timeframes, and to publish the portfolio evaluation on which continued support depends. Ministries keep their legal mandates; what changes is that the mission, not the silo, sets the sequence. Figure 11 maps such a board and its potential members.

Figure 11: A coordination map for *Plan México*: the mission board and its members



Source: Authors' elaboration. One board per mission portfolio (Section 3.1), reporting to the Council; membership varies with the outcome.

Figure 11 shows what this looks like for a single portfolio. The board sits at the centre, chaired by the institution closest to the outcome, and draws in the bodies whose instruments have to move together: SHCP for budget alignment, the sectoral ministries that hold the legal mandates, the development banks that supply patient finance, the procurement authorities that shape demand, the regulators that set the terms of entry, the state-owned enterprises that own the assets, and subnational authorities, research centres and social partners. What the map makes visible is that none of these institutions is replaced. The board is the standing device through which they align a sequence, and what passes between them is decisions rather than information: which projects come first, which budget lines and credit windows sit behind them, which bottleneck is escalated and by when.

The chapters that follow set out what each of those tools and institutions needs to look like. Section 4 asks whether the macroeconomic and fiscal framework treats public investment as a foundation for delivery or as the first casualty of consolidation, and how tax policy can broaden the revenue base without weakening productive investment. Section 5 turns to where the state acts directly, through state owned enterprises, and where it acts indirectly, through conditions attached to the finance, contracts, concessions and permits it extends to firms it does not own. Section 6 examines whether development finance reaches the firms and capabilities each mission portfolio depends on, rather than flowing to where risk is lowest. Section 7 asks the same question of public procurement: whether demand is aggregated and organised around outcomes or left to accumulate as a series of individual purchasing decisions. Each is a different lever a mission board would need to pull; together, they are the delivery architecture this section has argued Mexico still lacks.

4. Aligning macroeconomic policy with sustainable, inclusive, innovation-led growth

Policy recommendations

- Align the macroeconomic framework with *Plan México*, ensuring that fiscal policy, fiscal rules and the tax system support the plan's investment and productive transformation goals rather than working against them.
- Protect and expand the public investment on which *Plan México* depends, treating fiscal space as endogenous: assess public investment by the productive capacity it builds, the private investment it crowds in and the future revenue it generates, not only by its near-term cost.
- Redesign the fiscal rules to recognise the assets and productive capabilities that investment creates, building on the accrual mandate already contained in the General Law on Government Accounting, with a published classification of what counts as investment so that the distinction is verifiable.
- Complement the deficit and debt indicators of the Federal Budget and Fiscal Responsibility Law with balance sheet measures, including public sector net worth, assessed over a horizon long enough to capture investment returns.
- Broaden the revenue base progressively through more effective taxation of wealth, inheritances, capital income, property and economic rents, and expand formalisation through productive upgrading and support for decent work rather than through enforcement alone.

Macroeconomic policy is often presented as the neutral framework within which industrial policy operates. In practice, it is one of the principal determinants of whether productive transformation can occur at all. Fiscal policy, public investment, the financial system and taxation influence not only the quantity of investment but also its direction, shaping which productive capabilities are built, which sectors expand, how innovation occurs and whether growth translates into rising living standards. The macroeconomic framework determines the conditions under which structural transformation becomes possible.

This perspective is particularly relevant for *Plan México*. The strategy seeks to raise investment, strengthen domestic productive capacity, expand innovation and deliver shared prosperity. Achieving these objectives requires more than identifying priority sectors or announcing investment targets. It requires a macroeconomic framework that consistently directs public and private investment towards those priorities. The budget, fiscal rules and tax system should therefore be understood not as external constraints on *Plan México* but as central instruments through which its objectives are delivered.

This represents a different way of understanding macroeconomic policy. Rather than separating macroeconomic stability from industrial development, it recognises that the two are mutually reinforcing. The level of demand, the availability and cost of finance, the composition of public expenditure, and the incentives embedded within the tax system all influence investment decisions. They determine not only whether firms invest, but where they invest, what capabilities they build and whether rising demand is met through domestic production, imports or rent extraction. Macroeconomic policy must therefore connect demand, investment and productive capacity instead of managing aggregate demand in isolation from the productive structure of the economy (Mazzucato and Merling, 2026).

A strategy for shared prosperity must preserve the social gains that support household demand while expanding the productive capacity needed to sustain them. Fiscal consolidation that protects the headline balance by compressing productive investment can weaken growth, private investment and the future revenue base. It also creates a contradiction at the centre of *Plan México*: ambitious targets for investment and domestic productive capacity are pursued while one of the principal instruments needed to achieve them is constrained.

Aligning macroeconomic policy with inclusive, innovation-led growth means treating fiscal rules and the tax system as instruments of the transformation strategy, not constraints external to it. Section 4.1 sets out the case for public investment as the foundation of that strategy and what it implies for Mexico. Section 4.2 turns to the fiscal rules that determine whether such investment is protected or cut. Section 4.3 addresses the revenue base needed to sustain it.

4.1 Building productive foundations through public investment

Public investment is the lever on which *Plan México*'s productive transformation most directly depends. Across the plan's priorities — infrastructure, water systems, clean energy, logistics, health capacity and supplier development — private investment tends to follow public investment rather than precede it, because public commitment is what creates demand, reduces uncertainty and signals the direction of growth. When the state builds complementary assets and shapes the market, firms invest; when it withdraws, expected returns fall and private mobilisation weakens rather than strengthens.

The claim that public investment displaces private investment is not supported by the evidence. Research covering 17 advanced economies finds that an unanticipated increase in public investment of 1 per cent of GDP raises output by around 0.4 per cent in the same year and by 1.5 per cent four years later, raises private investment rather than reducing it, and lowers the debt-to-GDP ratio, with the effects strongest where investment efficiency is high and where the economy is operating below capacity (Abiad, Furceri and Topalova, 2016).

Work on directed innovation policy reaches the same conclusion by a different route, finding that public investment in research and in mission-oriented programmes induces private investment over a multi-year horizon rather than substituting for it, with the induced effect several times the size of the initial outlay (Deleidi and Mazzucato, 2021; De Lipsis *et al*., 2026).

The displacement argument rests on the assumption that public and private borrowers compete for a fixed pool of prior savings. This does not describe how credit is created, since lending creates deposits rather than intermediating an existing stock, and the binding question is therefore who directs credit and towards what (Kregel, 2004; De Carvalho *et al*., 2019). The distinction matters for how the problem is framed. Understood as a financing gap to be closed, it invites the state to withdraw and wait for private capital to arrive. Understood as a direction problem, it identifies the constraint correctly: not an absence of resources, but the absence of a public commitment credible enough to make private investment worth making.

The evidence on consolidation points in the same direction. The reassessment of the post-2010 European adjustment found that fiscal multipliers had been systematically underestimated, with forecasters assuming values close to 0.5 when the actual values were substantially higher, which is why the countries that consolidated most sharply grew least and saw debt ratios rise rather than fall

(Blanchard and Leigh, 2013). Longer-run analysis finds that consolidations do not only reduce output temporarily but leave permanent effects, lowering the level of potential output through forgone investment and eroded capabilities, so that the denominator of the debt ratio is durably smaller (Fatás and Summers, 2018). Consolidation that falls on investment is therefore not a neutral decision about timing. It changes the growth path against which fiscal ratios are measured.

Mexico's consolidation illustrates the point. The government's approach to austerity is framed as redirection rather than retrenchment, eliminating superfluous spending to protect social programmes and finance strategic priorities, and the savings reported under the Austeridad Republicana framework are directed to those ends (Cámara de Diputados, 2019). Social programmes have been protected, which is a genuine achievement. However, with social spending protected, pensions rising and debt service increasing, public investment has become the adjustment variable.

The consolidation now under way, from a deficit of around 5.7 per cent of GDP in 2024 towards a 2025 target of 4.3 per cent of GDP for the broad public balance, has made public investment the de facto adjustment variable: physical investment fell 28.4 per cent in real terms in 2025, to around 2.2 per cent of GDP, among the lowest levels in decades (México Evalúa, 2025; IMCO, 2026; SHCP, 2026c). An adjustment with that composition works against the strategy it is meant to serve, weakening the very growth on which the fiscal targets depend.

The case is therefore not simply for more public investment as such, but for more of the public investment that builds the foundations on which *Plan México*'s targets depend: transport and logistics, water systems, the energy transition, health capacity and the knowledge base.

Monetary and exchange-rate dynamics bring in additional challenges. High real interest rates raise the cost of long-term investment finance and, by attracting portfolio inflows, can appreciate the peso in ways that work against the domestic-content and import-substitution goals of *Plan México*. Fiscal, monetary and financial policy therefore need to be read together, as parts of one macro-financial framework aligned behind the strategy rather than pulling against it (Ros, 2015; Capraro, Panico and Torres Gonzalez, 2023; Moreno Brid, Esteban and Pérez Medina, 2026).

Protecting public investment therefore requires more than political commitment; it requires a fiscal framework that recognises what such investment builds rather than counting only what it costs. That is the subject of the following subsection.

4.2 Redesigning fiscal rules to unlock investment

Fiscal debates are often framed as a choice between stability and investment. Governments are expected first to create fiscal space through consolidation and only then to invest. This framing rests on an implicit assumption that fiscal space is fixed and that public investment simply consumes scarce resources. From the perspective of investment-led growth, however, this reverses the direction of causality. The level of fiscal space available tomorrow depends partly on the investments undertaken today.

Fiscal sustainability is not only about reducing deficits but also about expanding the economy's capacity to generate income and revenue over time. When public spending raises demand, builds productive capacity and crowds in private investment, it enlarges the denominator against which fiscal ratios are measured. Under these conditions, growth itself becomes a central mechanism for stabilising public finances.

Thus, fiscal policy is part of *Plan México*'s delivery architecture. The strategy depends on raising investment, expanding domestic productive capacity and crowding in private activity around national priorities. The way in which fiscal rules classify spending, the way consolidation is distributed across the budget, and the way public investment is protected all shape whether that can be delivered.

The problem begins when fiscal space is treated as a fixed envelope: first consolidate, then invest. Public investment is treated as a cost that uses fiscal space rather than an activity that helps create it, when in reality fiscal space depends on what the state invests in. This misses the economic properties of investment captured by multiplier and supermultiplier approaches. Public investment has an immediate demand effect when it is spent; its larger effect comes as sustained investment induces private investment, raises expected demand and expands productive capacity. Firms invest because public action creates markets, infrastructure and expectations of future activity. The resulting growth expands the tax base and improves debt dynamics through the denominator. Because fiscal space is endogenous, cutting public investment can be self-defeating, reducing expenditure in the short run while weakening the growth path that makes fiscal ratios sustainable over time.

Fiscal rules matter because they shape how governments see these choices. Rules that focus narrowly on headline deficits or debt recognise the liability created by borrowing but fail to recognise the asset created by investing. This builds in a bias against public investment, especially during consolidation, because it is easier to delay projects than to delay existing commitments or debt-service obligations. The result is a framework that protects short-term targets while undermining long-term capacity.

Better frameworks distinguish between current spending and investment that creates public assets, expands productive capacity or strengthens the future revenue base. This does not mean abandoning fiscal discipline; it means defining discipline in a way that supports investment-led growth. Balance-sheet approaches, public sector net worth measures and accrual-based treatments make visible the assets that public investment creates, rather than counting only the liabilities — and they shift the fiscal question from "how much is spent?" to "what does spending build, and how does it affect future capacity?"

Mexico's fiscal framework contains exactly this tension. As Section 4.1 showed, the government's redirection-not-retrenchment approach has protected social programmes — a genuine and important achievement. But that redirection has a limit: with social spending protected, pensions rising and debt service increasing, public investment has become the adjustment variable when revenue is constrained. This is not primarily a question of Mexico carrying a high debt stock by comparative standards. It is a question of the composition of adjustment and of a framework in which a strategy that seeks to raise investment ends up cutting its own delivery mechanism.

A fiscal framework aligned with *Plan México* would define responsibility around sustaining social gains and expanding productive investment together, through a different rule logic.

First, public investment should be identified and protected within consolidation decisions where it demonstrably contributes to productive capacity, social infrastructure or long-term resilience.

Second, fiscal assessment should distinguish spending that maintains current activity from investment that creates assets or raises future revenue. Third, the framework should incorporate balance-sheet measures that recognise both public assets and liabilities. Fourth, investment should be evaluated not only by near-term cost but by its contribution to growth, additionality, crowding in and public value. Redesigning rules along these lines is also an opportunity to strengthen credibility: a transparent classification of what counts as investment, published project-level evaluation and independent scrutiny make the protection of investment verifiable and anchor the framework in accountability.

Box 4.2. Fiscal rules that recognise investment: the United Kingdom's reform

In October 2024 the United Kingdom changed the primary debt measure in its fiscal rules by shifting from public sector net debt (PSND) to public sector net financial liabilities (PSNFL), a broader measure that recognises the financial assets that public borrowing creates. This change followed a public campaign including an open letter in the Financial Times signed by eight leading economists — including Professor Mazzucato — who warned that the previous rule created a perverse incentive to cut precisely the investment that builds future capacity (Invest in Britain, 2024; Financial Times, 2024). The case was also made that fiscal rules must be seen as part of a broader policy framework linking macroeconomic policy with industrial strategy, in which fiscal, monetary, industrial and environmental policy are aligned behind shared goals (Mazzucato, Emerson and Pick, 2026).

The change from PSND to PSNFL was a step in the right direction, allowing the government to count what it owns as well as what it owes, reducing the perverse incentive to sell government financial assets below their true value simply to flatten the headline debt figure.

However, the change does not capture the value of non-financial assets such as infrastructure and housing, and therefore does not in itself encourage direct government investment in those areas. Additionally, the UK's current budget and PSNFL targets are based on a three-year rolling horizon forecast — in direct tension with the government's own commitment to ending "short-termism" and assessing the growth impacts of its policies over the next decade. The Office for Budget Responsibility has found that a one-off increase in public investment equal to 1 per cent of GDP implies an internal rate of return of 8.7 per cent for the wider economy and 1.9 per cent for the government over the long run (Suresh *et al*., 2024).

That is why the UCL Institute for Innovation and Public Purpose has recommended that the UK make two further changes to its fiscal framework. The first is to adopt public sector net worth (PSNW) as a complementary fiscal metric to help capture the full value of both financial and non-financial assets, including infrastructure, land and public housing. The second is to extend, from three to ten years, the forecast horizon over which PSNFL should be falling.

The United Kingdom's reform, shown in Box 4.2, does not provide a complete model for Mexico, and its effects will depend on implementation, but it does show that governments can redesign fiscal rules to recognise the long-term value of public investment.

The lesson for Mexico is not the specific measure but the principle behind it: rules can be written to count what investment builds, not only what it costs — through broader balance-sheet measures and accrual treatments that recognise the assets, infrastructure and public enterprises that spending creates (Mazzucato, Emerson and Pick, 2026).

Plan México requires a fiscal framework that protects the social gains already achieved while enabling the public investment needed to expand productive capacity, mobilise private investment and build the revenue base for shared prosperity. Mexico holds a key that most countries lack: the General Law on Government Accounting of 2008 already mandates the migration to accrual accounting that records assets when they are created. Building the fiscal rules on that foundation — distinguishing what spending builds from what it merely costs — would align the framework with the government's own investment ambitions.

Without that redesign, the risk is not simply less investment in the short term, but a lasting change in the growth path against which Mexico's fiscal ratios are judged — the dynamic Section 4.1 already showed consolidation produces.

4.3 Harnessing tax policy in support of shared prosperity

Mexico's low tax take limits the state's ability to finance the infrastructure, capabilities and public services needed for *Plan México*. Improved collection has increased revenues, but administration alone is not enough. A broader and more progressive tax base would strengthen fiscal capacity while aligning the tax system with the distributional aims of shared prosperity.

Mexico's revenue base remains narrow by every relevant standard. Tax revenue stood at 17.7 per cent of GDP in 2023 on the OECD basis, the lowest level in the OECD and below the Latin American average (OECD, CIET and IDB, 2025). Federal tax revenue reached a record 15.1 per cent of GDP in 2025 through improved collection and enforcement (SHCP, 2026b). This achievement deserves recognition, but it also marks a limit: enforcement gains are real but finite.

The current constraint is sharpened by the government's no-new-taxes pledge. In the absence of structural revenue reform, adjustment falls more heavily on

expenditure. This creates the same contradiction identified in the previous section: a strategy that depends on raising investment is implemented through a fiscal framework that leaves public investment vulnerable. Strengthening the revenue base is one of the conditions for making *Plan México*'s delivery agenda fiscally and politically durable.

Tax policy can support shared prosperity in three ways. First, it can raise the revenue needed to finance public investment and state capabilities. Second, it can reduce inequality by drawing more from those with greater capacity to pay. Third, it can improve the allocation of resources by taxing rents and unproductive gains more effectively, rather than increasing the burden on ordinary households or productive firms. In public finance terms, taxing economic rents is less distortionary than taxing normal returns to productive activity. The aim is not to tax investment itself but to tax above-normal returns, concentrated wealth and forms of income that are undertaxed relative to their social and economic contribution.

The structure of taxation matters as much as the level. Mexico raises relatively little income from wealth, property, inheritance, capital income, and other areas where capacity to pay is concentrated. This is a distributional issue but also a question of economic strategy. A tax system that undertaxes concentrated wealth and economic rents does more than limit the resources available to the state: it also does little to redirect capital toward productive investment rather than rent extraction, letting gains from market power, asset appreciation or undertaxed capital income accumulate without contributing to the public purse.

This distinction is important for *Plan México*. A stronger tax base should be designed to support, not weaken, productive investment. High-threshold wealth taxation, inheritance or estate taxation, recurrent property taxation, better alignment between capital and labour income taxation, financial-sector taxes and temporary windfall-profit taxes can all be designed around capacity to pay and economic rents. These options would not all have the same revenue potential or administrative requirements, and their design would matter. But together they point to a principle: Mexico can broaden the revenue base in ways that are progressive and investment supporting.

A wealth tax would recognise the concentration of national wealth and the absence of a net wealth tax at present. Oxfam México has estimated that such a tax could raise up to MXN 270 billion per year, depending on design (Oxfam México, 2026). An inheritance or estate tax would address the intergenerational transmission of concentrated wealth and could be targeted only at the largest estates. Recurrent property taxation, especially the predial, is also underused:

Mexico raises around 0.2 per cent of GDP from this source, compared with an OECD average close to 1 per cent. Strengthening this base over time would require coordination with subnational governments, but it could also support territorial development by linking local revenue capacity to local public investment. Public-opinion research finds significant backing in Mexico for taxing large fortunes and for reintroducing inheritance taxation, which suggests the political constraint is narrower than often assumed (Campos-Vazquez *et al*., 2026).

Capital gains and dividends also warrant attention. When capital income is taxed more lightly than labour income, the tax system reinforces inequality and privileges asset ownership over work. Aligning treatment more closely across income sources would support the distributional aims of shared prosperity while reducing incentives to reclassify income for tax purposes. Financial-sector taxation could also be considered, given the profitability of Mexico's financial system and its limited contribution to productive lending. Temporary windfall-profit taxes may be appropriate where exceptional profits arise from external shocks, market power or regulatory advantages rather than productive investment. The distributional case is sharp: decompositions of inequality by income source show property income to be by far its most concentrated component, so leaving it effectively untaxed offsets the equalising effect of rising labour incomes and transfers (Esquivel, 2015; Del Castillo Negrete, 2017; Sámano Robles, 2026).

Formalisation is another structural revenue issue. With informality still accounting for more than half of employment, Mexico's tax and contribution base remains constrained. Social security contributions, at around 2.4 per cent of GDP, are far below the OECD norm. However, formalisation cannot be achieved simply by increasing enforcement on workers and small firms operating at the margins of survival. It requires changing the productive structure that produces informality: expanding decent work, supporting small-firm upgrading, improving access to finance, using procurement to draw firms into formal supply chains and strengthening the social benefits associated with formality.

In this sense, formalisation is both a revenue strategy and a development outcome. The sequencing matters: low investment holds down productivity, and low productivity — not regulation alone — is what sustains informality. Revenue gains from formalisation therefore follow productivity-raising investment rather than preceding it, which is why the demand-side and financing instruments discussed in Sections 6 and 7 are also, over time, revenue policy (Levy Algazi, 2018).

Figure 12 brings these options together and presents a synthesis of proposals advanced in the recent Mexican tax-reform debate by researchers, civil-society organisations and international institutions.

Figure 12: Synthesis of proposals for progressive tax measures

Illustrative proposals for progressive tax reform in Mexico	
Proposal	**What it addresses**
Wealth tax	Wealth is highly concentrated and there is no net wealth tax at present; a high threshold would confine it to the largest fortunes
Inheritance or estate tax	No federal inheritance tax; could be designed to fall only on the largest estates, addressing the intergenerational transmission of concentrated wealth
Recurrent property tax (predial)	Substantially underused relative to OECD peers; strengthening it over time links local revenue capacity to local investment
Capital gains and dividends	Capital income is taxed more lightly than labour income, privileging asset ownership over work; closer alignment reduces inequality
Financial-sector taxes	A highly profitable sector that contributes comparatively little to productive lending; taxation calibrated to profitability
Temporary windfall-profit taxes	Capture exceptional profits arising from external shocks, market power or regulatory advantage rather than from productive investment
Formalisation and social security	Contributions are far below OECD norms; the base broadens as decent work expands, making formalisation a development outcome as well as a revenue source

Source: Authors' synthesis of proposals in the Mexican tax-reform debate, including Ros (2015), Esquivel (2015), Del Castillo (2017), Unda Gutiérrez (2021), Unda-Gutiérrez and Brown-Solà (2023), Campos-Vázquez et al. (2026) and Oxfam México (2026).

International evidence does not support claims that progressive taxation is inherently harmful to growth. Research from International Monetary Fund (IMF) economists has found no systematic trade-off between reducing inequality and growth, while cross-country studies have found no robust link between cuts in top tax rates and stronger growth (Piketty, Saez and Stantcheva, 2014; Aiyar and Ebeke, 2019; Hope and Limberg, 2022). The relevant issue is design. A tax system that discourages productive investment would weaken *Plan México*, but a tax system that raises revenue from rents, concentrated wealth and undertaxed capital income can strengthen investment-led growth by financing the public goods, infrastructure and capabilities on which private investment depends.

Tax policy also matters for public value. When public investment, procurement, development banks and regulation help create markets and raise private returns, part of that value should return to the public purse. Taxation is one mechanism through which the public sector shares in the gains it helps to generate. It complements the risk-reward mechanisms discussed in Section 5, while ensuring that the broader gains from growth contribute back to the collective capacity to invest.

For *Plan México*, the implication is clear. A fiscal framework that protects directed investment must be paired with a revenue system capable of sustaining it. Without a broader and more progressive revenue base, public investment will remain vulnerable to consolidation pressures and the state's capacity to deliver shared prosperity will be constrained. With it, Mexico can better align fiscal stability with transformation: protecting social gains, expanding productive investment and ensuring that the gains from growth help finance the next round of public purpose.

5. Governing for public value: aligning public and private actors

Policy recommendations

- Apply a common public-value framework across all forms of state support. Investment by public enterprises, development-bank finance and guarantees, fiscal incentives, procurement contracts and concessions should all be aligned with *Plan México*'s goals and specify what is expected in return, to ensure public resources build productive capacity rather than subsidise rents.
- The government should write *Plan México*'s goals into the mandates, investment plans and performance frameworks of the enterprises and agencies it controls and evaluate them by their contribution to the economy: value added, employment, investment and decarbonisation. For example, CFE's investment plan would carry the 2026 electricity plan's targets, 38 per cent renewable generation and around 22,000 MW of new capacity by 2030, as commitments CFE answers for, and CONAGUA's decisions on water concessions, hydraulic works and basin management should be assessed against progress towards water security (SENER, 2026).
- Create a standing centre-of-government function to oversee public enterprises and agencies as a portfolio, coordinate their contribution to mission goals, build shared capabilities and transfer effective practices across institutions. Sectoral ministries cannot perform this role alone because their mandates are necessarily narrower.
- Attach clear and enforceable conditions to public support for private firms. Fiscal incentives, development-bank finance, procurement contracts, concessions and other benefits should be linked to commitments on productive investment, domestic supplier development, technology transfer, decent work, affordability, responsible resource use and reinvestment. Where public support creates significant private value, mechanisms such as equity, royalties, profit-sharing or reinvestment requirements should allow the public to share in the gains as well as the risks.
- Make conditionality transparent and rule-based. Publish the support provided, the commitments attached to it, delivery deadlines and the consequences of non-compliance. Standardising these terms across lending programmes, procurement and concessions reduces discretion and allows firms, citizens and oversight bodies to assess whether public support is delivering public value.

Delivering *Plan México* depends on aligning the public and private actors that shape production around the goals the government has set. The test of that alignment is public value: the value created collectively when the state shapes markets and directs investment towards shared goals, over and above the returns any single actor captures.

This requires moving beyond relationships in which public support is allocated without strategic direction or reciprocal obligations. Public finance, procurement, infrastructure, concessions, permits and regulation all shape private opportunity; designed well, they can generate additional investment, steer it towards productive upgrading and innovation, and ensure that the public shares in the value it helps create. The objective is not simply to de-risk private activity. In an economy where high profitability coexists with low productive investment, unconditional support risks subsidising rents rather than transformation; the aim is partnerships in which risks and rewards are shared, and public support produces measurable public value.

This section examines the two channels through which the state directs public support towards *Plan México*'s outcomes, and the governance each requires. Section 5.1 looks at where the state acts through enterprises it owns, setting out the outcomes CFE, Pemex and CONAGUA (a deconcentrated body of SEMARNAT but holding comparable cross-cutting decision rights) are expected to deliver, the dynamic capabilities they must build at enterprise level, and the coordinating layer — currently absent in Mexico — needed to align them beyond individual sectoral mandates, drawing on Brazil's and South Africa's attempts at SOE governance reform. Section 5.2 turns to where the state supports firms it does not own, developing conditionalities as the mechanism that converts public backing — finance, contracts, concessions, permits — into a reciprocal deal rather than an unconditional subsidy, and showing why this matters given Mexico's high market concentration and low reinvestment of profits into productive capacity.

Governed this way, public support becomes an instrument of direction rather than a subsidy to incumbency, and its terms carry through the instruments of the sections that follow: development-bank credit in Section 6, procurement contracts in Section 7 and the concessions and permits of the restoration of Tula basin sandbox in Section 10.

5.1 State-owned enterprises: governing public actors

State-owned enterprises are the productive arms of *Plan México* and where the capability argument is tested in practice. As well as being providers of public services, institutions such as CFE, Pemex and CONAGUA are organisations with their own governance structures and cultures that must be aligned with national plans, and they concentrate cross-cutting decision rights that no ministry working through ordinary budget cycles holds. CFE controls both generation assets and the transmission grid; Pemex sits across upstream extraction and downstream industrial supply chains; CONAGUA holds authority over concessions, hydraulic works and basin management. Delivering targets like water security or clean energy for production requires these enterprises to build the dynamic capabilities mentioned in Section 8 — problem-solving capacity, risk tolerance, strategic orchestration rather than administration — at the level of the enterprise itself. Building capabilities inside them, and not only inside SHCP or a coordinating council, is one of the delivery architecture's essential components.

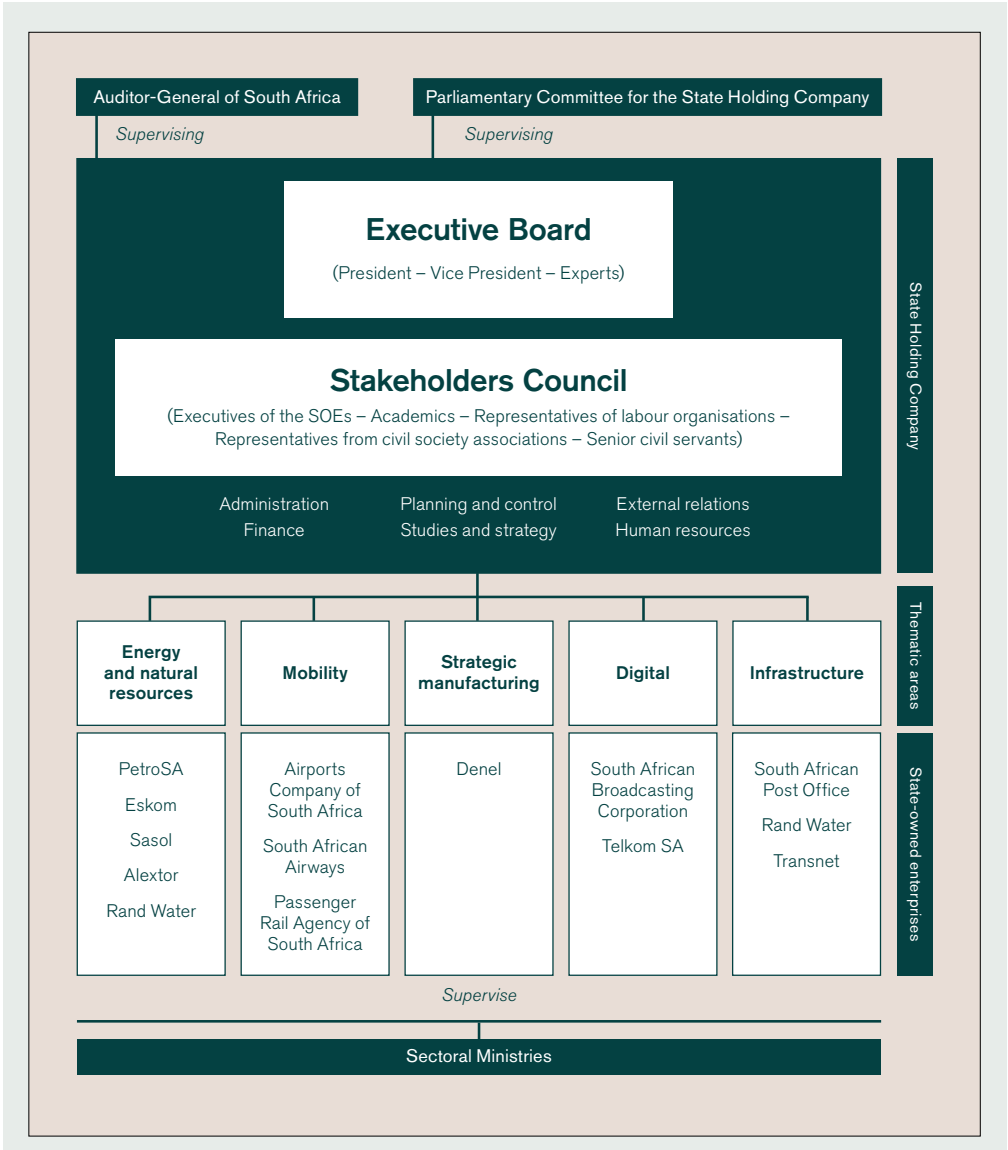
International experience shows what this requires. Brazil's federal SOE portfolio illustrates one model: the Secretaria de Coordenação e Governança das Empresas Estatais, housed within the Ministry of Management and Innovation in Public Services, is repositioning itself away from cost control and compliance and towards a strategic coordinating and capacity-building function, updating its SOE information system and building technical-cooperation agreements that transfer capability between enterprises rather than simply monitoring them. South Africa's proposed state holding company makes a related point from the ownership side: consolidating a dispersed portfolio in order to negotiate outcomes with each enterprise as a joint process, and evaluating performance against real economic targets — value added, employment, investment, decarbonisation — rather than financial indicators alone, which can look healthy even while an enterprise's public mission stalls (Mazzucato and Gasperin, 2023).

Mexico currently has no equivalent layer above CFE, Pemex and CONAGUA: each reports through its own sectoral ministry, with no shared body responsible for building cross-enterprise capability or for defining what success means beyond fiscal and operational metrics. The mission boards of Section 3 could begin to play this role mission by mission, but a mission-specific coordinating layer is not the same as a standing capability to evaluate and build capacity across the SOE portfolio as a whole, which is the gap that Brazil and South Africa are, in different ways, looking to close, as shown in Box 5.1.

Box 5.1. SOEs as strategic orchestrators: the case of South Africa

South Africa's emerging governance reforms illustrate how state-owned enterprises can transition from siloed, financially scrutinised entities into the strategic productive arm of the state. Historically, South Africa's major SOEs — including Transnet, Eskom, Denel, SAA, SAFCOL, Alexkor, PetroSA, Rand Water and the South African Post Office — have operated under a fragmented governance structure, with oversight dispersed across the Department of Public Enterprises and several separate ministries. This dispersion, combined with a persistent focus on financial performance metrics, has often obscured the strategic value these companies hold as custodians of core technical capabilities and strategic sectors of the economy.

To overcome this fragmentation, the South African model — announced by President Ramaphosa and developed around a new state holding company — proposes a unitary coordinating structure: an Executive Board and Stakeholders Council designed to align SOE activity with nationally defined public missions across thematic areas such as energy, mobility, digital infrastructure and strategic manufacturing. The architecture is reinforced by a technical structure tasked with building the internal dynamic capabilities needed to coordinate cross-sectoral strategy, and with defining public-value indicators, such as employment, investment and decarbonisation, that assess systemic impact rather than purely financial compliance. The approach builds the internal expertise required to transform SOEs from a dispersed portfolio into orchestrators of long-term, mission-oriented investment towards national goals (Mazzucato and Gasperin, 2023).



Applied to Mexico, the same move looks concrete. CFE could anchor delivery of the clean energy targets: 38 per cent renewable generation and around 22,000 MW of new renewable capacity by 2030 under the June 2026 electricity generation plan (SENER, 2026). As the state utility that controls both generation assets and the grid that private developers depend on for interconnection, it holds a structural role for which no ministry can substitute: delivering the target requires CFE to move from managing generation as an administrative obligation towards orchestrating a mixed public–private portfolio, sequencing its own investment programme, setting interconnection terms that lower barriers to entry, and using local-content procurement to build a domestic supply chain for renewable equipment (SENER, 2026). And CONAGUA, whose mandate spans concessions, hydraulic works and basin management, holds within water the structural role that CFE holds in energy.

CFE, Pemex and CONAGUA are each being asked to make the same institutional move: from administering a fixed set of obligations to orchestrating a policy mix under conditions that *Plan México*'s targets did not fully specify in advance.

That move draws on the capabilities Section 8 will set out: portfolio-level evaluation to tell, in something close to real time, whether a given mix is working, and the experimental space to change course when it is not.

5.2 Public-private partnerships and conditionalities for the private sector

Plan México depends on partnerships between the public and private sectors that are structured to ensure public support captures public value — the value created collectively when the state shapes markets and directs investment towards shared goals, over and above the private returns any single actor captures. Public investment, development-bank lending, procurement contracts, concessions, permits, guarantees, infrastructure and regulation all shape private opportunities. This means deliberately breaking from the 'clientelistic' dynamics that often characterise public–private relations in the Mexican economy (Pérez, 2019).

Conditionalities are the mechanism that turns support into a deal: firms receive a public benefit, and in return commit to outcomes that advance shared prosperity. The de-risking model asks the state to absorb risk so that private investment becomes more attractive (Mazzucato, 2023b; Mazzucato and Rodrik, 2026). A reciprocal model asks what the public receives in return for taking that risk. Without reciprocal obligations, public support can reinforce existing concentrations of economic power without changing investment, production or employment decisions in the direction sought by policy (Estevez and Riofrancos, 2025). If the state creates demand, lowers financing costs, provides guarantees, grants concessions or facilitates market access, it should also be able to shape the direction of investment and secure public value.

Conditionalities, as shown in Box 5.2, can ensure that public investment and subsidies deliver more inclusive and sustainable growth. In the United States, the CHIPS and Science Act attached conditions to semiconductor subsidies, prohibiting the use of award funds for dividends or share buybacks, giving

preference to applicants that commit to limit buybacks, requiring large recipients to provide childcare for facility and construction workers, and requiring recipients to share with the government returns that exceed projections, so that public support is reinvested in production rather than distributed to shareholders (Mazzucato and Rodrik, 2026). Similarly, the collaboration between the University of Oxford and AstraZeneca on the COVID-19 vaccine included commitments to supply the vaccine at no profit during the pandemic and to license production to the Serum Institute of India for one billion doses for low- and middle-income countries (Mazzucato, 2023c).

Box 5.2. Conditionalities in practice: green steel, semiconductors and vaccines

Germany: KfW's conditional steel financing. Germany's national development bank, KfW, has used progressive conditionalities to steer its steel-sector lending towards decarbonisation. Under KfW's Paris Climate Agreement-aligned lending guidelines, 95 per cent of financing for steel production technologies is reserved for transformative technologies that directly contribute to greenhouse gas neutrality — rising to 100 per cent by 2026 — with investments directed towards raising the recycling quota in steel production. Rather than an unconditional subsidy, support is tied to firms' progress towards net-zero production (Mazzucato and Macfarlane, 2023).

United States: the CHIPS and Science Act. Recipients of semiconductor incentives are prohibited from using award funds for dividends or share buybacks, and the programme gives preference to applicants that commit to limit buybacks of their own. Applicants requesting more than 150 million US dollars must provide affordable childcare for facility and construction workers, pay prevailing wages, and share with the government a portion of returns that exceed their projections (NIST, 2023; Mazzucato and Rodrik, 2026).

United Kingdom: the Oxford-AstraZeneca vaccine. The 2020 agreement between the University of Oxford and AstraZeneca committed the company to supply the COVID-19 vaccine at no profit for the duration of the pandemic and to license production to the Serum Institute of India for one billion doses for low- and middle-income countries, showing how access conditions can be attached to publicly funded innovation (AstraZeneca, 2020; Mazzucato, 2023c).

Chile: lithium with reciprocity. Under the National Lithium Strategy, the agreements governing production in the Salar de Atacama include commitments to operational continuity, public participation in returns through Corfo and Codelco, reduced water and energy impacts, safeguards for the interests of Indigenous peoples, public projects in the territory, increased resources for R&D, and the promotion of production linkages (Gobierno de Chile, 2025).

In Mexico, the case for conditionality is sharpened by the prevalence of economic rents. Market power raises the prices households pay by around 98 per cent in concentrated markets, generating an average welfare loss equivalent to 15.7 per cent of household income (COFECE, 2018). At the same time, high profitability has not translated into investment. The banking system earns record profits while lending comparatively little to productive activity (Section 6), and total investment remains below *Plan México*'s targets. Public support that is unconditional in this environment risks subsidising rent extraction. Public support that carries conditions on investment, access, reinvestment and the sharing of rewards converts profits into productive capacity.

Conditions can be designed around criteria of directionality (for example, requiring businesses to invest in green solutions), access (the prices of essential products such as medicines), reinvestment rather than extraction, and the sharing of rewards. Figure 13 sets out these types of conditions and their potential application under *Plan México* (Mazzucato and Rodrik, 2026).

Figure 13: Types of conditionalities for the private sector

Types of conditionalities attached to public support			
Type of condition	**What it requires of the firm**	**Illustrative instruments**	**Application under *Plan México***
Directionality	Steer investment toward socially desirable activities	Green investment requirements attached to loans or subsidies; supplier development and technology transfer clauses	Conditions on development-bank credit and Polos incentives requiring investment in domestic capabilities and clean technologies
Access	Ensure the benefits of publicly supported innovation are widely available	Pricing commitments, licensing for wider production, affordability clauses	Access and affordability conditions in health procurement and water concessions
Reinvestment	Reinvest profits into productive activity rather than distributing them	Limits on share buybacks and dividend payouts as a condition of support; reinvestment commitments	Reinvestment clauses in investment-facilitation agreements and public contracts
Profit-sharing	Share the upside that public support creates	Equity stakes, royalties, income-share agreements, clawbacks	Public-value shares in concessions and co-financed projects where public risk-taking is significant

Source: Authors' elaboration, based on Mazzucato and Rodrik (2026).

These conditions can operate across four spheres. Directionality conditions steer private activity towards the mission, through commitments such as supplier development, technology transfer, responsible water use, emissions reduction or quality employment. Access conditions determine who benefits from what public support enables, including micro, small and medium-sized enterprises, domestic suppliers and Indigenous and Afro-Mexican enterprises. Reinvestment conditions ensure that returns are used to build productive capacity rather than extracted. Profit-sharing mechanisms allow the public to share in the upside its support creates, through instruments such as equity, royalties or public-value shares where appropriate.

Mexico already has legal hooks for this approach. The 2025 procurement law broadens the definition of the "best conditions for the State" beyond price and quality to include financing, economic growth, employment generation, energy efficiency, responsible water use and environmental protection. It also permits a price preference for domestic goods (Presidencia de la República, 2025a). These provisions recognise that public purchasing can pursue public value, not lowest cost alone. The task is to use these provisions systematically, writing public-value conditions into lending programmes, tender criteria and concession terms at portfolio level rather than negotiating them case by case.

Mexico's national-content provisions illustrate how targets and conditionalities can work together. A national-content requirement in procurement processes can translate the broader *Plan México* target for public procurement from national production into contractual practice. The target sets direction; the procurement rule helps operationalise it. Used well, conditionalities can make public–private partnerships more developmental and more legitimate. They clarify what is expected in return for public support and help ensure that public resources build domestic capabilities, improve access, create decent jobs and support long-term investment.

International practice shows that conditionality creates the most public value when it is governed openly: support allocated through institutionalised fora with plural representation, including business, labour and academia; published selection criteria; obligations that are measurable and time-bound; subsidies, contracts and results disclosed; competition safeguards preserved; and credible sanctions, including the withdrawal of support, when commitments are not met. Designed this way, conditionality is the opposite of discretion: a published deal that any observer can audit, and a foundation for trust among the state, firms and society (Mazzucato and Rodrik, 2026).

These conditions can run through the instruments discussed in the rest of this report. Section 6 shows how public development banks can attach reciprocal obligations to patient finance; Section 7 shows how procurement contracts can carry public-value conditions; and Section 10 shows how concessions and permits in the water sandbox can operate as reciprocal instruments rather than static authorisations.

6. Directing finance: building a coordinated development-finance system

Policy recommendations

- Turn Mexico's public development banks into a coordinated development-banking system. Steward NAFIN, Banobras, Bancomext, FONADIN and FIRA through SHCP with a portfolio view of what they collectively finance, so that infrastructure, supplier finance, export capacity, rural credit and risk-sharing instruments reinforce one another around *Plan México*'s missions rather than operate through separate pipelines.
- The development banks should shift towards lending directly to firms and projects, so that public credit finances production rather than padding the margins of commercial banks that are already earning record profits. Where intermediaries remain unavoidable — reaching the many small and rural borrowers no development bank can serve branch by branch — the terms must travel with the money to the final borrower: criteria on who is eligible, a cap on the margin the intermediary keeps, and commitments on what the borrower delivers in return.
- Evaluate the development banks by additionality and transformation, not lending volumes alone. Performance should reflect the productive capabilities built, complementary private investment induced and mission outcomes advanced, and these criteria should shape portfolio design, reporting and evaluation.
- Work with the Comisión Nacional del Sistema de Ahorro para el Retiro (CONSAR) and the AFOREs to develop investable vehicles, with appropriate fiduciary safeguards, that can channel more long-term domestic savings towards infrastructure, energy, water and other productive investment priorities.
- Use multilateral and regional development finance to strengthen Mexico's national development-finance architecture. Engage the World Bank, the Inter-American Development Bank (IDB), CAF (Development Bank of Latin America and the Caribbean) and other partners through national institutions for instruments they can provide particularly effectively, including credit enhancement, local-currency facilities, first-loss capital, long maturities and project preparation.
- Build these arrangements into a nationally led mission-oriented country platform that coordinates domestic and international finance around *Plan México*'s priorities, rather than treating external finance as a mechanism for mobilising capital into a standalone project list.

Mexico's commercial banking system is large, concentrated and highly profitable. Yet credit to firms accounts for under half the loan portfolio, and Banco de México reports that total financing to private non-financial firms has been contracting in real terms, with the gap between firms' financing needs and available credit negative for eight consecutive quarters. Profitability coexists with a system that does comparatively little to fund Mexican production.

The public part of the system is substantial but structurally unable to correct this. Development banking assets stand at 3.2 trillion pesos, or 9.3 per cent of GDP — comparable, as a share of the economy, to Brazil's BNDES. But Mexican development finance operates largely as segundo piso (second tier): NAFIN placed 67.0 per cent of its credit through commercial banks and other intermediaries as of mid-2024, with guarantees covering a further large share of its private-sector exposure, and FIRA lends almost entirely through intermediaries. Mexico has development banks without a full development-banking function — institutions that raise cheap capital but do not, for the most part, decide who receives it.

The consequence is a system that works against its own purpose. Public credit reaches firms through the same commercial banks, which means the intermediary, not the state, sets the terms. Where public guarantees cover the risk, the state absorbs the downside while the intermediary retains the return. Directed this way, public development finance subsidises the profitability of an already highly profitable banking system rather than correcting the allocation failure it exists to correct. Mexico does not lack finance. It lacks a financial system organised to direct finance towards production.

This section examines the quality and structure of finance, coordination among financial institutions and the potential to align financing. It further explores how Mexico can engage international capital on its own terms and in support of domestic priorities. Section 6.1 sets out the private-finance problem: a banking system that is large, stable and highly profitable, yet shallow in its lending to productive activity, alongside an underused pool of pension savings that could otherwise supply patient capital. Section 6.2 turns to the potential of Mexico's

federal development-finance system — NAFIN, Banobras, Bancomext, FONADIN and FIRA — and argues that unlocking it requires moving from project finance to portfolio governance, with reciprocal obligations attached to the finance these banks provide. Section 6.3 sets out the coordinated financial architecture needed to combine these institutions' mandates around mission outcomes, with SHCP as system steward. Section 6.4 then examines how international development finance can amplify this domestic architecture without displacing it, engaged through national institutions and on Mexico's own terms.

6.1 The private-finance problem

Mexico's financial system is large, stable and highly profitable, but shallow in its lending to productive activity. Commercial bank assets reached 14.7 trillion pesos in late 2024, with the four largest banks holding around 55 per cent of them. The system is also exceptionally profitable: commercial banks reported record profits of 288 billion pesos in 2024, exceeded again with 304 billion pesos in 2025, with the eight largest banks accounting for around 80 per cent of the total (CNBV, 2026).

Around 55 per cent of banking assets are held by foreign-owned banks, with BBVA and Santander alone holding 35.4 per cent (CNBV, 2026). Lending is skewed away from production: credit to firms accounts for under half of the banks' loan portfolio, and Banco de México reports that total financing to private non-financial firms has been contracting in real terms, with the gap between firms' financing needs and available credit negative for eight consecutive quarters (Banco de México, 2026; CNBV, 2026). Even the credit that does reach firms rarely finances expansion: analysis based on the 2024 Economic Censuses finds that 86.4 per cent of it goes to current spending and debt service rather than fixed investment (Rodríguez León, forthcoming). Profitability, in other words, coexists with a financial system that does comparatively little to fund Mexican firms: the definition of high profit, low impact.

The same pattern holds for Mexico's largest pool of long-term savings. The AFOREs, which manage private pension funds, administer MXN 8.95 trillion, around 25 per cent of GDP and now more than total bank credit. Of this, 51.5 per cent is invested in government securities, while the structured instruments that reach productive projects account for only around MXN 644 billion, roughly 7 per cent of assets (CONSAR, 2026). Pension savings of this scale could be a decisive source of patient capital for infrastructure, energy and water portfolios if development banks and project sponsors supply investable vehicles at the right scale, with the fiduciary safeguards pension savings demand.

Plan México cannot rely on private finance to spontaneously provide the patient, coordinated and outcome-oriented credit its priorities require. Infrastructure, supplier upgrading, industrial capacity, water systems, clean energy, health sovereignty and territorial development all require finance that is willing to move earlier, take longer horizons and coordinate with public demand, regulation and investment.

Investment is not constrained by a prior pool of savings, because credit is created within the financial system, and the binding question is who directs it and towards what (Kregel, 2004; De Carvalho *et al*., 2019). Historically, structural transformation in Europe and East Asia, and post-war reconstruction, relied on public financial institutions directing credit to priority sectors, acting not as residual lenders but as strategic investors (Griffith-Jones, 2018; De Carvalho *et al*., 2019). Well-directed public investment does not crowd out private investment but induces it, raising expected demand and expanding capacity so that the combined effect exceeds the initial outlay (Deleidi and Mazzucato, 2021; De Lipsis *et al*., 2026).

This is why public development banks matter. They can lend longer, earlier and with clearer direction than private banks; provide guarantees and technical support where uncertainty is high; and crowd in private investment by reducing risk, creating confidence and connecting finance to national priorities. The task is not simply to increase public lending volumes, but to unlock the potential of public finance as a market-shaping tool for *Plan México*.

The rest of this section turns to the public finance that can fill this gap: the development banks that can provide patient, directional finance (Section 6.2), the architecture needed to coordinate them around *Plan México*'s mission portfolios (Section 6.3), and the international development finance that can amplify national capacity without substituting for domestic direction (Section 6.4).

6.2 Unlocking the potential of public development banks

Mission-oriented public finance requires a development bank whose capital is patient, long-term and outcomes-oriented rather than judged against short-term returns; that can attach conditions to the finance it provides, so private access to public capital carries reciprocal commitments on production, technology and reinvestment; that has stable, predictable funding to absorb risk private banks will not; that holds in-house technical expertise to appraise complex, uncertain projects; and whose governance and evaluation are built around mission

objectives and public value rather than lending volumes alone (Mazzucato and Macfarlane, 2018; 2023).

Mexico has a substantial federal development-finance system whose mandates are closely aligned with *Plan México*. Three institutions sit at its core: Nacional Financiera, or NAFIN, which supports industrial and regional development and small and medium-sized enterprises (Cámara de Diputados, 2014b); Banco Nacional de Obras y Servicios Públicos, or Banobras, which finances infrastructure, public services and subnational governments (Cámara de Diputados, 2014a); and Banco Nacional de Comercio Exterior, or Bancomext, which supports foreign trade and the productive sectors connected to it (Presidencia de la República, 2024). Alongside them, the Fondo Nacional de Infraestructura, or FONADIN, a federal trust administered by Banobras, provides co-financing, guarantees and credit enhancement for infrastructure projects; and the Fideicomisos Instituidos en Relación con la Agricultura, or FIRA — four public trusts settled by SHCP with Banco de México as trustee — finance agriculture, fisheries and rural business through financial intermediaries, with a financing balance programmed at MXN 298 billion for 2026. Since the liquidation of Financiera Nacional de Desarrollo in 2023, FIRA has been the principal public vehicle for rural credit (FIRA, 2026). SHCP stewards development-financing policy through its development-banking unit.

This system gives Mexico an important institutional foundation for financing *Plan México*. The combined loan portfolio of the three core development banks is on the order of 1.3 trillion pesos, around 4 per cent of GDP. Direct and induced credit to the private sector from the wider development banking system reached 1.9 trillion pesos in the third quarter of 2025, around 5 per cent of GDP. Development banking assets exceed 3.2 trillion pesos, or 9.3 per cent of GDP, a scale, relative to the economy, comparable to Brazil's BNDES.

The importance of these institutions is not only their scale. It is their ability to provide the type of finance that private banks underprovide. Their mandates cover industrial upgrading, SMEs, infrastructure, exports, regional development, public services and subnational investment. They also hold a funding advantage. NAFIN's gross lending spread of around 0.7 percentage points, compared with 5.2 percentage points in the commercial system, is usable policy space: room to lend longer, cheaper and earlier than private banks will, and to attach public-value conditions that private lenders cannot impose.

How this system lends matters as much as how much it lends. Mexican development finance operates largely as *segundo piso* (second tier): NAFIN placed 67.0 per cent of its credit through commercial banks and other intermediaries as of mid-2024, with guarantees covering a further large share of its private-sector exposure, and FIRA lends almost entirely through intermediaries; Banobras and Bancomext, by contrast, lend mostly first-tier to infrastructure and to large foreign-trade-related firms (HR Ratings, 2024; FIRA, 2026). Second tier lending economises on branch networks, but it carries a structural implication: if public credit reaches firms through the same commercial banks whose allocation the strategy seeks to change, coordination among public banks alone does not redirect finance. Directing credit therefore requires conditions that travel through the intermediary to the final borrower — eligibility criteria, spread caps and public-value covenants attached to second-tier funding and guarantees — and, where intermediaries will not go, first-tier windows and co-financing that reach strategic projects directly.

Public development banks can provide finance, but they can also reproduce fragmentation if each institution operates through its own mandate, pipeline and appraisal logic. A project can be financially sound and still fail to contribute to a coherent transformation strategy. Conversely, a mission may require several linked investments, some in infrastructure, some in suppliers, some in skills, some in exports and some in public services, which cannot be assessed adequately if each project is treated in isolation.

Unlocking the potential of public development banks therefore requires moving beyond project finance alone towards portfolio governance. This does not mean weakening prudential standards or turning development banks into off-budget spending vehicles. It means adding a strategic layer to existing financial discipline. Projects would still need to be financially and operationally sound, but they would also be assessed by their contribution to meeting goals: whether they build domestic capabilities, unlock complementary investment, strengthen strategic infrastructure, improve access, create decent jobs or support territorial development.

Public development banks are especially important because they can change the conditions under which private investment becomes possible and desirable. They can reduce uncertainty, provide longer maturities, absorb early-stage risk, finance missing links in supply chains and support firms before commercial banks are willing to lend. In doing so, they do not simply "mobilise" private finance. They shape the risk-return environment around *Plan México*'s priorities and help create the markets into which private actors can invest.

They can also connect finance to public value. If public banks provide long-term credit, guarantees, concessional pricing or early-stage risk absorption, firms receiving support should face reciprocal obligations. These could include reinvestment commitments, supplier-development plans, technology transfer, domestic capability-building, decent work, emissions reduction or access requirements. As Section 5 argued, public support should be structured as a bargain: firms receive patient finance and public backing, while the public receives stronger capabilities, jobs, access and long-term productive investment in return.

For *Plan México*, unlocking the potential of public development banks means using them not only as sources of credit, but as instruments of transformation. Their scale, mandates and funding costs give Mexico a powerful platform.

6.3 A coordinated financial architecture

Plan México requires finance to move in bundles: infrastructure finance, supplier finance, export finance, guarantees, concessional lending, technical assistance and private co-financing need to be organised around outcomes. If each institution operates through its own pipeline, even well-designed instruments risk remaining fragmented (Griffith-Jones, 2018).

The promise of public development finance lies not in any one institution alone, but in how the system is coordinated. *Plan México*'s priorities cut across infrastructure, firms, suppliers, exports, technology, territorial development and public services. Financing them therefore requires more than parallel lending pipelines. It requires a financial architecture that can combine the mandates of NAFIN, Banobras, Bancomext, FONADIN and FIRA around mission outcomes (Mazzucato and Macfarlane, 2023).

Public investment and public finance have their largest effect when they induce further investment by changing expectations of demand, reducing uncertainty and expanding productive capacity. But induced investment depends on complementarity. Firms will not invest in new production if enabling infrastructure is missing, if suppliers lack finance, if public demand is not organised, or if energy, water and logistics constraints remain unresolved. Alignment is therefore what turns separate investments into a cumulative growth process (Deleidi and Mazzucato, 2021; De Lipsis *et al*., 2026).

A coordinated financial architecture should organise finance around those complementarities. A domestic productive-capacity portfolio, for example, would require Banobras to finance enabling infrastructure, NAFIN to support supplier development and SME upgrading, Bancomext to finance export and import-substitution capacity, and FONADIN to provide guarantees or co-financing where infrastructure projects require risk-sharing. In the food-sovereignty and water portfolios, FIRA's second-tier credit and technical assistance would finance producers and agro-industry, linking rural lending to irrigation technification and reuse standards, in settings where intermediaries can play a role in identifying borrowers. SHCP would play the system-stewardship role, aligning development-bank activity with fiscal policy, public investment and the mission portfolios identified through *Plan México*'s delivery architecture.

The value of this architecture comes from sequencing and coordination. A bank financing supplier without organised demand, or an infrastructure facility financing an industrial park without supplier finance, skills policy, energy access or procurement commitments, is alignment failing by default. Development finance becomes transformative when it is connected to procurement, standards, regulation, public investment and mission governance. It is this connection that allows public finance to crowd in private investment, rather than merely subsidise isolated projects (De Carvalho *et al*., 2019).

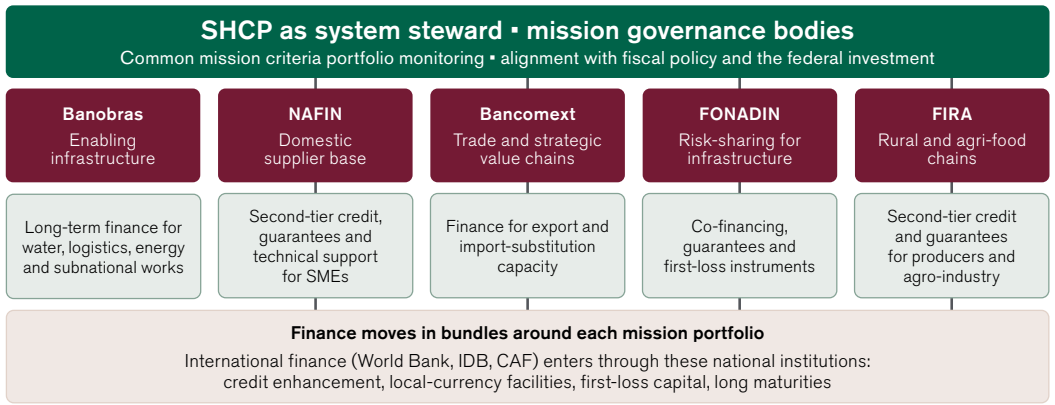
The same architecture would make international finance more effective. External resources should enter through the national development-finance system and be attached to the same mission portfolios. International partners can provide credit enhancement, local-currency facilities, first-loss capital, long-maturity risk cover and technical support, while Mexico's institutions originate, appraise and govern the pipeline. In this way, external finance strengthens domestic capacity rather than substituting for it and supports the same investment sequence rather than creating parallel lender-driven projects.

Coordinated finance also requires common criteria. Development banks should not be assessed only by financial soundness, loan volumes or mobilisation ratios. They should be assessed by additionality and public value: whether finance supports investments that would not otherwise have occurred, unlocks complementary activity, expands domestic productive capacity, strengthens suppliers, creates decent jobs and advances mission goals (Griffith-Jones, 2018; De Carvalho *et al*., 2019). These criteria should be reflected in portfolio design, reporting and evaluation.

This requires a governance structure, as shown in Figure 14, capable of holding the system together. SHCP should act as system steward, ensuring that development-bank lending, guarantees, fiscal policy and public investment are

aligned with *Plan México*'s priorities (Mazzucato and Macfarlane, 2023). Mission governance bodies, as proposed in Section 3, should identify the financing needs of each portfolio, surface bottlenecks and ensure that finance is connected to procurement, regulation, standards and public investment. Development banks should translate those priorities into instruments, lending windows and risk-sharing mechanisms. International partners should enter through these national channels, not around them.

Figure 14: A coordinated development-finance architecture: SHCP stewardship, five institutions, one portfolio logic



Source: Authors' elaboration

6.4 Leveraging international development finance

International development finance can amplify Mexico's national capacity, but only if it is engaged on Mexico's terms. Mexico has good reason to be cautious. The crisis lending of 1982, the Brady restructuring and the 1994-95 rescue tied external finance to conditionality and loss of policy space. The current stance reflects that history: external funding raised overwhelmingly at higher costs from private markets, with 76 per cent of federal external debt owed to bondholders and only 21 per cent to multilaterals; and total external debt at a moderate 34 per cent of GDP (IMF, 2025; SHCP, 2025b).

This caution is justified. International finance can fragment domestic priorities when it arrives through lender-driven pipelines, parallel project units or conditionality that narrows policy space. It can also increase exposure to currency risk, refinancing risk and investor sentiment. But international development finance can strengthen national capacity when it works through domestic institutions, supports Mexico's own priorities and provides instruments that national actors cannot supply as effectively alone.

The December 2025 World Bank operation offers a useful template. Up to 500 million US dollars of credit enhancement flows through Banobras, as trustee of FONADIN, to support a Credit Enhancement Platform with a local-currency facility, expected to mobilise around one billion US dollars for transport infrastructure aligned with *Plan México* (World Bank, 2025). The design matters more than the amount. If design right such an instrument strengthens Mexico's national infrastructure-finance architecture rather than routing around it, and it supplies what Mexico cannot provide as effectively alone: risk cover in local currency at long maturities. National institutions originate, appraise and own the pipeline.

Regional cooperation, as shown in Figure 14, can amplify this model further. Coordination among national and regional development banks can pool scarce financial resources and support larger, integrated programmes spanning infrastructure, productive capacity and innovation (Estevez *et al.*, 2025). The Inter-American Development Bank, of which Mexico is among the larger borrowers, and CAF, which Mexico joined as a full member in 2020, are borrower-governed institutions without the conditionality history of crisis lending. They are natural counterparts for national development banks. Channelled through NAFIN, Banobras, Bancomext or FONADIN, their financing can multiply in two stages: first as development banks expand lending books larger than the capital or guarantees they receive, and then as public lending mobilises private co-financing around mission portfolios.

Figure 15: The supermultiplier: two stages of leverage from multilateral finance through national development banks to total investment mobilised



Source: Authors' elaboration, based on Serrano (1995), Deleidi and Mazzucato (2019; 2021), de Carvalho *et al.* (2019), Mazzucato (2023c; 2025b).

Figure 15 shows the two stages through which that leverage works. In the first, a multilateral's capital or guarantee allows a national development bank to build a lending book several times larger than the support it received. In the second, that lending mobilises private co-financing around the portfolio it is directed at. Neither stage is automatic. The first depends on how the support is structured, the second on whether the lending carries direction and conditions. Building on Section 4, Box 6.1 sets out how the supermultiplier mechanism applies to public development banks.

Box 6.1. The SDG multiplier: public banks as catalysts for mission-oriented investment

Multilateral and public development banks sit on a combined balance sheet of over US$23 trillion, accounting for roughly 12 per cent of global annual investment (Deleidi and Mazzucato, 2021; Mazzucato, 2023b), but scale alone does not move the financing gap for the Sustainable Development Goals (SDGs). What matters is how that capital is directed. When public finance is deployed with explicit mission-oriented conditions — tied to measurable outcomes rather than project-level risk mitigation alone — it does more than fill financing gaps: it actively shapes markets, crowding in private capital that would not otherwise materialise (Mazzucato, 2023b).

This is the SDG multiplier effect: public investment leads, private capital follows, and the combined mobilisation exceeds the sum of individual flows. Additionality should be understood not as a static binary, but as a dynamic multiplier realised over time, with public risk-taking generating value through its cumulative impact — catalysing learning effects, deepening innovation ecosystems and building institutional capacity for sustained transformation (Deleidi and Mazzucato, 2021). The effect depends on conditionality — reciprocity clauses, outcome-linked disbursement and challenge-oriented mandates — that steers investment towards specific directions (health, climate, water) rather than leaving allocation to market signals alone (Mazzucato, 2023b).

The principle is not to maximise external finance for its own sake, but to use it selectively for what it can do better than domestic instruments alone: credit enhancement, local-currency facilities, long-maturity risk cover, first-loss capital, technical assistance, and support for project preparation where domestic capacity is constrained. These instruments are most valuable when they reduce bottlenecks in Mexico's own financing architecture rather than creating parallel channels of delivery, and when they carry explicit terms on additionality, transparency and public value.

Mexico already has channels through which this can be done: the sovereign sustainable bond framework, experience with green and sustainability-linked instruments, and national development banks able to work with international partners. Aligned with outcome-oriented portfolios, these instruments can become part of a single interface through which external finance supports *Plan México* without fragmenting implementation.

This approach can turn Mexico into an international example for a different kind of country platform. IIPP defines country platforms as nationally led implementation hubs that mobilise finance, expertise and partnerships — public and private, domestic and international — around a country's own strategies and priorities, performing three functions: selecting and structuring finance mobilisation strategies suited to the country's context; providing directionality so that investment portfolios and terms advance structural transformation; and resolving policy trade-offs across government and society to sustain implementation (Robinson and Larsen, 2025; Mazzucato and Heher, 2025). Where a country's financial architecture is organised around its own priorities, external finance can be engaged on national terms rather than around them. This is the distinction drawn between conventional country platforms, which are vehicles for mobilising external finance into a project pipeline, and mission-oriented platforms, which are nationally led implementation hubs aligning governance, finance, partnerships and state capacity behind a strategy the country has set for itself (Mazzucato and Heher, 2025).

7. Harnessing public purchasing power: from minimising cost to creating public value

Policy recommendations

- Use public purchasing as a demand-side instrument of *Plan México*: buy as one, through the 2025 Ley de Adquisiciones, Arrendamientos y Servicios del Sector Público (LAASSP) consolidated mechanisms, across agencies, public entities and the state-owned enterprises, and publish forward procurement plans, so that firms can see the market they are being asked to invest in and the plan's target of half of procurement from national production has a delivery mechanism.
- Buying agencies should use the law's broadened "best conditions for the State" criteria to attach public-value conditions to contracts — domestic supplier development, decent work, technology transfer, responsible water use, reinvestment — so that each contract builds capacity in addition to delivering goods.
- Design contracts to widen participation and build domestic supplier capability, using tools such as split lots, consortia, supplier-development support, technical assistance and multi-year contracts. Where solutions do not yet exist, use pre-commercial and public technology procurement to create demand for innovation.
- Operationalise the health portfolio by setting clear targets for the share of medicines, medical devices and other priority products to be produced domestically, and align Birmex, supplier finance, regulatory pathways and procurement contracts behind those targets.
- Concentrate price preferences and national-content requirements where trade commitments permit them: purchases below treaty thresholds, sectors the agreements do not cover, and state-owned-enterprise purchasing. Everywhere else, rely on standards, supplier development and forward-published demand, which no treaty restricts.
- Preserve competition as procurement becomes more strategic. Open procedures should remain the default, with clear justification for restricted or consolidated procedures and transparent publication of awards, conditions and results.

Firms do not invest only because finance is available. They invest when they expect a market for what they produce. Public procurement is one of the strongest tools the state has to create that market. Government demand is large, recurring and predictable: exactly the conditions firms need to expand production, upgrade capabilities and enter new supply chains.

For *Plan México*, this is an underused lever. Public procurement amounts to around 5.3 per cent of GDP, compared with an OECD average of 12.9 per cent, meaning that Mexico purchases proportionally less than half of what its peers do (OECD, 2025). With a smaller demand lever, design matters even more. Every peso of public demand must do more: buy what the state needs, create predictable markets, support domestic suppliers, raise standards and build the productive capabilities that *Plan México* requires.

Health is also where the opportunity is most immediate, and the reason is a reform already under way. Mexico is moving towards a single public health system: a universal health registry linking IMSS, ISSSTE and IMSS-Bienestar was announced in October 2025, followed in January 2026 by a single health credential and shared records, with cross-institutional access phased in from 2027. The January 2026 reform of the General Health Law gives the Ministry of Health responsibility for planning and integrating national demand for medicines, equipment and supplies.

This section sets out how public purchasing can be redesigned around mission-oriented outcomes. Section 7.1 develops an outcome-oriented procurement toolkit and shows why procurement matters for Mexico's firm structure, where a vast base of micro-enterprises sits below a thin productive middle and a concentrated apex of large firms. Section 7.2 then applies the logic to health, where Mexico is already attempting to aggregate public demand, link purchasing to domestic production and use procurement as an instrument for sovereignty over healthcare provision.

7.1 An outcome-oriented procurement toolkit

Public purchasing is often treated as a technical back-office function: specify the good, tender it and take the lowest compliant price. This view misses the economic role of procurement. Every public purchase is also a signal about what will be bought tomorrow. If demand is uncertain, fragmented or purely price-driven, firms have little reason to build new capacity. If demand is predictable, aggregated and linked to clear standards, firms can invest, scale and upgrade.

Strategic procurement does not mean abandoning value for money. It means defining value properly. The cheapest bid today is not necessarily the best buy if a different contract design would build suppliers, capabilities and competition that lower costs over time. Value for money should therefore include not only the purchase price, but the public value created through the contract: domestic capacity, employment, innovation, sustainability, resilience and access.

Conditionalities on procurement contracts can ensure that public demand does not simply generate private revenue but contributes to shared prosperity. Contract clauses can require domestic supplier development, decent work, technology transfer, responsible water use, emissions reduction, access commitments or reinvestment. Procurement is therefore one of the main instruments through which the state can turn public spending into public value.

What Mexican procurement must help build is shaped by the structure of Mexico's firms. The 2024 economic censuses show that 95.4 per cent of establishments are micro-enterprises with ten or fewer employees. They provide 41.4 per cent of employment but only 16.0 per cent of value added. Large firms, by contrast, represent only 0.2 per cent of establishments but account for 43.5 per cent of income (INEGI, 2025a). Between a vast base of small, often informal firms and a small number of large firms, the productive middle is thin. Procurement data can also be used to identify current and potential suppliers, assess their capacity to meet standards and target technical or financial support towards firms capable of entering and upgrading within public supply chains (Vásquez *et al*., 2025).

Strategic procurement requires a method for deciding what demand to aggregate and where domestic production can feasibly be developed. This can begin by mapping procurement line items and their frequency and value, decomposing relevant value chains, identifying existing and potential suppliers, and matching products to standards and appropriate procurement instruments (Vásquez *et al*., 2025). Applied to *Plan México*, this approach could identify products where significant public demand coincides with existing or potential domestic suppliers and opportunities for technological upgrading.

Public demand is one of the few instruments that can work across this structure. Predictable public contracts can give smaller firms a path to scale and formality. Participation in public procurement requires registration, compliance and administrative capacity; stable demand can make those investments worthwhile. At the same time, contract design can prevent public demand from simply reinforcing incumbency. Split lots, supplier-development requirements, consortia, price preferences, technical assistance and forward procurement plans can help smaller firms enter public supply chains while ensuring that quality and reliability are maintained.

Procurement, as shown in Figure 16, can be industrial policy for the missing middle. It can help firms move from low-productivity survival activity towards formal, higher-capability production. It is also formalisation policy, complementing the revenue argument in Section 4. Formalisation cannot be achieved only through enforcement. It must be made economically viable. Public demand can help do this by creating stable markets for firms that invest in registration, standards, employment and productivity.

Figure 16: Approaches to strategic public procurement

Strategic public procurement: a menu of approaches			
Lens	**Approaches**	**What it does**	**Application under *Plan México***
Specification design	**Product procurement** **Functional procurement**	Long-term finance for infrastructure and public services	Water systems, logistics, energy infrastructure, industrial parks and subnational works
Market stage	**R&D procurement** **Pre-commercial procurement** **Public technology procurement** **Regular procurement**	Supports the full innovation cycle, from early experimentation to scaled deployment	Health R&D partnerships and regulatory reliance pathways at early stages; consolidated recurring purchases as the scale anchor
Policy objective	**Procurement for innovation** **Sectoral procurement** **Green, sustainable and circular procurement** **Outcomes-oriented procurement**	Links public demand to wider industrial, social and environmental goals	National-content criteria and price preferences under the 2025 law; health purchasing tied to domestic productive investment

Source: Authors' elaboration, based on Mazzucato and Emerson (2026).

Mexico has recently rebuilt the legal foundations for this approach. The Ley de Adquisiciones, Arrendamientos y Servicios del Sector Público (procurement law) from 2025 redefines the "best conditions for the State" beyond price and quality to include financing, economic growth, employment generation, energy efficiency, responsible water use and environmental protection. It also permits a price preference of up to 15 per cent for goods of domestic origin, raises the minimum national content in national tendering from 50 to 65 per cent and creates mechanisms for consolidated purchasing across agencies (Presidencia de la República, 2025a). *Plan México* gives these provisions a strategic direction,

including the target that half of public procurement should come from national production.

The law provides authority. What converts authority into market-shaping power is aggregation and predictability. A single agency purchase rarely moves a market. Demand aggregated across agencies, public entities and SOEs can create the scale that firms need to invest. Published forward procurement plans can give firms a market to build against. Contract conditions can shape the quality of the supply response. Alignment with mission portfolios can ensure that public demand supports the same outcomes as public finance, regulation and public investment. Design must also respect trade-law limits: Mexico's procurement commitments under the USMCA and other agreements constrain where price preferences and national-content requirements can apply, so the strategy should concentrate them in the policy space the treaties leave — below-threshold purchases, excluded sectors and state-owned-enterprise procurement — while relying on standards, supplier development and forward-published demand, which are trade-compatible everywhere (Thrasher, 2026). International experience shows that local-content requirements are most effective when combined with product, technology, labour and environmental standards that create demand for domestic capabilities while raising the quality of production (Estevez *et al.*, 2025).

Transparency also makes the new authority durable. Open competition as the default, published justification where consolidated or restricted procedures are used, independent review of technical specifications, and full disclosure of awards and results give firms the certainty to invest against public demand while preserving competition as domestic suppliers are built (Mazzucato, Spanó and Wainwright, 2025).

Aggregated public demand can also serve several missions through a single programme. An illustration, described in Box 7.1, sits at the intersection of food sovereignty, health and territorial development.

School meals connect three challenges common to many countries: food sovereignty, health and territorial development. They can provide guaranteed demand for family farms and domestic food processing; improve child nutrition; and support rural incomes in regions that growth has bypassed. A goal as simple as healthy, locally sourced school lunches requires health, education, agriculture, procurement and local government to act together.

Box 7.1. School meals: public demand that builds health, farms and industry at once

School meals reach nearly half a billion children worldwide and are among the most extensive social programmes (Mazzucato and Doyle, 2025), yet they remain largely designed as welfare provision rather than as a strategic economic tool. They can be used as a strategic demand-side policy tool within mission-oriented industrial strategies, shaping markets for sustainable and healthy food for children while supporting broader food system transformation. Countries like Brazil, Scotland and Sweden have taken a mission-oriented approach to shift school feeding beyond welfare policy, thereby unlocking wider transformative impact.

In the *Programa Nacional de Alimentação Escolar* (PNAE) in Brazil, a requirement that at least 30 per cent of food is procured from local family farmers has helped stimulate local economies, with some regions achieving 100 per cent sourcing from these producers (Spanó and Mazzucato, 2026). Initially, procurement through the PNAE focused primarily on minimising cost, but it has become a globally recognised example of how public procurement can go beyond cost-efficiency to promote social inclusion, environmental sustainability and local economic development (Mazzucato, Spanó and Wainwright, 2025).

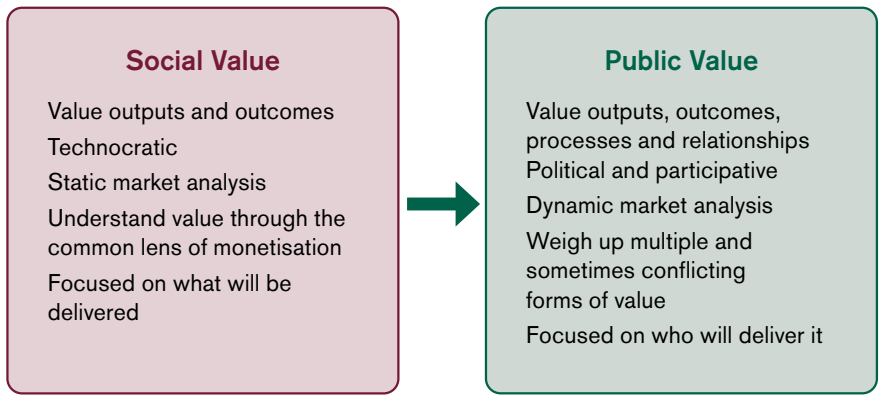
In Scotland, the government is using the programme to tackle poverty, support local businesses and improve health and educational outcomes. Public procurement also plays a central role, encouraging participation from small and medium-sized enterprises and third-sector organisations while promoting innovation. Consequently, despite fiscal constraints, the government continues to prioritise the programme (Mazzucato and Doyle, 2025).

In Sweden, the national 'school meals mission' integrated objectives across health, climate, environment and social wellbeing, and engaged with multiple stakeholders, including students, coordinating policy to unlock system-wide benefits (Hill and Mazzucato, 2026). As a result of this missions approach, school food was recognised as a key lever in the new Swedish Government's 'National Food Strategy 2.0', issued in March 2025 (Swedish Government (Regeringskansliet), 2025), and the Public Health Agency developed national targets for healthy and sustainable food consumption (Hill and Mazzucato, 2026).

This is precisely the kind of cross-sectoral portfolio a mission board is designed to hold. It requires consolidated purchasing with quality standards, supplier development for small producers and forward-published demand that farmers can plant against. Participation also matters: menus, sourcing and delivery work better when communities, schools, producers and local governments help shape the programme.

Working on missions also means co-creating procurement with those who understand the problems on the ground. This means focusing as much on how value is defined and delivered as on who delivers it. In the London Borough of Camden, bringing care workers into the design of a mission-oriented approach to adult social care was an essential part of ensuring the policy was built on a deep understanding of past failures (Mazzucato, Spanó and Wainwright, 2025). The resulting notion of public value, shown in Figure 17, goes deeper than social value precisely because citizens participate in defining and creating that value (Mazzucato, Spanó and Wainwright, 2025).

Figure 17: From social value to public value



Source: Mazzucato *et al.* (2025).

7.2 Aggregating public purchasing power: implications for the public health system

Health is where Mexico is already assembling many elements of this toolkit around a single goal. It shows both the promise of aggregated demand and the discipline it requires. The public health system is one of the state's largest recurring buyers. Its demand for medicines, vaccines, medical devices, equipment and supplies can be used to reduce prices but also to build domestic productive capacity and strengthen sovereignty over production of medicines.

Historically, health purchasing has been fragmented across institutions such as IMSS, ISSSTE, IMSS-Bienestar and state systems. Fragmentation weakens bargaining power, duplicates processes, increases the risk of shortages and reduces the state's leverage over where medicines and equipment are produced. Consolidated purchasing changes this. Aggregated national demand creates volumes that can justify domestic production. Predictable multi-year purchasing gives investors a market to build against. A single public buyer or a coordinated purchasing system can attach conditions on production, technology transfer, research and supply reliability that fragmented buyers could not enforce alone.

This also requires careful governance. Health procurement must remain focused on access, quality, safety and affordability. Industrial objectives should not weaken the reliability of supply or raise costs without building capacity. The point is not to buy domestic at any price; it is to use public demand to create a domestic supply base capable of meeting public health needs over time. That requires standards, monitoring, evaluation and the ability to adjust contracts as the market develops.

The universal health registry announced in October 2025, the single health credential and shared records announced in January 2026, and cross-institutional access phased in from 2027 are moving Mexico towards a unified entitlement. Consolidated procurement, with the right capabilities, creates the opportunity to use aggregated purchasing power as industrial policy. The January 2026 reform of the General Health Law completes the buying side, designating the Ministry of Health as responsible for planning and integrating national demand.

Demand aggregation can also strengthen the state's bargaining position in concentrated pharmaceutical markets while creating the scale and certainty needed to negotiate localisation, technology transfer and investment in domestic production. Mexico's domestic strategy can also be reinforced through selective regional cooperation. Shared infrastructure, pooled purchasing, coordinated standards and joint production can expand effective market size and reduce the bargaining disadvantage that fragmented Latin American economies face in concentrated global markets (Estevez *et al.*, 2025).

The legal and institutional machinery moved in this direction in 2025 and 2026. The January 2026 reform of the General Health Law designates the Ministry of Health as responsible for planning and integrating national demand for medicines, high-technology equipment and supplies (Presidencia de la República, 2026c). It strengthens consolidated purchasing and requires procurement to favour suppliers that invest in national production chains, productive infrastructure or research, within Mexico's treaty commitments. The reform applies to procurement conducted from the

2026 fiscal year, with deliveries from 2027: planning guidelines for the 2027–2028 consolidated purchase was issued in August 2025 and the tender incorporating the new rules was launched in May 2026.

The Committee for the Promotion of Pharmaceutical Investment (Comité de Promoción de la Inversión Farmacéutica), whose operating rules were published in February 2026, coordinates the investment-attraction side (Secretaría de Economía, 2026). Birmex anchors public production and consolidated purchasing functions.

The supply response has begun. Under the June 2025 decree that promotes investment in national territory to strengthen the pharmaceutical industry, the production of health inputs and national scientific research, successive rounds of commitments have been announced. In August 2025, four firms committed around 12 billion pesos: Boehringer Ingelheim (3.5 billion pesos for a tablet plant in Xochimilco), Carnot (3.5 billion pesos for a new plant in Hidalgo), Bayer (3 billion pesos for active-ingredient production) and AstraZeneca (around 2 billion pesos, including clinical research). In May 2026, a further round of more than 21 billion pesos across seven projects included Liomont (more than 4 billion pesos for oral solids and biotechnological vaccines, including mRNA), Grupo Vazol-Kener (5.36 billion pesos for plant expansion, including haemoderivatives), Abbott (3.5 billion pesos) and Sanofi (an insulin plant in the State of Mexico) (Presidencia de la República, 2025c, 2026d).

Public demand is already crowding in productive investment: the mechanism described in Section 4 operating through contracts rather than subsidies.

That governance discipline needs a target to work towards. Health procurement also shows why aggregation alone is not enough. Aggregated demand can improve bargaining power and reduce duplication, but without a clear outcome target it may optimise prices without building sovereignty. Domestic production of vaccines and pharmaceuticals is a stated *Plan México* priority, but the anchor target has not yet been quantified: what proportion of national demand should be met from domestic production, by when, and in which product categories. Setting that number would complete the health portfolio identified in Section 3 and give procurement, development finance, regulation and investment promotion a common direction.

The distinction matters. Purchasing power aggregated without a target is bargaining power. Purchasing power aggregated against a target becomes industrial strategy. If Mexico defines the share of demand to be met through domestic production, the product categories where sovereignty matters most, the standards suppliers must meet and the investment commitments attached to contracts, then procurement can become a tool for building health capacity rather than just for buying health inputs.

A mission-oriented health procurement strategy would combine five elements: a quantified outcome target for domestic health supply; consolidated and forward-published demand so firms can invest against predictable markets; development-bank finance to support domestic suppliers, working capital, technology adoption and scale-up; regulatory pathways that support quality, safety and timely market entry; and reciprocal conditions on public contracts, including production, research, technology transfer, access, reliability and reinvestment.

The broader lesson for *Plan México* is clear. Public purchasing can create the markets that make investment viable, but demand must be organised, predictable and linked to finance, regulation and public-value conditions. Procurement should not sit downstream from strategy as a technical purchasing function. It should be part of the strategy itself: the demand-side instrument that turns national priorities into markets firms can invest against.

8. Dynamic capabilities: from compliance to learning, adapting, and experimenting

Policy recommendations

- Build and keep delivery capability inside government: evaluation, experimentation, training and digital systems are core state functions that should have permanent institutional homes and career staff.
- Build a government-housed civil-service training capability with an explicit delivery mandate, on the model of Brazil's Escola Nacional de Administração Pública, covering risk management, cross-sectoral coordination and portfolio management, and connect the Secretariat of Science, Humanities, Technology and Innovation's (SECIHTI) research base to the mission portfolios.
- Establish a permanent, internally staffed public innovation lab within government, linked closely to SHCP's Policy and Strategy Unit for Results. Give it a stable institutional basis and staff drawn from across ministries so that experimentation, portfolio learning and evaluation reinforce one another and survive changes of administration.
- Extend the performance evaluation system from programme-level compliance to portfolio-level evaluation. Track intermediate milestones during implementation, identify bottlenecks early and judge success by whether the combined policy mix advances the intended outcome, rather than by whether every individual project succeeds.
- Specify decision rights: who may adjust an instrument, reallocate a budget line or escalate to a mission board when indicators show a portfolio off track, and within what timeframe.
- Treat digital public infrastructure as a core capability. Complete and integrate the systems underpinning the Ventanilla Digital de Inversión and national supplier registries, while using tools such as shared-spectrum arrangements, concessional finance and participatory metrics to expand connectivity and bring community-held infrastructure into the national effort.

Plan México's ambition rests on a wide set of instruments: a national planning architecture, patient capital mobilised through public banks, procurement reframed as a market-shaping tool, and participatory mechanisms designed to ground delivery in communities. However, realising the plan depends on the capabilities of the institutions that need to implement them, not just the tools. It requires public institutions whose remit, purpose and governance are explicitly designed to co-create public value and tackle societal challenges, rather than merely correcting market failures (Mazzucato and Kattel, 2026).

COVID-19 is a concrete example of the need to invest in capabilities. The governments best able to respond were those that had already invested in the capabilities to sense risk, coordinate across departments and adapt policy under conditions of incomplete information. By contrast, governments whose public sectors had been hollowed out by prior outsourcing and austerity struggled to mobilise an equivalently agile response, even where fiscal space was greater (Mazzucato *et al.*, 2021). The pandemic offered a clear, if costly, demonstration that it is capability, not capacity alone, that determines whether a state can act effectively under uncertainty. Central to governing the crisis were the ability to govern data platforms for the test and trace side of the pandemic and to counter the accompanying 'infodemic'; the ability to work with citizens to deliver vaccines in a decentralised way that built trust and security; and the ability to use an outcome-oriented approach to procurement to secure nationally produced personal protective equipment (Mazzucato *et al.*, 2021).

Building organisations to deliver outcome-oriented policies requires a fundamental shift in organisational culture (Mazzucato, 2023d). Public agencies need the problem-solving capacity, risk tolerance, and remit to work effectively under fundamental uncertainty, where outcomes cannot be fully specified in advance (Kattel *et al.*, 2018). The Defense Advanced Research Projects Agency (DARPA) in the United States remains the paradigmatic illustration: an agency organised around solving defined problems rather than administering fixed rules, granting programme managers significant autonomy and treating failure as a necessary cost of genuine experimentation rather than a compliance breach (Mazzucato, 2013; Kattel, Drechsler and Karo, 2022).

This section sets out how Mexico's public institutions can move from compliance to developing dynamic capabilities. Section 8.1 examines the capacity-building architecture those capabilities depend on. Section 8.2 develops an evaluation architecture capable of reading a portfolio of interventions as a whole, and shows why that matters for a state whose current systems assess individual programmes but not the outcomes they are meant to jointly deliver. Section 8.3 then applies that logic to experimentation, arguing that the state needs a protected space to test what an

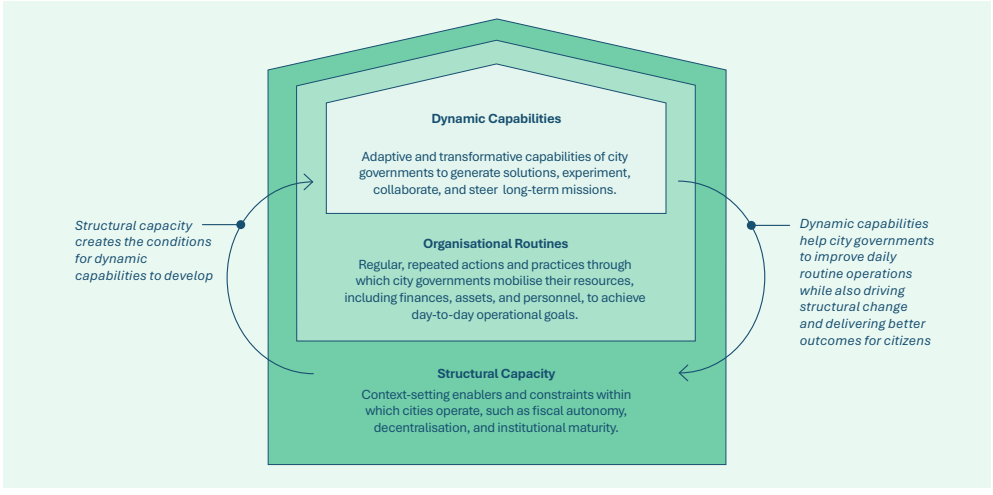
underperforming portfolio should become before scaling any fix nationally. Section 8.4 extends the argument to digital government, treating it as a cross-cutting capability rather than a technical annex to service delivery.

8.1 A capacity-building architecture

Public-sector capacity is the set of skills, resources and structural conditions — budgets, staffing, legal competencies — needed to perform core policy functions (Mazzucato and Kattel, 2020). Capabilities are different: they are the ability to deploy that capacity flexibly, adapting resources, processes and teams to solve existing challenges and respond to emerging ones (Mazzucato and Kattel, 2020; Kattel and Mazzucato, 2018). Capacity sets the ceiling on what a government can do; capabilities determine whether it can act on that capacity when conditions change. The two are complementary rather than substitutable — capacity without capabilities produces stability without adaptability, while capabilities without capacity produce agility with nothing to direct.

Capabilities are not innate; they are built through routines, the recurring practices through which organisations generate, interpret and act on information, and which turn capacity into capability. The Public Sector Capabilities Index (Mazzucato and Kattel, 2026) operationalises this distinction, identifying the specific capabilities that governments — city, regional, national — need to tackle wicked problems, whether floods or the Olympics.

Figure 18: Capacity and capabilities



Source: Mazzucato and Kattel (2026).

Figure 18 sets out how routines, capacity and capabilities work together. Sense-making routines — the analytical, evaluative and data-processing practices that let governments interpret information and act on it — tell the state what is and is not working. Experimentation, which means protected space to test new instruments, absorb failure constructively, and scale what works, gives the state somewhere to act on that information. Evaluation without experimentation produces diagnosis without the means to act on it; experimentation without evaluation produces activity without direction. This gap — the difficulty of tackling 'grand societal challenges' — reflects broader knowledge gaps in designing and implementing such innovation policies (Mazzucato *et al*., 2021; Mazzucato and Kattel, 2026).

For Mexico, building these capabilities means transforming public agencies from administrators of contracts into value-creating actors capable of navigating the high stakes of structural transformation. Dynamic capabilities that let institutions take risks, iterate across a portfolio of projects and coordinate across ministries are not optional adjuncts to good policy design; they are what makes ambitious policy deliverable in practice (Dweck and Mazzucato, 2025).

A critical enabler is the extent to which governments invest in and retain their own capacity to act. Over recent decades this has been undermined by growing reliance on outsourcing core functions to large consulting firms, within a global consulting market now estimated at US$700–900 billion (Mazzucato and Collington, 2024).

Mexico's own architecture for public sector capacity-building is fragmented and compliance-oriented. Training for federal civil servants is governed by the Ley del Servicio Profesional de Carrera and delivered mainly through SICAVISP, a virtual platform run by the Secretaría Anticorrupción y Buen Gobierno, satisfying a mandatory 40-hours-a-year requirement concentrated on ethics, anti-corruption, internal control and role-specific technical modules (Ley del Servicio Profesional de Carrera; Secretaría Anticorrupción y Buen Gobierno, SICAVISP). The Instituto Nacional de Administración Pública, Mexico's longest-standing public administration institute, is an independent civil association rather than a government body, with no formal mandate to build capabilities for *Plan México*'s targets. This stands in contrast to Brazil's Escola Nacional de Administração Pública, a federal training school, housed within government and tied to the delivery agenda of the Ministry of Management and Innovation in Public Services (Dweck and Mazzucato, 2025).

Mexico currently has no state-anchored body responsible for building the dynamic capabilities — risk tolerance, cross-sectoral coordination, portfolio management — that *Plan México*'s delivery architecture requires. The coordination structures for delivery — the Council, the Office and the proposed mission boards — were set out in Section 3.

The elevation of the science council into the Secretariat of Science, Humanities, Technology and Innovation (Secihti), created in November 2024, gives the innovation system cabinet rank and a seat in economic strategy; scholarship programmes have been maintained around priority areas and strategic projects are being aligned with national goals (Gobierno de México, 2025a). Rebuilding will require sustained budgets, which have yet to recover in real terms, but the institutional platform now exists to connect research in universities and public centres to the missions this report describes (Dutrénit and Puchet, 2017).

8.2 Evaluating the policy mix

Successful implementation of *Plan México* requires the capability to notice when something is not working, the room to try something that has not been tried before, and the judgement to tell when to adapt or stop. Mexico's legal and institutional architecture provides a foundation for the first half of this problem. The Constitution requires that public resources be administered with efficiency, efficacy, economy, transparency, and honesty, and explicitly mandates systematic performance evaluation, operationalised through the Ley Federal de Presupuesto y Responsabilidad Hacendaria and cross-referenced in the Ley General de Contabilidad Gubernamental, the Ley de Coordinación Fiscal and the Ley de Disciplina Financiera (Cámara de Diputados, 2018). SHCP operationalises this through the results-based management framework: performance-based budgeting, which links resource allocation to outcomes across the budget cycle, and the performance evaluation system (Sistema de Evaluación del Desempeño, SED), which institutionalises programme evaluation. Two tools generate the evidence base: the logical framework methodology, which sets out the causal logic from activities to outcomes, and the results indicator matrix (Matriz de Indicadores para Resultados, MIR), which translates that logic into measurable objectives, indicators and targets.

In April 2025, SHCP moved to strengthen this system, updating the general guidelines for results-based management and creating the Policy and Strategy Unit for Results (UPER) within the Undersecretariat of Expenditures (SHCP, 2025a). UPER oversees a structured evaluation cycle — a consistency and results evaluation after a programme's second year, biennial indicator evaluations, process evaluations from year three and impact evaluations at maturity — while regulating external evaluators and ensuring findings translate into binding improvement commitments. By standardising methodologies, sequencing evaluation across the policy lifecycle and extending technical support to subnational governments, this architecture already gives Mexico strong vertical alignment, from *Plan México* and the PND down to individual public programmes.

It does not yet give the state a way to see, or act on, the collective performance of an outcome-oriented portfolio — let alone the licence to try something new at that level. The MIR and the logical framework are built to evaluate individual budgetary programmes in isolation; the SED's unit of analysis is the programme, not the mix. This vertical orientation creates exactly the sectoral silos that a horizontal goal like water security or food sovereignty cuts across. Each intervention in a portfolio can pass its individual evaluations while the outcome it is meant to deliver jointly stalls, because no part of the system evaluates the mix itself and none of it is designed to protect space for testing an approach the existing indicators do not yet capture.

The answer is not a parallel evaluation system, but an extension of the one Mexico already has. The SED could be expanded to institutionalise portfolio-level evaluation: a meso-level layer that sits above the programme-by-programme view and assesses the policy mix as a whole. This means shifting the state's evaluative logic from static efficiency (the cost-benefit calculation of a single project at a fixed point in time) to dynamic efficiency: how a portfolio of investments together creates new resources, shifts technological frontiers and generates spillovers across the economy (Kattel *et al.*, 2018). UPER's role changes with it, from a supervisor enforcing programme consistency to the analytical anchor of the outcome, using portfolio-level indicators to interpret what a mix of interventions is producing and to inform, in real time, whether to stop, start or redesign specific instruments within it (Kattel, 2022).

Portfolio-level evaluation functions if two further questions are answered: what happens when the mix signals that an instrument is not working, and who has standing to act on that finding. The indicators used to answer the first carry an inherent tension — set too cautiously, they generate false reassurance long after a policy mix has stalled; set too ambitiously, they lose credibility with the institutions being measured against them and are quietly abandoned. Mexico's evaluation architecture does not yet specify who resolves that tension for a given mission portfolio, nor who is authorised to trigger a corrective response once portfolio-level indicators signal that a mix is off track — adjusting an instrument,

reallocating a budget line, or escalating to a mission board — and within what timeframe that authority must act. UPER's current mandate covers evaluation quality and methodology; it does not yet extend to deciding what happens next. This is an open question, and naming which coordinating body holds decision rights over a given mix and with what recourse if the first corrective action proves insufficient, is a precondition for portfolio evaluation to do more than diagnose.

This is also a cultural shift. A portfolio can move the system towards its 2030 targets even while individual projects within it fail, and an evaluation framework that penalises every project-level failure will discourage the interventions that are most likely to deliver a genuine breakthrough. What should be tracked instead are intermediate milestones spanning economic and non-economic outcomes, such as domestic productive capacity or territorial development (Kattel *et al.*, 2018). For CFE's clean-energy target, this could mean tracking annual growth in interconnection capacity approved for private renewable generators, or the domestic content share achieved in wind and solar supply chains, rather than waiting until 2030 to learn whether the target was met. For a water mission, it could mean tracking treatment capacity brought online or industrial permit compliance year on year, rather than only measuring basin-level outcomes at the mission's endpoint. Milestones of this kind give UPER and mission boards something to act on well before an outcome is knowable. Used this way, evaluation stops being a compliance exercise and becomes the mechanism through which the state steers the portfolio rather than auditing it after the fact (Mazzucato and Ryan-Collins, 2022).

UPER's evaluation cycle already includes a tool that portfolio-level evaluation, as described above, does not yet use. Process evaluations, conducted from a programme's third year onwards, assess how implementation unfolded rather than only whether targets were hit, but that capability currently stops at the programme boundary. Extending it to the portfolio would let the state identify which instrument in a mix is underperforming, what implementation bottleneck is responsible, and what in the delivery chain needs to change — rather than only registering that the outcome stalled. This is precisely the diagnostic a bounded delivery sandbox is designed to generate before a mission is rolled out at scale: understanding how a pilot's implementation unfolded, not only whether it hit its target, is what makes the lessons transferable to other portfolios.

8.3 Risk-taking and experimentation

Evaluation without experimentation is diagnosis with nowhere to act. The state can know precisely which instrument in a portfolio is failing and still have no way to test a replacement without running the experiment on citizens directly — scaling an untested fix to a national programme and letting the results show whether it worked. Experimentation is what stands between those two outcomes: a bounded space to absorb the cost of failure before it is absorbed by the public. Public innovation labs provide a dedicated space to test, learn, and adapt policies before scaling them, supporting outcome-oriented industrial strategy in several ways (Mazzucato and Ryan-Collins, 2022; Mazzucato, Doyle and Kuehn Von Burgsdorff, 2024):

- **Learning through sandboxing:** A sandbox is a virtual or physical space that civil servants can use to work with stakeholders and test solutions in a safe environment. One example is a "regulatory sandbox" that allows selected firms to work with regulators to jointly explore, trial and test innovative products, services and business models with exemptions from some regulatory requirements.
- **Participation:** In most cases, innovation labs are designed to enable co-creation with citizens, businesses and other parts of government.
- **Innovation:** These spaces can be dedicated to designing public policies and services that drive outcome-oriented innovation, better equipping governments to work effectively.
- **Building capabilities:** Innovation labs work according to the principle of learning by doing. They encourage risk-taking and experimentation and, in the process, help to develop and demonstrate the value of dynamic public service capabilities.
- **Peer learning:** Innovation labs function as platforms for knowledge sharing and demonstrating best practices. They play a valuable role in sharing lessons from both successes and failures across government actors.

For Mexico, this argues for establishing a public innovation lab as a permanent state capability, not an ad hoc initiative dependent on a single administration's appetite for risk. Institutionalisation is what allows the capability to survive political transitions and become part of ordinary administrative routine — and Mexico's own experience is instructive on this point. Mexico City's *Laboratorio*

para la Ciudad (2013–2018) was among the first city innovation labs in the Americas, but it operated as a mayoral initiative rather than a statutory body, and it did not outlast the administration that created it. Its experience, together with the digital-government capability now housed in the city's *Agencia Digital de Innovación Pública*, is directly usable for a federal lab — but the lesson is as much about durability as about design: a lab without a statutory mandate, a protected budget line and career civil-service staffing is an initiative, not a capability.

A federal lab built to last would need three things a mayoral-level initiative did not have. First, a statutory or at least budget-line basis that survives a change of administration, rather than a discretionary allocation renewed each year by the sponsoring minister. Second, a staffing model built around career civil servants seconded from line ministries rather than short-term external consultants, so that the learning the lab generates stays inside the state rather than leaving with the contract (Mazzucato and Collington, 2024). Third, a clear reporting line into the machinery that can act on what the lab learns — which argues for housing it inside SHCP, and specifically adjacent to UPER within the Undersecretariat of Expenditures, so that the unit running portfolio-level evaluation and the unit testing what a portfolio's instruments should become sit inside the same institutional home rather than across separate agencies that must coordinate from scratch. Chile's *Laboratorio de Gobierno* — created in 2014–15 and now housed in the finance ministry — is the clearest international precedent for this kind of institutional adjacency, and a model Mexico can adapt rather than invent.

Portfolio-level evaluation and a permanent innovation lab are connected. Evaluation tells the state what an outcome-oriented portfolio is achieving and where it is falling short; experimentation gives the state a place to act on that finding without waiting for certainty it will not have. A SED that assesses the mix, feeding a lab that can test what the mix should become, is what lets Mexico's institutions adapt to a 2030 target rather than simply report against it — and it is this capacity to learn and change course in real time, as much as any single instrument, that determines whether *Plan México*'s architecture can keep pace with its own ambition.

8.4 Digital government as a key capability

Digital government is not a discrete policy area but a cross-cutting capability that determines whether the state can act at all under conditions of complexity and scale. The systems through which a government identifies citizens, moves payments, shares data across agencies and delivers services are the substrate on which every mission in *Plan México* ultimately runs; a water or health portfolio whose delivering institutions cannot exchange data will stall regardless of how well its finance and procurement are designed. However, the capability is unevenly distributed across the territory it is meant to serve. In 2024 Mexico had 100.2 million internet users, which represents 83.1 per cent of the population aged six and over, but household connectivity in the states with the largest Indigenous populations (Oaxaca at 55.5 per cent, Chiapas at 50.7 per cent, Guerrero at 58.9 per cent) sat close to 30 points below Mexico City and Sonora, each of which were at 84.4 per cent (INEGI, 2025c). This means that the digital divide is not only a question of coverage, but of who is present in the systems through which the state increasingly governs.

Digital public infrastructure, the shared systems for identity, payments and data exchange that increasingly underpin a functioning state, embeds a direction: who is included, who is excluded, and what kind of state emerges from having built it (Mazzucato, Eaves and Vasconcellos, 2026). Its economics cannot be read through a market-failure lens in which the state merely corrects for private-sector gaps; maximising its public value requires the same market-shaping posture this report argues for. Box 8.1 sets out how the concept works and what standing up the capability required in the United Kingdom.

Box 8.1. Digital public infrastructure and the capability to build it

Mazzucato, Eaves and Vasconcellos (2026) argue that digital public infrastructure (DPI) — the shared digital systems for identity, payments and data exchange that increasingly underpin a functioning state — is never a neutral technical layer. Much like physical infrastructure before it, DPI embeds a direction: who benefits, who is excluded, and what kind of state emerges from having built it. DPI's economics cannot be understood through a market-failure lens, in which the state merely corrects for private-sector gaps. Instead, maximising its public value requires a proactive, market-shaping state that treats DPI as a strategic investment in the conditions for participation, not a cost to be minimised (Mazzucato, Eaves and Vasconcellos, 2026).

The UK's experience building the Government Digital Service (GDS) from 2011 offers an instructive illustration of what standing up this capability actually requires in practice. GDS was built around a single operating principle — "the strategy is delivery" — treating departmentalism, not

technology, as the primary obstacle to a functioning digital state, since citizens experience government as a single entity even when Whitehall does not. GDS was granted the power to veto departments' IT contracts, redesigned services around user needs rather than departmental convenience, and consolidated thousands of separate websites into a single gov.uk platform. However, GDS's own history also demonstrates the political cost of this model: many department heads resisted 'government as a platform' precisely because it was seen as removing their institutional power. The lesson is not that a central digital capability is easy to build but that resistance from existing power centres is a predictable feature of building it, not a sign that the attempt was misconceived.

Two developments in Mexico show the same capability question being answered at opposite ends of the state. The first is built from the ground up. *Telecomunicaciones Indígenas Comunitarias*, a non-profit civil association, supports Indigenous and rural communities in designing, operating and managing their own cellular networks under collective ownership and self-government (Ortiz-Espinoza and Amaro Rosales, 2026). Following the 2013 constitutional reform that reclassified telecommunications as services of general interest, the *Instituto Federal de Telecomunicaciones*, or Federal Telecommunications Institute, granted the association a single concession for Indigenous social use in 2016, a 30-year, non-profit title now operating across Oaxaca, Guerrero, Puebla, Chiapas and Veracruz. The arrangement does not remove the state; it reorients its function. As Box 8.2 describes, this digital capability is built, owned and governed locally rather than outsourced.

Box 8.2. Connectivity from below: Indigenous community telecommunications

Telecomunicaciones Indígenas Comunitarias is a non-profit civil association through which dozens of Indigenous and rural communities design, own and operate their own cellular networks under collective ownership and self-government. It grew out of exclusion: in localities such as Santa María Yaviche in Oaxaca, commercial operators refused to install infrastructure on the grounds that the population fell below the minimum user threshold for a profitable market; in response, communities built their own networks. The 2013 constitutional reform reclassified telecommunications as services of general interest, and in 2016 the Instituto Federal de Telecomunicaciones granted TIC AC a single concession for Indigenous social use — a 30-year non-profit title now covering Oaxaca, Guerrero, Puebla, Chiapas and Veracruz — while a Supreme Court ruling exempted the association from spectrum-use fees, recognising that charging a non-profit that guarantees collective rights ran counter to the concession's purpose (Ortiz-Espinoza and Amaro Rosales, 2026).

The organisational architecture places each community's assembly as the highest authority, supported by a coordinating committee and an operational team combining technical, legal and social capacities, with open-source documentation and a shared manual that let communities replicate and maintain the systems themselves. A community mobile virtual operator, TIC-OMV, channels part of the revenue back to the communities, strengthening local economies and linguistic and cultural continuity. The model reconfigures the public–private boundary: rather than a State–firm dyad, it opens a third institutional space in which communities act as owners and operators, the state acts as spectrum-holder and rights-guarantor, and connectivity is organised around autonomy and territorial justice rather than profitability. Its principal open challenges are scale and sustainability, the very features that make the case a test of whether public policy can recognise community operators as legitimate actors within national connectivity portfolios rather than leaving them outside.

The second development is built from the centre. To accelerate *Plan México*, the federal government has stood up shared digital infrastructure of its own: a *Ventanilla Digital de Inversión*, or digital investment window, intended to cut the time and cost between an investment announcement and its execution, alongside online sectoral registries of national suppliers that let anchor firms identify domestic producers (Sandoval and Juárez, 2026). These are the beginnings of a state-held data layer for industrial policy. However, the same case is candid about their limit: one-stop windows and supplier registries are useful only insofar as they are backed by interoperable databases and a professional civil service able to sustain them, and so far the registries have been created while the interoperable systems and monitoring mechanisms behind them remain incomplete (Sandoval and Juárez, 2026). A digital front end without the institutional capability behind it reduces to a website.

That gap is the crux of the capability argument for the digital state. When governments outsource core digital functions rather than build them, they lose institutional memory and implementation capacity, and essential public functions effectively become the property of private corporations rather than a sovereign public capability (Mazzucato, Eaves, *et al*., 2026). Therefore, in-house implementation capability is not an optional refinement but a precondition for governing digital public infrastructure at all: capability retained is capability that can be governed, while capability outsourced is capability lost. The community networks and the investment window sit at opposite ends of the state, but they make the same point: the digital layer is only as governable as the capability that stands behind it.

For *Plan México*, this situation suggests that digital government should be treated as a core capability rather than a technical annex to service delivery. It means investing in the shared systems that let missions coordinate across the institutions delivering them and building that capability inside the state rather than renting it, while recognising, as the Indigenous social-use concession shows, that sovereign digital capability need not be centralised to be public, and that the most durable connectivity in the hardest-to-serve territories may be the connectivity communities hold themselves. The task is to build a digital state capable of both: national infrastructure the government can direct and govern, and the regulatory and financial instruments — shared-spectrum arrangements, soft-credit lines, participatory performance metrics — that let community-held capability count as part of the national portfolio rather than an exception to it.

9. Governing for true *bienestar*: co-creation and participation with local knowledge

Policy recommendations

- Embed participation throughout mission design, delivery and evaluation. Communities, workers, local producers and subnational governments should help shape outcomes and interventions before projects are fixed, and should have a continuing role in assessing whether delivery is working.
- Make co-creation and reciprocal conditions a requirement of the *Polos de Bienestar*: firms claiming the zones' tax benefits — the first-year deduction on machinery and equipment and the additional deductions for training and research — should commit in return to sourcing from local suppliers, providing decent work, and supporting care infrastructure, sustainable mobility and biodiversity, so that the incentives build lasting capacity in the territory rather than subsidise activity that merely relocated.
- Carry participation from planning into implementation. Build on the National Development Plan consultation by creating standing mechanisms through which communities and territorial actors can have a defined role during implementation: adjusting projects to local conditions and reporting where delivery falls short, so that problems surface while they can still be fixed.
- Extend the participatory infrastructure Mexico already has, including participatory budgeting, the Utopías, community-owned telecommunications and basin councils, and give successful models an institutional basis that allows them to persist across administrations. Use participatory and outcomes-oriented budgeting to connect local priorities to cross-ministerial spending decisions.

Prosperidad compartida (shared prosperity) is the organising vision of *Plan México*, and taking it seriously means taking human wellbeing seriously. Literature on human flourishing describes the conditions under which individuals and communities can live meaningful, connected and fulfilling lives, including

relationships with others. It includes bodily health, emotional development, practical reason, affiliation and play (Nussbaum and Sen, 1993; Nussbaum, 2000). *Prosperidad compartida* means both creating that flourishing and making sure that it is shared as widely as possible, through the sharing of rewards and through participatory mechanisms.

Nowhere is that test sharper than in the regions the old growth model left behind, where *Plan México*'s most concrete attempt to deliver shared prosperity in place is the *Polos de Bienestar*. Formally the *Polos de Desarrollo Económico para el Bienestar* (PODECOBI), they are strategic zones designated under Action 12 of the plan to channel investment into regions the previous growth model bypassed. Through fiscal incentives — a full first-year deduction on machinery and equipment and additional deductions for training and research — together with administrative facilities and infrastructure, each Polo is meant to build on its region's productive vocation and generate decent work (Gobierno de México, 2026c).

Fourteen have been declared so far, from Hidalgo and Puebla to Sonora and the Isthmus of Tehuantepec, with more under evaluation. In principle they translate the plan's territorial ambition into concrete places: a way to spread industrial activity beyond the north and the Bajío and to treat regional convergence as a lever of growth rather than an afterthought. If they are to be fully sustainable and grounded in community and work relationships, they will require innovation not only in transport and growth infrastructure but also in better work, sustainable mobility and the biodiversity of the green areas around them.

That promise is not automatic. Designated zones and tax incentives can attract investment, but on their own they risk reproducing the very pattern this report diagnoses: activity that relocates to a favoured site without building local suppliers, capabilities or linkages, or that is simply subsidised for what it would have done anyway. Incentives without reciprocal conditions de-risk private activity without securing public value, and zones designed from the centre can misjudge what a territory needs or wants — as the December 2025 consultation in Tula showed, where residents rejected the initial siting of a Polo's flagship recycling park and forced its relocation (Rosete, 2025).

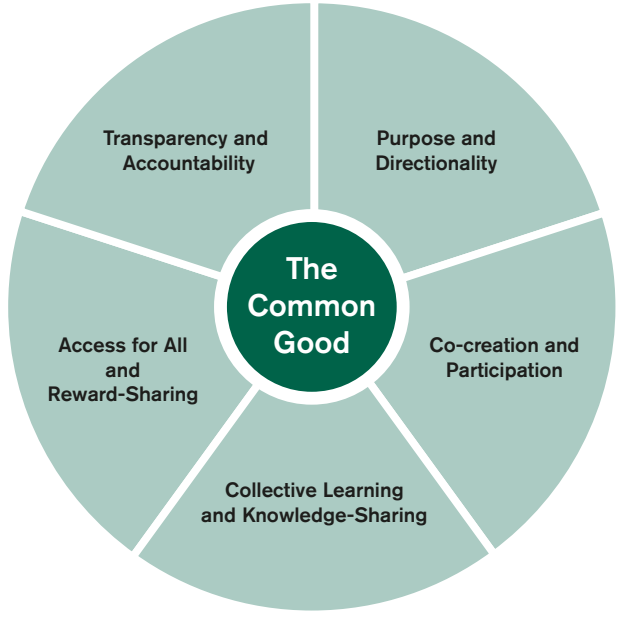
Whether the *Polos* deliver shared prosperity rather than simply relocate activity therefore depends on two things this report has already argued for: the reciprocal conditions attached to public support (Section 5), and — the subject of this section — designing them with the communities they are meant to serve rather than for them.

This section develops the argument in two steps. Section 9.1 sets out why co-creation is a delivery capability rather than a courtesy, and how the local and tacit knowledge of communities improves the selection, design and durability of missions. Section 9.2 turns to what Mexico can build on in practice — from participatory budgeting and the Utopías to community-owned infrastructure — and to the cost, visible in Plan Sonora, of deferring participation until after a project is designed.

9.1 Participation as a delivery capability

A key to building people-centred places is involving those people in the design. In other words, participation ensures that residents living near those areas have a voice in the activity that is created. For mission-oriented delivery, co-creation and participation are not a democratic courtesy added once a policy is designed; they are a core capability of the delivery architecture itself. Participation improves the selection of projects, lowers the risks that arise during implementation, and brings into policy design the local and tacit knowledge that ministries cannot access from above. It also grounds policy in the lived experience of the people it is ultimately meant to serve.

Figure 19: The five elements of the Common Good Compass



Source: Adapted from Mazzucato (2026), The Common Good Economy: A new compass

This is the argument developed in *The Common Good Economy* (Figure 19), which reframes the economy around a shared public purpose rather than the aggregation of private interests, and organises that reframing through a five-part Common Good Compass (Mazzucato, 2026). Co-creation and participation form one of the interlocking principles of the proposed approach: value is created collectively, so the people who hold the relevant knowledge and bear the consequences of a policy should help define its outcomes and shape the means of reaching them. It connects directly to what Catholic social teaching, invoked in the same framework, calls the principle of subsidiarity — that decisions should be taken at the closest appropriate level to those affected, with higher levels of government enabling rather than displacing local agency (Mazzucato, 2026). For *Plan México*, this turns participation from a consultation exercise into a design principle: the missions that touch water, energy, health, food and productive capacity are precisely those whose delivery depends on knowledge the centre does not hold.

For example, while large water infrastructure projects are needed to clean up rivers, these are sometimes less efficient than using local knowledge on river clean-up, biodiversity preservation, permaculture and other techniques that also date back to eras when there was greater symbiosis between people and nature (Berkes, Colding and Folke, 2000).

People who live with a water system, clinic, school, industrial corridor or transport route have knowledge that ministries must use. Making use of this knowledge also requires respecting those voices and bringing them to the table, not just sending out surveys. A survey captures a snapshot of stated preference, not the tacit knowledge built from years of daily contact with a piece of infrastructure.

Lessons from participatory budgeting in Porto Alegre, Brazil, can be useful here: rule-based, transparent allocation criteria, rather than technocratic discretion, allow residents' own prioritisation of need, rather than an expert's assumption of it, to determine where investment goes. Repeated annual cycles allow that local knowledge to accumulate and be trusted over time rather than extracted once through a survey and discarded. The caveat is that this process depended on sustained political will and weakened once the sponsoring administration left office. Any adaptation must have institutional embedding built in from the start, not bolted on later.

Legitimacy also sustains the long-time horizons that investment requires. Projects co-created with communities are more likely to survive changes of administration, local opposition and implementation setbacks than projects imposed without meaningful engagement.

9.2 Centring participation and co-creation

Mexico already offers concrete demonstrations of what participatory delivery looks like in practice, across scales. Mexico City provides a domestic reference point at the city level. Its participatory budgeting has run every year since 2011 and is anchored in the 2017 city constitution, allocating 4 per cent of the alcaldías' budgets — around MXN 2.1 billion in 2025 — through the city's electoral institute (IECM, 2025). Its persistence across administrations shows that institutional embedding is achievable; its modest participation rates show that durability alone is not enough, and that visible influence over real decisions is what sustains engagement.

Iztapalapa's Utopias, described in Box 9.1, illustrate what people-centred services can achieve at city scale. The Utopias began as municipal experimentation on the ground and became city-wide policy.

Box 9.1. *Utopias*: experimenting with people-centred services at city scale

Between 2019 and 2021, the Iztapalapa borough government built 12 Utopias — large, high-quality public facilities combining sport, culture, care and social services in Mexico City's most populous and historically underserved borough. Residents participate in the design, governance and maintenance of the units, which offer more than 185 services and anchor the borough's public care system. The results are measurable: eight million users in two years, and a perception of insecurity that fell from 88.3 per cent in 2019 to 68.7 per cent by the end of 2024 (Sámano-Robles and Jiménez-Brito, 2026).

The trajectory is the principle in action: knowledge flowed up. A municipal practice became city policy when its architect became Head of Government — the Ciudad de Utopías programme plans 100 units across Mexico City by 2030, institutionalised through published operating rules — while money flows down through the city budget, whose sustained financing is the model's principal open challenge. Participation here was not consultation on a finished design but co-creation from the start: public investment in dignity — care, culture, sport, safety — functioning as economic policy.

At the level of national direction, the PND places substantive equality and Indigenous rights among its cross-cutting axes, and its elaboration drew on a wide public consultation: 53,621 participants across 57 forums, 10,526 proposals incorporated, and the country's first consultation of Indigenous and Afro-Mexican peoples (Gobierno de México, 2025c). That consultation is a real foundation, but it is participation at the planning stage, input into a plan rather than a standing role in delivering it. The deeper form is co-creation as ownership.

The community telecommunications networks described earlier (Box 8.2) show it in its fullest expression: participation not as consultation on a finished design but as ownership, with each community's assembly acting as the highest decision-making authority over infrastructure it builds, governs and maintains itself (Ortiz-Espinoza and Amaro Rosales, 2026). The *Utopías* in Iztapalapa (Box 9.1) show the same principle at city scale, where residents share in the design, governance and maintenance of the facilities rather than receiving them as finished provision. The *Planes de Justicia y Desarrollo Regional* (Justice and Regional Development Plans) extend the same logic to Indigenous territorial rights: the Plan de Justicia del Pueblo P'urhépecha, launched in Cherán Atzicuirín in April 2025, was built through sustained dialogue with community authorities rather than presented as a finished design (INPI, 2025a). INPI's own institutional programme describes the wider model in similar terms, while acknowledging that permanent mechanisms for Indigenous participation in government decision-making still need to be institutionalised — the same durability risk this section has already flagged for Porto Alegre (INPI, 2025b).

Plan Sonora, the country's flagship clean-energy and industrial-development plan, is a caution in the opposite direction. It has been coordinated largely from the top down, directed and financed federally with limited room for the state government and almost none for affected communities: the plan makes no formal provision for participation through assemblies or social evaluation, and some participatory mechanisms that previously existed have been removed (Schatan and Domínguez Villalobos, 2026). The costs of that design choice are not abstract. Resistance from Indigenous communities such as the Tohono O'odham to transmission lines crossing biosphere buffer zones and sites of cultural significance has become a live obstacle to delivery, precisely the kind of implementation risk that early co-creation is meant to surface and resolve before it hardens into conflict (Schatan and Domínguez Villalobos, 2026). A top-down plan does not avoid the knowledge and legitimacy problems that participation addresses; it defers them, and they return later as delay, contestation and stalled projects that are far more costly to fix than to prevent.

Even *Plan México*'s own early implementation has tended to route participation through business councils and voluntary supplier commitments from anchor firms rather than through the communities and subnational actors that a mission-oriented approach treats as co-creators (Sandoval and Juárez, 2026), a milder version of the same top-down reflex.

Missions could be the mechanism that carries this participatory foundation from planning into delivery. Rather than treating the PND consultation as a one-off input that ends when the plan is published, missions could give local producers, communities and subnational authorities a standing role in implementation — as co-creators of the policy mix rather than consultees. For *Plan México*, the lesson is that participation should be built into the delivery architecture. Water, health, food, energy and productive-capacity missions will each encounter local constraints, institutional gaps and social knowledge that cannot be anticipated from the centre. Therefore, a mission-oriented approach must combine national direction with local intelligence. That is how public investment becomes more legitimate, more effective and more capable of generating shared prosperity.

The connecting principle is simple: local knowledge flows upward and money flows downward. Communities and municipalities hold the knowledge that makes portfolios work, but not the resources, so the national government finances what only local knowledge can direct well.

10. Testing mission-oriented delivery through sandboxes

Policy recommendations

- Use the restoration of the Tula basin as an example of a mission which requires a portfolio of projects. Create a governance process which is cross-ministerial and cross-sectoral, bringing together CONAGUA, the Secretaría de Medio Ambiente y Recursos Naturales (SEMARNAT), SHCP, the economy and agriculture ministries, the Hidalgo and metropolitan authorities, the basin councils, the Mezquital irrigation districts, and local universities.
- Organise public finance around the basin portfolio rather than as isolated projects. Banobras can finance treatment plants, collectors and subnational infrastructure; FONADIN can provide guarantees and co-financing; NAFIN can support domestic suppliers of treatment, monitoring and reuse technologies; Bancomext can support exportable water-technology capabilities; and FIRA can finance irrigation modernisation and on-farm reuse.
- Procure for outcomes rather than works alone. Tenders should specify results such as water treated to defined standards, pollutant loads reduced, reuse capacity created, riverbanks restored and monitoring data published, using the broader award criteria and domestic preferences enabled by the 2025 procurement law where applicable.
- Turn water concessions and discharge permits into instruments carrying clear obligations on efficiency, pollution reduction, reuse, ecosystem restoration, monitoring and periodic review, rather than static authorisations.
- Track intermediate milestones on a basin public-value dashboard covering treatment capacity, pollution reduction, reuse, industrial compliance, agricultural impacts, supplier development and community feedback, so that instruments can be adjusted during implementation rather than assessed only at the end.
- Codify the lessons from the sandbox inside government, identifying which elements of the delivery model can be standardised and which need to be adapted to context, and use that evidence to inform whether and how the approach should be extended to other *Plan México* mission portfolios.

Delivering ambitious societal goals requires a shift from static, top-down planning to strategic orchestration: experimenting, learning and adapting while implementing. This section sets out how a delivery "sandbox" — a bounded implementation space in which the state tests how its tools work together — can turn *Plan México*'s delivery architecture from a design on paper into a working, scalable model (Mazzucato and Kattel, 2026).

This section proceeds in three steps. Section 10.1 defines the sandbox approach and explains why it is a tool for building state capabilities, not only for testing individual policies. Section 10.2 explains why water is the natural first application, connecting the five missions of the Global Commission on the Economics of Water to Mexico's own plans. Section 10.3 then zooms in on the concrete example: the Tula basin, where the mission map and the report's full delivery architecture — finance, procurement, value capture, participation, coordination and learning — are organised around one mission portfolio.

10.1 Testing delivery capabilities through a sandbox approach

A sandbox is a dedicated, bounded implementation space in which the state translates broad ambition into coordinated delivery. It is a setting where public institutions work alongside stakeholders to test new policy instruments, administrative routines and governance arrangements, and where failure is absorbed constructively as learning rather than punished as a compliance breach, without the cost of experimentation falling on citizens at scale (Mazzucato and Ryan-Collins, 2022).

A sandbox is the innovation-lab logic of Section 8 applied to a whole delivery challenge rather than to a single policy tool. It allows government to test how instruments work together: whether finance is aligned with procurement, whether procurement creates the right demand signals, whether conditions on public support are enforceable, whether communities are involved early enough, whether data systems capture the right outcomes and whether institutions can adapt when implementation reveals bottlenecks.

What the sandbox trains is precisely what Section 8 argued the state must build. It is a live training ground for dynamic capabilities: sensing, coordinating and adapting under uncertainty (Mazzucato, Spanó and Wainwright, 2025). Within it, agencies can operationalise the report's market-shaping tools, including outcome-oriented procurement, conditional finance, reciprocal partnerships and portfolio evaluation, in one concrete setting before wider replication. The aim is not only to

solve the local problem but to build institutional memory and technical expertise inside the civil service.

A sandbox also institutionalises a different approach to evaluation. Rather than judging success only through static cost-benefit measures or ex post compliance, it asks whether a portfolio of interventions is collectively expanding capacity, generating spillovers and advancing the mission. Evaluation becomes part of implementation: identifying bottlenecks, testing assumptions, adjusting instruments and reallocating resources as learning occurs. This is what dynamic efficiency means in practice (Kattel *et al*., 2018).

Therefore, the output of a successful sandbox is more than a completed project. It is a validated delivery model: routines, contract forms, financing structures, governance practices, participation mechanisms and evaluation tools that can be adapted and scaled across other mission portfolios.

10.2 Why water: from global missions to Mexico's plans

Water is a useful first illustration because it exposes the delivery problem clearly. It is not a single-sector issue that can be solved through infrastructure works alone. Water security underpins health, food production, clean energy, industrial development, urban resilience, territorial planning and the human right to water and sanitation. It therefore requires exactly the kind of portfolio logic developed in this report: finance, procurement, regulation, concessions, public investment, participation and learning organised around a set outcome.

The global evidence reinforces this point. *The Global Commission on the Economics of Water* argues that water must be governed as a common good rather than a siloed local commodity. Almost half of the rain falling over land originates from green water, the moisture sustained by ecosystems on land, whose flows cross borders and sectors. The costs of inaction are projected to be approximately 8 per cent of GDP for high-income countries and up to 15 per cent for lower-income countries by 2050 (Mazzucato *et al*., 2024). The Commission frames the response through five missions: transforming agricultural water productivity, conserving the habitats that sustain green water, building a circular water economy, lowering the water intensity of the clean energy and digital transition, and securing reliable, affordable supply for underserved communities.

Mexico's own planning already points in this direction. The National Development Plan treats water as a core constraint on industrial expansion and a pillar of productive development. The *Plan Nacional Hídrico 2024–2030* moves towards a portfolio logic: 122.6 billion pesos across 17 strategic hydraulic projects expected to benefit around 36 million people (Gobierno de México, 2024), alongside an investment of more than 60 billion pesos over the sexennium to technify irrigation.

Figure 20 maps the five missions from the Commission onto their counterparts in the PND, *Plan México* and the *Plan Nacional Hídrico*, from agricultural technification and basin restoration to wastewater reuse, the water-energy nexus and universal access.

Figure 20: From the Global Commission's five water missions to Mexico's plans

From the Global Commission's five water missions to Mexico's plans	
Global Commission Mission	**Mexico's commitments and instruments**
A new revolution in food systems: transforming agricultural water productivity	Irrigation technification of more than 200,000 hectares in 18 districts, recovering around 2,800 million m^3; investment above MXN 60 billion over the sexennium
Conserving and restoring the habitats that sustain green water flows	Restoration of priority basins (Tula, Lerma-Santiago, Atoyac); watershed and forest conservation with Indigenous and local communities
Building a circular water economy	Wastewater treatment and reuse standards under the Plan Nacional Hídrico; strategic hydraulic projects including the Atotonilco complex
A clean energy and AI era with far lower water intensity	Water-energy nexus in energy planning; siting and water-use conditions for industrial parks and data centres in the Polos programme (to be developed)
No child dies from unsafe water: reliable, affordable supply for underserved communities	Human right to water in the Constitution and the 2025 General Water Law; universal access commitments in the Plan Nacional Hídrico

Source: Authors' elaboration, based on Mazzucato, Okonjo-Iweala, Rockström and Shanmugaratnam (2024) and Gobierno de México (2024, 2025a).

10.3 The Tula sandbox: from challenge to delivery

Every one of the five missions mapped in Figure 20 runs through a single territory. The Tula Basin can serve as a meso-level arena for testing and refining Mexico's delivery architecture. The basin has received the Valley of Mexico's drainage since the seventeenth century and today receives tens of cubic metres

per second of wastewater from a metropolitan area of more than 20 million people, a load projected to grow substantially by 2050 (Contreras *et al*., 2017; Gobierno de México, 2025d). To address this ecological and public health crisis, the federal administration has designated the restoration of the Tula River as a presidential commitment, alongside a circular-economy Polo de Desarrollo announced for Hidalgo in September 2025. The December 2025 citizen consultation, in which residents of Tula, Atitalaquia and Tlaxcoapan rejected the initial siting of the Polo's flagship recycling park, prompting its relocation, underlines a central argument of this report: delivery depends on participation from the start, not consultation after design (Presidencia de la República, 2025b).

An example of a clear water mission would be to achieve water security that guarantees the human right to water and sanitation, supports the productive transformation of food, energy and health, and protects ecosystems — advancing *prosperidad compartida* and equitable climate resilience. To achieve this mission, the following could be made targets for 2030: universal access — a defined coverage target for drinking water and sanitation meeting quality standards; pollution — a defined reduction in untreated wastewater discharged to priority basins (Tula, Lerma-Santiago, Atoyac); efficiency — a defined improvement in water productivity in industry and agriculture, with reuse and recycling as the system standard; and resilience — a defined share of priority basins with flood protection and drought preparedness plans implemented through basin-scale, cross-sectoral partnerships.

The mission map in Figure 21 illustrates what the sandbox tests. Water security for shared prosperity sits at the top, as an overarching goal anchored in the PND, *Plan México* and the *Plan Nacional Hídrico.*

It is translated into one concrete, time-bound mission: restore the Tula basin by 2030, cutting untreated wastewater discharged to the basin, making reuse the system standard and guaranteeing safe water and sanitation for the basin's communities. Eight sectors, from agriculture and energy to health, tourism and digital services, must innovate for the mission to succeed. A portfolio of projects and experiments carries it — wastewater collectors, the Atotonilco upgrade, irrigation technification in the Mezquital districts, domestic water-technology supplier development, the Endhó restoration, a basin public-value dashboard.

The delivery layer underneath is the architecture put forth by this report: coordinated development-bank finance, outcome-oriented procurement, conditionalities on concessions and permits, participation through basin councils, and portfolio evaluation.

Figure 21: A mission map for the Tula water sandbox: from challenge to delivery



Mission map adapted from Mazzucato (2018; 2021). Projects drawn from the Plan Nacional Hidrico 2024–2030, the Tula 2030 pipeline and report section 8.2; illustrative, not exhaustive

Source: Authors' elaboration, based on the *Plan Nacional Hídrico 2024-2030* and the *Tula 2030 pipeline*.

The sandbox approach would use the restoration of Tula basin as a concrete setting to bring together and operationalise the report's delivery architecture, showing how its different elements interact in practice within a single bounded context. Each of the six tests that follow corresponds to one layer of the mission map's delivery architecture — and to one section of this report — so the map can be read as the sandbox's scorecard.

First, it would test the portfolio logic developed in Section 3. The water mission would not be organised as a list of hydraulic works but as a goal requiring several institutions to act together. CONAGUA would remain central, but the portfolio would also require SEMARNAT, SHCP, economy, agriculture, subnational governments, development banks, basin councils, public enterprises, communities and firms. A mission board could provide the institutional home for convening the actors whose decisions shape the basin and ensuring that regulatory choices, infrastructure planning, development finance, and procurement tools are directed towards the same goals.

Second, it would test the public-value and conditionality framework developed in Section 5. In the mission, concessions and permits should not function only as static authorisations to use or discharge water. They can become strategic

instruments that carry reciprocal obligations: efficiency improvements, pollution reduction, investment in reuse, ecosystem restoration, monitoring and periodic review. Firms benefiting from public investment, regulatory authorisations or access to treated water should contribute to the mission's outcomes. This is the difference between de-risking private activity and governing partnerships for public value.

Third, the sandbox approach would test the coordinated financial architecture developed in Section 6. Financing should not be attached project by project to isolated works. It should be organised around the basin portfolio. Banobras could finance treatment plants, collectors and subnational infrastructure. FONADIN could provide guarantees or co-financing where projects require risk-sharing. NAFIN could support domestic suppliers of treatment, monitoring and reuse technologies. Bancomext could support firms building exportable capabilities in water technology or related environmental services. FIRA could finance irrigation technification and on-farm reuse in the Mezquital districts, carrying the mission's efficiency conditions into rural credit. SHCP would align budget allocations, development-bank activity and the Strategic Infrastructure Planning Council around the same mission criteria. International finance, where used, should enter through these national institutions, providing long-maturity risk cover, local-currency facilities or technical support without creating parallel lender-driven projects.

Fourth, the approach would test the procurement logic developed in Section 7. The restoration of the he Tula basin by 2030 pipeline can be used as a platform for outcome-oriented procurement. Instead of specifying only works to be completed, tenders can specify performance outcomes: water treated to defined standards, pollutant loads reduced, reuse capacity created, monitoring data made public, riverbanks restored, domestic suppliers upgraded. Article 35 criteria, including water security, environmental protection and economic development, can be applied to procurement decisions. Article 17 price preferences can be used where appropriate to support domestic supply chains. Early market engagement and competitive dialogue can help identify solutions before tenders are issued, while development-bank finance can help suppliers invest to meet the demand.

Fifth, the approach would test the participation logic developed in Section 9. Basin restoration cannot be delivered from the centre alone. Mexico's basin council architecture already provides a foundation for bringing federal, state and municipal authorities together with organised water users and civil society at the hydrological scale. In Tula, this means involving metropolitan

municipalities, Mezquital irrigation districts, forest restoration and conservation authorities, as well as upper-basin communities, local producers, workers, firms and academic institutions such as UNAM, Universidad Autónoma Metropolitana, Instituto Politécnico Nacional, Chapingo, and Universidad Tecnológica de Tula-Tepeji (UTTT). Participation should not enter only after projects have been designed. It should shape the portfolio, identifying local bottlenecks, informing monitoring, improving project selection and building legitimacy.

Sixth, the sandbox approach would test the dynamic capabilities discussed in Section 8. Tula basin restoration would require institutions to sense changing conditions, coordinate across mandates and adapt instruments during delivery. A basin-level public-value dashboard could track intermediate outcomes such as treatment capacity, pollution reduction, reuse, industrial compliance, agricultural impacts, procurement participation, supplier development and community feedback. This would allow evaluation to become a management tool rather than an ex-post audit. The question would not only be whether each project is on time and within budget, but also whether the portfolio is moving the basin towards the mission's outcomes.

Taken together, these elements show what makes the sandbox different from an ordinary project. The object is not only the restoration of the basin but to test how *Plan México*'s delivery architecture works under real conditions. This proposed mission would show whether mission governance can coordinate institutions, whether finance can be aligned with demand, whether procurement can build domestic capacity, whether concessions can capture public value, whether communities can shape implementation, and whether evaluation can support learning.

The lesson would then travel. If the sandbox works, Mexico will have a tested delivery model that could be adapted to meet other goals. If it does not work, there is still value in identifying where mandates are unclear, where finance is fragmented, where procurement is too rigid, where participation is too late, or where evaluation fails to guide adaptation.

11. Conclusion

Plan México creates an important opportunity to build on Mexico's recent social gains by strengthening the productive foundations needed to sustain them. Its ambitions for higher investment, stronger domestic production, industrial sovereignty and more balanced territorial development point towards a model of innovation-led, inclusive and sustainable growth in which prosperity is built through productive transformation, not redistribution alone.

The challenge is therefore one of delivery. Many of the targets set out in *Plan México* cannot be achieved by any single ministry or instrument. A mission-oriented approach provides an organising layer between national ambition and implementation, shifting from individual projects to coordinated portfolios.

This report proposes organising *Plan México*'s targets into four mission areas — water security, health for all, energy sovereignty and food sovereignty — resting on the cross-cutting foundations of upgraded domestic productive capacity, decent work, care, social protection, and sustainability.

Missions make these priorities governable by defining outcomes, building portfolios around them, and aligning the institutions, tools and actors needed to achieve them. Public investment, development-bank finance, procurement, regulation and public-private partnerships can then work in combination, with reciprocity, participation and learning built into implementation, supported by a macroeconomic framework that sustains investment.

Realising this opportunity also means confronting the structural constraints identified in this report: low public investment, a polarised productive structure, concentrated economic rents, finance that bypasses production, manufacturing expansion without sufficient technological upgrading, weak innovation capabilities and deep territorial divides. These have limited Mexico's ability to translate manufacturing scale into stronger productivity, domestic value creation and regional convergence — and show where directed investment, innovation and institutional change can have the greatest effect.

Mexico has set a direction. What remains is the state transformation needed to build an architecture capable of delivering it: one that can coordinate across government, shape markets around public goals, learn and adapt, and mobilise public and private investment towards productive transformation. In doing so, Mexico can build an economy that generates more value, shares it more widely and delivers *prosperidad compartida*.

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